

INCOME TAX AND GST

STUDY MATERIAL

SIXTH SEMESTER

CORE COURSE: BC6B12

B.Com

(2017 ADMISSION)



UNIVERSITY OF CALICUT

SCHOOL OF DISTANCE EDUCATION

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INCOME TAX AND GST

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Module 1

COMPUTATION OF TOTAL INCOME

Income tax is levied on the total income of any assessee in a previous year. The total income is calculated by adding the income of the assessee under different source of income. In certain cases, an assessee may also be held liable in respect of another person. Such income also should be included to get the total income. Then losses, if any, can be set off against income. Finally, deductions can be made under various sections, from 80C to 80 U. the balance left will be the total income, which will be rounded off.

Clubbing Of Income

Clubbing of income means including the income of any other person in Assessee's total income. The Income-tax Act has specified certain cases where income of one person is statutorily required to be included in the income of another person if some conditions are satisfied. This inclusion is known as “Clubbing of Income”.

For Example, if a husband diverts some part of his income to his wife to reduce his tax burden. Then, such transferred income of a wife is added and taxed as income of husband only and not his wife.

The following incomes of other person's are included in the total income of the assessee.

1. Transfer of income without transferring assets [sec. 60]

Where an income is transferred without transferring the asset yielding such income, then income so transferred shall be clubbed in the hands of the transferor.

The above provision holds good -

- whether the transfer is revocable or not; or
- whether the transaction is effected before or after the commencement of this Act.

2. Revocable transfer [sec. 61]

If an assessee transfers an asset under a revocable transfer, then income generated from such asset, shall be clubbed in the hands of the transferor.

As per sec. 63(a), a transfer shall be deemed to be *revocable* if -

- It contains any provision for the retransfer (directly or indirectly) of any part or whole of the income/assets to the transferor; or
- It, in any way, gives the transferor a right to re-assume power (directly or indirectly) over any part or whole of the income/assets.

3. Income from asset transferred to spouse [sec. 64(1)(iv) & (vii)]

In computing the total income of an individual [subject to the provisions of sec. 27(i)], income arising from assets transferred to spouse without adequate consideration, shall be included in the income of that individual.

In the following cases clubbing provision shall not be attracted on transfer of property to spouse -

- When such transfer is for adequate consideration; or
- The transfer is under an agreement to live apart; or
- Where the asset transferred is house property (as such transfer will be governed by Sec. 27)

4. Income from assets transferred to son's wife [Sec. 64(1)(vi) & (viii)]

The provisions are enumerated here-in-below:

Transfer to son's wife [Sec. 64(1)(vi)]	In computing the total income of an individual, income arising (directly or indirectly) from assets transferred to son's wife (after 31.5.1973), without adequate consideration, shall be included in income of that individual. Aforesaid relationship must subsist on the date of transfer of assets as well
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	as on the date of accrual of income.
Transfer to AOP or other person for the benefit of son's wife [Sec. 64(1)(viii)]	In case an asset is transferred to other person or an association of persons (after 31.5.1973), otherwise than for adequate consideration, for immediate or deferred benefit of son's wife, then income on asset so transferred shall be clubbed in the hands of the transferor (to the extent income from such asset is for the immediate or deferred benefit of son's wife). See notes given below sec. 64(1)(iv)

5. Income of minor child [sec. 64(1a)]

Income of a minor child shall be clubbed with income of the parent whose total income (excluding this income) is higher.

Exceptions

The above clubbing provision shall not apply in the following cases -

1. The income arises or accrues to the minor child due to any manual work done by him; or
2. The income arises or accrues to the minor child due to his skill, talent, specialised knowledge or experience; or
3. The minor child is suffering from any disability of nature specified u/s 80U.

6. Conversion of self acquired property into huf property [sec. 64(2)]

An individual, being a member of an HUF, has converted¹ a property² after 31/12/1969 (being self acquired asset of the individual) into property of HUF of which he is a member, otherwise than for adequate consideration.

For the purpose of computation of total income of such individual for any assessment year commencing on or after 1/4/1971, the income derived from such converted property (property so converted or transferred by individual to HUF) or any part thereof shall be deemed to arise to the individual and not to the family.

Where the converted property has been the subject matter of partition (whether partial or total) amongst the members of the family, the income derived from such converted property as is received by the spouse shall be clubbed in the hands of transferor.

7. Liability of the transferee [sec. 65]

The income from any asset (or from membership in a firm) of a person other than the assessee, is included in the total income of the assessee.

Impact

On the service of a notice of demand by the Assessing Officer in this behalf, the person in whose name such asset stands (or who is a member of the firm) shall be liable to pay that portion of the tax levied on the assessee which is attributable to the income so included.

Aggregation of Income

In certain cases, some amounts are deemed as income in the hands of the assessee though they are actually not in the nature of income. These cases are contained in sections 68, 69, 69A, 69B, 69C and 69D. The Assessing Officer may require the assessee to furnish explanation in such cases. If the assessee does not offer any explanation or the explanation offered by the assessee is not satisfactory, the amounts referred to in these sections would be deemed to be the income of the assessee. Such amounts have to be aggregated with the assessee's income.

Cash credits (sec 68)

Where any sum is found credited in the books of an assessee maintained for any previous year, and the assessee offers no explanation about the nature and source thereof or the explanation offered by him is not, in the opinion of the Assessing Officer, satisfactory, the sum so credited may be charged to income-tax as the income of the assessee of that previous year.

Unexplained investments (sec 69)

Where in the financial year immediately preceding the assessment year the assessee has made investments which are not recorded in the books of account, if any, maintained by him for

any source of income, and the assessee offers no explanation about the nature and source of the investments or the explanation offered by him is not, in the opinion of the Assessing Officer, satisfactory, the value of the investments may be deemed to be the income of the assessee of such financial year.

Unexplained money, etc (Sec 69A)

Where in any financial year the assessee is found to be the owner of any money, bullion, jewellery or other valuable article and such money, bullion, jewellery or valuable article is not recorded in the books of account, if any, maintained by him for any source of income, and the assessee offers no explanation about the nature and source of acquisition of the money, bullion, jewellery or other valuable article, or the explanation offered by him is not, in the opinion of the Assessing Officer, satisfactory, the money and the value of the bullion, jewellery or other valuable article may be deemed to be the income of the assessee for such financial year.

Amount of investments, etc., not fully disclosed in books of account(69B.)

Where in any financial year the assessee has made investments or is found to be the owner of any bullion, jewellery or other valuable article, and the Assessing Officer finds that the amount expended on making such investments or in acquiring such bullion, jewellery or other valuable article exceeds the amount recorded in this behalf in the books of account maintained by the assessee for any source of income, and the assessee offers no explanation about such excess amount or the explanation offered by him is not, in the opinion of the Assessing Officer, satisfactory, the excess amount may be deemed to be the income of the assessee for such financial year.

Unexplained expenditure, etc (69C).

Where in any financial year an assessee has incurred any expenditure and he offers no explanation about the source of such expenditure or part thereof, or the explanation, if any, offered by him is not, in the opinion of the Assessing Officer, satisfactory, the amount covered by such expenditure or part thereof, as the case may be, may be deemed to be the income of the assessee for such financial year :

Provided that, notwithstanding anything contained in any other provision of this Act, such unexplained expenditure which is deemed to be the income of the assessee shall not be allowed as a deduction under any head of income.

Amount borrowed or repaid on hundi (69D.)

Where any amount is borrowed on a hundi from, or any amount due thereon is repaid to, any person otherwise than through an account payee cheque drawn on a bank, the amount so borrowed or repaid shall be deemed to be the income of the person borrowing or repaying the amount aforesaid for the previous year in which the amount was borrowed or repaid, as the case may be:

Provided that, if in any case any amount borrowed on a hundi has been deemed under the provisions of this section to be the income of any person, such person shall not be liable to be assessed again in respect of such amount under the provisions of this section on repayment of such amount. For the purposes of this section, the amount repaid shall include the amount of interest paid on the amount borrowed.

SET-OFF AND CARRY FORWARD OF LOSSES

For computation of Gross Total Income (GTI), income from various sources is computed under the five heads of income. If all the sources and heads are having positive income (i.e. profit) then the same can simply be added to compute GTI. However, if certain source(s) or certain head(s) have negative income (i.e. loss) then such loss needs to be adjusted with income of another source(s) or head(s). Set off means adjustment of loss from one source or one head against income from another source or another head. Two type of set off are:-

1. Inter source adjustment (intra-head adjustment) [sec. 70]

When the net result of any source of income is loss, it can be set off against income from any other source under the same head. Sec. 70 deals with the set off of loss from one source against income from another source under the same head of income, subject to the following exceptions

- a) **Long term capital loss** can be set off only against long term capital gain [Sec. 70(3)]. However, short-term capital loss can be set off against short term as well as long term capital gains [Sec. 70(2)].
- b) Loss of a speculation business can be set off only against the profits of a speculation business, under the head 'Profits and gains of business or profession'. However, loss from a non-speculative business can also be set off against income from speculation business [Sec. 73(1)]
- c) Loss of a specified business covered u/s 35AD can be set off only against the profits of other specified business. However, loss from a non-specified business can be set off against income from specified business.
- d) Loss incurred in activity of owning and maintaining race horses can be set off against income from such activity only [Sec. 74A]
- e) Loss from a source, income of which is exempt u/s 10, cannot be set off against any income.
- f) No loss can be set off against winning from lotteries, crossword puzzles, races, card games, gambling or betting, etc. [Sec. 58(4) & 115BB]

2. Inter head adjustment [sec. 71]

Where in respect of any assessment year, the net result of any head of income is a loss, the same can be set off against the income under any other heads for the same assessment year, subject to the following exceptions:

- a) **Capital gains:** Loss under the head 'Capital gains' cannot be set off against income under any other head. However, loss under any other head, e.g. business loss, shall be allowed to be set off against income under the head 'Capital gains'
- b) **Loss of a speculation business:** Loss under the head 'Profits and gains of business or profession' due to speculation business cannot be set off against any other income except profits of speculation business. However, loss under any other head, e.g. loss from house property, shall be allowed to be set off against income of a speculation business.

- c) Loss of a specified business covered u/s 35AD cannot be set off against income taxable under other head. However, loss from other head can be set off against income from specified business.
- d) Loss from activity of owning and maintaining race-horses: Loss under the head 'Income from other sources' due to activity of owning and maintaining race-horses cannot be set off against any other income except profit from activity of owning and maintaining race-horses [Sec. 74A]. However, loss under any other head, e.g. business loss, shall be allowed to be set off against income from activity of owning and maintaining race-horses.
- e) Loss under the head 'Income from house property': Loss in excess of ' 2,00,000 under the head 'Income from house property' cannot be set off with income under other heads of income.
- f) Income under the head Salaries: Loss under the head "Profits and gains of business or profession" cannot be set off from income under the head "Salaries".
- g) Loss from a source, income of which is exempt u/s 10: Such loss cannot be set off against any taxable income.
- h) Income from winning from lotteries, etc.: Any loss cannot be set off against winning from lotteries, crossword puzzles, races, card games, gambling, betting, etc. [Sec. 58(4) & 115BB]

Illustration

The income of Mr. Prasad for the previous year has been computed as follows:

1. Loss under the head, income from other source	7000
2. Loss under the head income from house property	5000
3. Profits and gains of business	55000
4. Long term capital gain	25000

Compute the gross total income

Solution

Profits and gains of business	55000
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Long term capital gain	<u>25000</u>	80000
Less loss under the head income from other source	7000	
Less under the head income from house property	5000	<u>12000</u>
		68000

CARRY FORWARD OF LOSS

In case where the income of an assessment year is insufficient to set off the losses of the year then such losses (which could not be set off) can be carried forward to subsequent assessment year(s) for set off against income of such subsequent year(s). However, all losses cannot be carried forward, e.g. losses under the head 'Income from other sources' (other than loss from 'Activity of owning and maintaining race-horses') cannot be carried forward. Following losses can be carried forward:

1. Loss under the head 'Income from house property' [Sec. 71B]
2. Loss under head "Profits and gains of business or profession" other than speculation loss [Sec. 72]
3. Loss from speculation business [Sec. 73]
4. Loss from specified business covered u/s 35AD [Sec. 73A]
5. Loss under the head 'Capital gains'. [Sec. 74]
6. Loss from 'Activity of owning and maintaining race horses'. [Sec. 74A]

CARRY FORWARD & SET OFF OF BUSINESS LOSS OTHER THAN SPECULATION LOSS [SEC. 72]

Loss under the head "Profits and gains of business or profession" (other than speculation loss) can be carried forward and set off against income under the same head.

Note: For this purpose business profit includes profits derived from a business activity but assessable under the heads other than 'Profit and gains of business or profession', e.g. Dividend

income when shares are held as stock, though taxable under the head 'Income from other sources' but business loss can be set off against such income.

Period for which carry-forward shall be allowed: 8 assessment years immediately succeeding the assessment year in which such loss is first computed.

CARRY FORWARD AND SET OFF OF SPECULATION LOSS [SEC. 73]

1. Speculative transaction means a transaction in which contract for purchase and sale of any commodity including stock and shares, is periodically or ultimately settled otherwise than by the actual delivery or transfer of the commodity or scripts. [Sec. 43(5)]

2. As per explanation to sec. 73, where any part of the business of a company consists of purchase and sale of shares of other companies, such company shall be deemed to be carrying on speculation business to the extent of purchase and sale of shares. However, this rule is not applicable in case of companies -

a) of which gross total income mainly consists of income which is chargeable under the head "Income from house property", "Capital gains", and "Income from other sources"; or

b) of which principal business is the business of trading in shares or banking or granting of loans and advances.

LOSS UNDER THE HEAD "CAPITAL GAIN"

1. Short term capital loss

Short term capital loss can be set off in the same assessment year with the capital gains arising out of short term or long term capital asset. If it cannot be wholly set off in the same assessment year, it can be carried forward for a maximum period of eight assessment years immediately succeeding the assessment in which the loss has incurred and can be set off against capital gains.

2. Long term capital loss

Such loss can be set off against the gain from any other long term capital asset only. If it cannot be wholly set off in the same assessment year against long term capital gain, it can be

forward for a period of eight years from the assessment year in which the loss was incurred and can be set off against long term capital gains.

3. Loss of house property

It can be carried forward and set off only against income of house property for 8 years.

4. Carry forward and set off losses of a discontinued business

When a business have been discontinued before 1/4/99 and brought forward loss of such a business cannot be set off against the income of any other business or profession.

5. Loss on maintenance of horse races

SEQUENCE OF SET OFF

1. Current year capital expenditure on scientific research
2. Current year expenditure on family planning to the extent allowed
3. Current year depreciation
4. Brought forward loss from business/profession
5. Unabsorbed expenditure on family planning
6. Unabsorbed capital expenditure on scientific research

DEDUCTIONS IN COMPUTING TOTAL INCOME

Gross total income of the assessee is not the income on which tax is to be paid. From gross total income certain general deductions are allowed which are covered by Chapter VIA of the Income Tax Act.

- 1) 80 C : Life Insurance premium deferred annuity contribution to provident fund, subscription to certain equity shares or debentures etc.
- 2) 80 D : Medical Insurance Premium.
- 3) 80 DD : Medical Treatment of Handicapped dependent.
- 4) 80 DDB : Deduction in respect of medical treatment etc.

4) 80 E : Interest on loan taken for higher education.

5) 80 U : Deduction to physically handicapped.

SECTION 80C: Deduction in respect of life insurance premia, deferred annuity, contributions to provident fund, subscription to certain equity shares or debentures, etc. Persons Covered: Individual /HUF. Eligible Amount: Any sums paid or deposited in the previous year by the assessee

1. As Life Insurance premium to effect or keep in force insurance on life of (a) self, spouse and any child in case of individual and (b) any member, in case of HUF.
 - a. Insurance premium should not exceed 20% of the actual capital sum assured, if the policy is issued before 1-04-2012.
 - b. The qualifying amount of life insurance premium on the insurance policy issued on or after 1-04-2012 shall not exceed 10% of the actual capital sum assured.
 - c. The qualifying amount of life insurance premium on an insurance policy issued on or after 1-04-2013 shall not exceed 15% of the actual capital sum assured if it is on the life of a person who is (a) a person with disability or a person with severe disability or (b) suffering from disease or ailment specified u/s 80DDB.
2. To effect or keep in force a deferred annuity contract on life of self, spouse and any child in case of individual. Such contract should not contain a provision for cash payment option in lieu of payment of annuity.
3. By way of deduction from salary payable by or on behalf of the Government to any individual for the purpose of securing to him a deferred annuity or making provision for his spouse or children. The sum so deducted does not exceed 1/5th of the salary.
4. As contribution (not being repayment of loan) by an individual to Statutory Provident Fund; i.e., any provident fund to which the Provident Funds Act, 1925, applies.
5. As contribution to Public Provident Fund scheme, 1968, in the name of self, spouse and any child in case of individual and any member in case of HUF.
6. As contribution by an employee to a recognized provident fund.
7. As contribution by an employee to an approved superannuation fund
8. any subscription to any such security of the central government or any such deposit scheme which is notified by the central govt.

9. Any sum deposited in a 10 year or 15 year account under the Post Office Savings Bank(CTD)Rules, 1959, in the name of self and as a guardian of minor in case of individual and in the name of any member in case of HUF.
10. Subscription to the NSC (VIII issue) and IX issue.
11. As a contribution to Unit-linked Insurance Plan (ULIP) of UTI or LIC Mutual Fund(Dhanraksha plan) in the name of self, spouse and child in case of individual and any member in case of HUF.
12. To effect or to keep in force a contract for such annuity plan of the LIC (i.e., Jeevan Dhara, Jeevan Akshay and their up gradations) or any other insurer as referred to in by the Central Government.
13. As subscription to any units of any Mutual Fund referred u/s. 10(23D)(Equity Linked Saving Schemes).
14. As a contribution by an individual to any pension fund set up by any Mutual Fund referred u/s10(23D).
15. As subscription to any such deposit scheme of National Housing Bank (NHB), or as a contribution to any such pension fund set up by NHB as notified by Central Government.
16. As subscription to notified deposit schemes of (a) Public sector company providing long-term finance for purchase/construction of residential houses in India or (b) Any authority constituted in India for the purposes of housing or planning, development or improvement of cities, towns and villages.
17. As tuition fees(excluding any payment towards any development fees or donation or payment of similar nature), to any university, college, school or other educational institution situated within India for the purpose of full-time education of any two children of individual.
18. Towards the cost of purchase or construction of a residential house property(including their payment of loans taken from Government, bank, LIC, NHB, specified assessee's employer etc, and also the stamp duty, registration fees and other expenses for transfer of such house property to the assessee). The income from such house property should be chargeable to tax under the head" Income from house property".
19. As subscription to equity shares or debentures forming part of any eligible issue of capital of public company or any public financial institution approved by Board.

20. As Term Deposit(Fixed Deposit)for 5 years or more with Scheduled Bank in accordance with a scheme framed and notified by the Central Government
21. As subscription to any notified bonds of National Bank for Agriculture and Rural Development (NABARD).
22. In an account under the Senior Citizen Savings Schemes Rules, 2004.
23. As five year term deposit in an account under the Post Office Time deposit Rules, 1981.Extent of Deduction:100% of the amount invested or Rs. 1,00,000/-whichever is less. However, as per Section 80CCE, the total deduction the assessee can claim u/ss. 80C, 80CCC and 80CCD(1)shall be restricted in aggregate to Rs. 1,00,000/-.

DEDUCTION U/S 80CCC IN RESPECT OF CONTRIBUTION TO PENSION FUND

Applicable to

An individual (irrespective of residential status or citizenship of the individual)

Condition to be satisfied

- 1. Amount paid under an annuity plan:** During the previous year, assessee has paid or deposited a sum under an annuity plan of the Life Insurance Corporation of India (LIC) or any other insurer for receiving pension from the fund referred to in Sec. 10(23AAB).
- 2. Payment out of taxable income:** The amount must be paid out of income which is chargeable to tax. However, it is not necessary that such income relates to current year.

Quantum of deduction

Minimum of the following -

- a) Amount deposited; or
- b) ` 1,50,000

Other Points

- a) Treatment of Interest or Bonus accrued:** Interest or bonus accrued or credited as per the scheme to the assessee's account shall not be eligible for deduction.
- b) Withdrawal from such fund [Sec. 80CCC(2)]:** Any amount received by the assessee or his nominee as pension; or on surrender of such annuity is taxable in the hands of recipient in the year of receipt.

Note: Interest or bonus received from such fund shall also be taxable.

- c. Deduction u/s 80C [Sec.80CCC(3)]:** Deduction u/s 80C will not be available for the amount paid or deposited and for which deduction has been claimed u/s 80CCC.

DEDUCTION U/S 80CCD IN RESPECT OF CONTRIBUTION TO PENSION SCHEME

Applicable to

An individual

Condition to be satisfied

During the previous years, the assessee has paid or deposited any amount in his account under a pension scheme notified by the Central Government (New Pension System and Atal Pension Yojna).

Deduction u/s 80CCD(1)	
<u>A. In case of salaried individual</u>	
Lower of the following	`
• Amount so paid or deposited	***
• 10% of his salary ¹ in the previous year	***

Add: The whole of the contribution made by the employer to such account to the maximum of 10% of his salary ¹ in the previous year.	***
Amount of Deduction	***
<u>B. In case of other individual</u>	
Lower of the following	
• Amount so paid or deposited	
• 20% of his gross total income in the previous year	
<u>Additional Deduction u/s 80CCD(1B)</u>	
Lower of the following shall also be eligible for deduction	`
• Contribution to the scheme by any individual [Other than amount claimed and allowed as deduction u/s 80CCD(1)]	***
• ₹ 50,000	***

DEDUCTION U/S 80CCE: LIMIT ON DEDUCTIONS U/S 80C, 80CCC AND 80CCD

The **aggregate** amount of deductions under section 80C, section 80CCC and section 80CCD [other than deduction in respect of employer's contribution and additional deduction u/s 80CCD(1B)] shall **not exceed ` 1,50,000**.

Taxpoint: An assessee can claim deduction u/s 80C, 80CCC & 80CCD:

Particulars	Amount
Deduction u/s 80C	*****
Deduction u/s 80C	*****
Deduction u/s 80CCD [Other than deduction in respect of Employer's Contribution and additional deduction u/s 80CCD(1B)]	*****
Total [Restricted to maximum of ` 1,50,000 u/s 80CCE]	*****
Add: Contribution to the pension scheme by any individual allowable u/s 80CCD(1B) [Sub. to maximum of ` 50,000/-]	*****
Add: Employer's contribution to New Pension System referred to in Sec. 80CCD [Subject to max. of 10% of salary]	*****
Deduction available u/s 80C, 80CCC & 80CCD	*****

ILLUSTRATION

X completed his studies on 1-04-2018 and was immediately employed by the Government on the following terms –

Basic Salary ` 20,000 p.m.

DA ` 5,000 p.m. (forming a part of retirement benefit)

Bonus ` 40,000

During the year, his employer contributed ` 33,000 to the pension scheme being notified u/s 80CCD of the Income Tax Act, 1961. X also contributed similar amount. His income from house property is ` 50,000. During the year he contributed ` 15,000 to pension plan of LIC, to PPF ` 1,00,000 and paid LIC premium of ` 16,000 (Policy value ` 1,20,000). Compute his total income.

Solution

Computation of total income of X for the A.Y.2019-20

Particulars	Amount	Amount	Amount
<u>Salaries</u>			
Basic (₹ 20,000 × 12)		2,40,000	
Bonus		40,000	
Dearness allowances (₹ 5,000 × 12)		60,000	
Contribution to pension scheme		33,000	
Gross Salary		3,73,000	
Less: Standard Deduction u/s 16(ia)		40,000	3,33,000
Income from house property			50,000
Gross Total Income			3,83,000
Less: <u>Deduction u/s</u>			
80C - LIC premium to maximum of 10% of Policy value (i.e. 10% of ₹ 1,20,000)	12,000		
- Contribution in PPF	1,00,000	1,12,000	
80CCC (Pension plan of LIC)		15,000	
80CCD (Notified pension scheme)			
- Own contribution being lower of:			
a) Amount contributed i.e. ₹ 33,000			
b) 10% of (Basic and DA forming part of retirement benefit), i.e., 10% of (₹ 2,40,000 + ₹ 60,000)		30,000	
		1,57,000	
As per sec.80CCE, total deduction u/s 80C + 80CCC + 80CCD (other than employer's contribution) cannot exceed ₹ 1,50,000		1,50,000	
80CCD(1B): Contribution to NPS (Amount not claimed above subject to max. of ₹ 50,000/-)		3,000	

- Employer contribution			
a) Amount contributed i.e. ` 33,000			
b) 10% of (Basic and DA forming part of retirement benefit), i.e., 10% of (` 2,40,000 + ` 60,000)		30,000	1,83,000
Total Income			2,00,000

DEDUCTION U/S 80D IN RESPECT OF MEDICAL INSURANCE PREMIUM

Applicable to

An individual or an HUF (irrespective of residential status or citizenship) Eligible Amount Premium paid on Medi claim Policy issued by GIC or any other insurer approved by IRDA (Insurance Regulatory and Development Authority).

Extent of Deduction:

For Individual

- a. For taxpayer his/her spouse and dependent children: 100% of premium paid subject to ceiling of (a) Rs. 20,000/-in the case of premium paid in respect of senior citizen (who has attained the age of 65 years or more) and (b) Rs.15,000/-in other cases.
- b. Additional deduction for parents of the taxpayer whether dependent or not 100% of premium paid subject to ceiling of (a) Rs. 20,000/-in the case of premium paid in respect of senior citizen (who has attained the age of 65 years or more) and (b) Rs. 15,000/-in other cases.

From Assessment year 2011-12, the benefit of deduction will be extended to the contribution made to Central Government Health Scheme. However, the aggregate limit for deduction remains the same.

ILLUSTRATION

X, 40 years old, paid following sums by cheque –

Person Insured	Amount
Mediclaime Insurance premium for X	18,000
Mediclaime Insurance premium for Mrs. X (not dependant on X)	5,000
Contribution to the Central Government Health Scheme for Dependand Daughter	3,000

School of Distance Education

Mediclaime Insurance premium for Son (not dependant on X)	3,000
Contribution to the Central Government Health Scheme for Brother (dependant on X)	1,000
Mediclaime Insurance premium for Mother-in law (dependant on X age 70 years)	900
Mediclaime Insurance premium for Mother (dependant on X age 59 years)	26,500
Mediclaime Insurance premium for Grand parents (dependant on X)	1,600
Mediclaime Insurance premium for Father (not dependant on X age 61 years)	32,000
Contribution to the Central Government Health Scheme for Father	2,000
Total	68,000

Compute deduction available to Mr. X u/s 80D.

Solution

Computation of deduction u/s 80D available to Mr. X

Person Insured	Notes	Amount	Amount
X	Himself		18,000
Mrs. X	Spouse		5,000
Daughter	Dependent		3,000
Son	Not dependent		Nil
Brother	Not eligible		Nil
Mother in law	Not eligible		Nil
Grand parents	Not eligible		Nil
Qualifying amount			26,000
Restricted to the maximum limit			25,000
Add: Additional deduction for parents			
Mother		26,500	
Restricted to the maximum limit		25,000	
Add: Additional deduction for insurance of Father (a		32,000	

Senior Citizen)		
Add: Contribution to the Central Government Health Scheme for Father (Not eligible)	Nil	
Qualifying amount	57,000	
Restricted to the maximum limit	50,000	50,000
Deduction u/s 80D		75,000

ILLUSTRATION

Mr. Ram (38 years) has incurred following expenses:

Particulars	Rs
Medi claim Insurance premium paid for himself	9,000
Medi claim Insurance premium paid for spouse	8,000
Medi claim Insurance premium paid for dependent children	6,000
Medi claim Insurance premium paid for father (62 years)	18,000
Preventive health-check up expenditure for father	6,000
Preventive health-check up expenditure for himself (paid in cash)	4,000

Solution

Computation of deduction u/s 80D available to Mr. Ram

Particulars	Amount	Amount
Mediclaim Insurance premium paid for himself		9,000
Mediclaim Insurance premium paid for spouse		8,000
Mediclaim Insurance premium paid for dependent children		6,000
Qualifying amount (A)		23,000
Add: Additional deduction for parents		
Mediclaim Insurance premium paid for father (B)		18,000
Add: Expenditure incurred for preventive health check up	Incurred	Max. Limit
Preventive health-check up expenditure for father	6,000	5,000!
! Max. limit		

Preventive health-check up expenditure for himself # [`25,000 – (A)]	4,000	2,000#	
		7,000	
Restricted to overall maximum limit for preventive health check ups (C)			5,000
Deduction u/s 80D (A + B + C)			46,000

DEDUCTION U/S 80DD IN RESPECT OF MAINTENANCE OF DEPENDANT DISABLE RELATIVE

Applicable to

A resident individual (irrespective of citizenship) or a resident HUF

Conditions to be satisfied

1. Assessee has a dependant disable relative:

a) Dependant Relative

In the case of	Relative includes
Individual	Spouse, children, parents, brothers and sisters of the individual
HUF	Any member of the Hindu Undivided Family
Dependant Relative: A relative is said to be dependant if he wholly or mainly depends on such individual or HUF for his support and maintenance.	

b) Disability shall have the meaning assigned to it in Sec. 2(i) of the Persons with Disabilities (Equal Opportunities, Protection of Rights and Full Participation) Act, 1995 and includes “autism”, “cerebral palsy” and “multiple disability” referred to in sec. 2(a), 2(c) and 2(h) of the National Trust for Welfare of Persons with Autism, Cerebral Palsy, Mental Retardation and Multiple Disabilities Act, 1999.

Person with disability means a person as referred to in Sec. 2(f) of the Persons with Disabilities (Equal Opportunities, Protection of Rights and Full Participation) Act, 1995 or sec. 2(j) of the National Trust for Welfare of Persons with Autism, Cerebral Palsy, Mental Retardation and Multiple Disabilities Act, 1999 (i.e., a person suffering with 40% or more of one or more ‘disabilities’ as certified by a medical authority).

Disability includes blindness, low vision, leprosy-cured, hearing impairment, locomotor disability, mental retardation, mental illness.

2. No benefit u/s 80U to disable relative: The disable individual has not claimed benefit u/s 80U.

3. Expenditure on disable relative: Assessee has -

- incurred any expenditure for the medical treatment (including nursing), training and rehabilitation of a dependant, being a person with disability; or
- paid or deposited any amount in an approved scheme for the maintenance of a disable dependant being framed by the Life Insurance Corporation or any other insurer or the Administrator# or Unit Trust of India.

Note: Though assessee needs to fulfill the above condition, the amount of deduction shall not be affected by the actual expenditure incurred on the above two purposes.

4. Medical certificate: Assessee shall furnish a copy of the certificate issued by the medical authority\$ along with the return of income in respect of the assessment year for which the deduction is claimed.

\$ Medical authority means medical authority as per Sec. 2(p) of the Persons with Disabilities (Equal Opportunities, Protection of Rights and Full Participation) Act, 1995 or such other medical authority as may, by notification, be specified by the Central Government for certifying “autism”, “cerebral palsy”, “multiple disabilities”, “person with disability” and “severe disability” referred to in sec. 2(a), 2(c), 2(h), 2(j) and 2(o) of the National Trust for Welfare of Persons with Autism, Cerebral Palsy, Mental Retardation and Multiple Disabilities Act, 1999 (i.e., specified hospital or institution.)

Quantum of deduction

Relative is suffering from severe disability	` 1,25,000
Relative is suffering from disability but not severe disability	` 75,000
<i><u>Taxpoint:</u> Deduction shall be irrespective of actual expenditure incurred i.e. deduction is statutory in nature.</i>	
<u>Person with severe disability</u> means ● a person with 80% or more of one or more disabilities, as referred to in sec. 56(4) of the Persons with Disabilities (Equal Opportunities, Protection of Rights and Full Participation) Act, 1995; or ● a person with severe disability referred to in sec. 2(o) of the National Trust for Welfare of Persons with Autism, Cerebral Palsy, Mental Retardation and Multiple Disabilities Act, 1999.	

ILLUSTRATION 8

Compute total income of Sri Bhandari from following information:

Taxable salary (Net)	` 75,000
Income from other sources	` 20,000
Agricultural income	` 4,000

Particulars	Details	Amount
Salaries		75,000
Income from Other Sources		20,000
Gross Total Income		95,000
<i>Less: Deduction u/s</i>		
80CCC (Paid in LIC annuity plan)	18,000	
80D (Medical insurance premium for mother being senior citizen)	20,000	
80DD (Dependant severe disable relative)	1,25,000	
(Subject to maximum of gross total income)		95,000
Total Income		Nil

DEDUCTION U/S 80DDB IN RESPECT OF MEDICAL TREATMENT

Applicable to

A resident individual (irrespective of citizenship) or a resident HUF

Conditions to be satisfied

1. Expenditure incurred on the medical treatment of relative: The assessee has, during the previous year, actually paid any amount for the medical treatment of a specified disease or ailment as prescribed in rule 11DD. Expenditure is incurred for treatment of the assessee himself or for a dependant relative#.

Dependant Relative

In the case of	Relative
Individual	Spouse, children, parents, brothers and sisters of the individual.
HUF	Any member of the HUF

Dependant Relative: A relative is said to be dependant if he wholly or mainly depends on such individual or HUF for his support and maintenance.

2. Medical Prescription: Assessee should obtain the prescription for such medical treatment from a neurologist, an oncologist, a urologist, a haematologist, an immunologist or such other specialist, as may be prescribed.

Quantum of deduction

Minimum of the following -

- a) Actual expenditure incurred by the assessee; or
- b) ₹ 40,000

Deduction for senior citizen: If such expenditure is incurred for a senior citizen, then the maximum amount of deduction shall be enhanced to ₹ 1,00,000.

Taxpoint: For claiming higher deduction of ₹ 1,00,000/-, payer need not be a senior citizen but person for whom such expenditure has been incurred must be a senior citizen.

Treatment of Mediclaim or amount reimbursed by the employer: Deduction under this section shall be reduced by the amount received, if any -

- under an insurance from an insurer; or
 - reimbursed by an employer,
- for the medical treatment of the person.

Taxpoint:

Quantum of Deduction	
Patient	Deduction shall be minimum of the following
Senior citizen	• [(Actual expenditure incurred by assessee) – (Amount reimbursed by employer or medi-claim received)] • [₹ 1,00,000 – (Amount reimbursed by the employer or mediclaim received)]
Other	• [₹ 40,000 – (Amount reimbursed by the employer or mediclaim received)] • [(Actual expenditure incurred by assessee) – (Amount reimbursed by employer or medi-claim received)]
Note: In any case, the total deduction cannot exceed ₹ 1,00,000	

Specified diseases as per rule 11DD are -

1) Neurological disease: (a) Dementia (b) Dystonia Musculorum Deformans (c) Motor Neuron Disease (d) Ataxia (e) Chorea (f) Hemiballismus (g) Aphasia (h) Parkinson's Disease (all neurological disease must have disability of 40% and above);

2) Cancer;

3) Full Blown Acquired Immuno Deficiency Syndrome (AIDS);

4) Chronic Renal Failure;

5) Hemophilia; and

6) Thalassaemia.

ILLUSTRATION

Find the amount of deduction u/s 80DDB for the following cases:

Name of the Assessee	P	Q	R	S	T
Residential status of the assessee	Ordinarily resident	Not ordinarily resident	Non Resident	Resident but not Indian Citizen	Resident
Expenditure incurred for medical treatment (specified disease) of dependant brother	` 6,000	` 80,000	` 1,00,000	` 72,000	` 80,000
Age of Brother	28	63	68	88	52
Residential status of dependant	Resident	Non resident	Resident	Resident	Resident
Medical Insurance claim received.	-	-	-	-	` 8,000

Solution

Amount of deduction available u/s 80DDB shall be as under:

Particulars	P	Q	R	S	T
Deduction u/s 80DDB	6,000	40,000 ¹	- ²	72,000 ³	32,000 ⁴

Notes

1. As the brother is non-resident, therefore, senior citizen benefit is not available.

2. As the assessee himself is a non-resident, hence no deduction u/s 80DDB is available.

3. As the brother is resident having age of 88 years, hence he is a senior citizen. However, actual expenditure incurred by the assessee is less than ` 1,00,000, therefore deduction shall be restricted to actual expenditure incurred.

4. As the medical insurance claim is received, hence the amount of deduction (i.e. ` 40,000) shall be reduced by the amount of claim received.

DEDUCTION U/S 80E IN RESPECT OF REPAYMENT OF LOAN FOR HIGHER EDUCATION

Applicable to

An Individual (irrespective of residential status and citizenship of the individual).

Conditions to be satisfied

1. Loan from specified institution: The assessee had taken a loan from -

- a financial institution; or

Financial Institution means a banking company to which the Banking Regulation Act, 1949 applies (including any banking institution referred to in sec. 51 of that Act) or any other specified financial institution.

- an approved charitable institution

Approved Charitable Institution means an institution established for charitable purposes and approved by the prescribed authority u/s 10(23C) or an institution referred to in Sec. 80G(2)(a)

2. Purpose of loan: The loan must have been taken for the purpose of pursuing higher education of himself/herself or for any other following persons:

- | | | |
|------------------|--|------------------------------------|
| a. Spouse | b. Children (dependent or not); | c. the student for whom the |
| | or | individual is the legal guardian |

“Higher education” means any course of study pursued after passing the Senior Secondary Examination or its equivalent from any school, board or university recognised by the Central Government or State Government or local authority or by any other authority authorised by the Central Government or State Government or local authority to do so

3. Payment of interest: The assessee pays interest on such loan.

4. Payment out of taxable income: The amount must be paid out of income chargeable to tax. However, it is not necessary that such income relates to the current year.

Quantum of deduction

Amount paid during the year by way of payment of interest.

Maximum permissible period for which deduction is available [Sec.80E(2)]

Deduction under this section shall be allowed for the initial assessment year and 7 assessment years immediately succeeding the initial assessment year\$ or until interest is paid by the assessee in full, whichever is earlier.

\$ Initial Assessment Year means the assessment year relevant to the previous year, in which the assessee starts repaying the loan or interest thereon.

Taxpoint

- The deduction is available for a maximum period of 8 consecutive years.
- The period starts from the year in which the assessee starts paying the interest on such loan.

DEDUCTION IN RESPECT OF INTEREST ON LOAN TAKEN FOR RESIDENTIAL HOUSE PROPERTY [SEC. 80EE]

Applicable to

Individual (resident or non-resident)

Conditions to be satisfied

- 1. Loan:** The assessee has taken loan for acquisition of the residential house property
- 2. Sanction of Loan:** The loan has been sanctioned by the financial institution¹ during the Previous Year 2016-17.
- 3. Amount of Loan:** The amount of loan sanctioned for acquisition of the residential house property does not exceed ` 35 lakhs.
- 4. Value of Residential Property:** The value of the residential house property does not exceed ` 50 lakhs.
- 5. No other residential property:** The assessee does not own any residential house property on the date of sanction of the loan.

Quantum of Deduction

Minimum of the following:

- a. Interest on loan payable for the previous year
- b. ` 50,000

Other Points

Double deduction is not available: Where a deduction under this section is allowed for any interest, deduction shall not be allowed in respect of such interest under any other provisions of the Act for the same or any other assessment year.

Taxpoint: It is irrelevant whether such interest pertains to pre-construction period or post construction period.

PROVISION ILLUSTRATED

Compute deduction u/s 80EE in the following cases:

(` in lakh)

	Case 1	Case 2	Case 3	Case 4	Case 5	Case 6	Case 7
Assessee	P	Q	R	S	T	U	X (HUF)
Date of Sanction of Loan	01-10-16	01-10-16	01-10-16	01-10-16	01-10-16	01-10-15	01-10-16
Amount of loan	` 30	` 20	` 40	` 20	` 10	` 20	` 20
Value of the property	` 40	` 55	` 50	` 35	` 35	` 35	` 35
Other residential property owned by the Assessee on the date of sanction	No	No	No	Yes	No	No	No
Interest for P.Y.2017-18	` 1.20	` 1.20	` 1.80	` 1.20	` 0.40	` 1.00	` 1.20
Deduction u/s 80EE	` 0.50	Nil	Nil	Nil	` 0.40	Nil	Nil
Notes	1	2	3	4	5	6	7

1. Assessee can claim ` 70,000 being excess interest, as deduction u/s 24(b)
2. As value of the property exceeds ` 50 lac hence, deduction u/s 80EE is not available.
However, assessee can claim deduction u/s 24(b)
3. As amount of loan exceeds ` 35 lac hence, deduction u/s 80EE is not available. However, assessee can claim deduction u/s 24(b).
4. As assessee owns other residential house property on the date of sanction of loan, hence, deduction u/s 80EE is not available. However, assessee can claim deduction u/s 24(b)
5. Assessee can claim ` 40,000 as deduction u/s 80EE
6. Loan was not sanctioned during the previous year 2016-17
7. The deduction u/s 80EE is not available to HUF, however, assessee can claim deduction u/s 24(b).

DEDUCTION U/S 80G IN RESPECT OF DONATIONS TO CERTAIN FUNDS, ETC.

Applicable to

All assessee (irrespective of residential status and citizenship of the assessee).

Conditions to be satisfied

1. Donation: Assessee must donate (not in kind) to specified Funds or Organisations (as listed below).

Taxpoint: Donation in kind shall not qualify for deduction

2. Mode of donation: Donation in excess of ` 2,000 shall be made by any mode (but not in kind) other than cash.

Taxpoint: Cash donation upto ` 2,000 shall qualify for deduction.

3. Proof of donation: Proof of donation, in original, should be attached with the return of income.

Other Points

a) Specified funds or organizations: Specified Funds or Organisations are divided into two categories:

i) On which limit is not applicable (Item No.1 to 25 given in the list) (hereinafter referred as Category A Organisation).

ii) On which limit is applicable (Item No.26 to 32 given in the list) (hereinafter referred as Category B Organisation).

b) Double deduction is not permissible: Where deduction under this section has been allowed, the same shall not qualify for deduction under any other section for the same or any other Assessment Year

Taxpoint:

- The limit is applicable only on category B organizations or funds.
- The limit is applicable on qualifying amount of donation and not on deduction.
- The limit is not on individual donation but on aggregate donation.

Computation of quantum of deduction

Particulars	Amount
100% or 50% of donation to category A organizations or funds	***
Add: 100% or 50% of donation to category B organizations or funds (subject to the Limit#)	***

Deduction u/s 80G	***
# Limit: 10% of Adjusted Gross total income (hereinafter referred as Adj. GTI) Adjusted GTI = Gross total income – Long term capital gain – Short term capital gain covered u/s 111A - All deductions u/s 80C to 80U other than deduction u/s 80G - Income referred u/s 115A, 115AB, 115AC, etc. Taxpoint: While calculating Adjusted GTI, casual income like winning from lotteries, etc. shall be included.	

ILLUSTRATION

Compute total income for the A.Y.2019-20 of Miss Dipika, a resident individual, from the following details:

Particulars	Amount
Profits and gains of business or profession	80,000
Income from Other Sources	10,000
Long-term Capital Gains	5,00,000
Payment of medical insurance premium on own life	5,000
Donation to National Foundation for communal harmony	4,000
Donation to the fund set up by the Gujarat Govt. for providing Relief to victims of earthquake in Gujarat	5,000
Donation to Indira Gandhi Memorial Trust	1,000
Donation to Prime Minister's Drought Relief Fund	5,000
Donation to Approved Charitable Institution	12,000
Donation to Central Government for promotion of family planning	3,000
Donation to a poor boy for higher education	10,000
Donation of cloth to an approved institution worth	12,000
Donation to charitable institution for construction of home for a particular community	8,000

Solution

Computation of total income of Miss Dipika for the A.Y. 2019-20

Particulars	Details	Amount
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School of Distance Education

Profits & gains of business or profession	80,000
Capital gains: Long term capital gains	5,00,000
Income from Other Sources	10,000
Gross Total Income	5,90,000
<i>Less: Deduction under chapter VIA</i>	
Sec. 80D (Assumed premium is paid by cheque)	5,000
Sec. 80G (Donation)	17,750
Total Income	5,67,250

Donation made to	Amount	Rate	Deduction
Donation to National Foundation for Communal Harmony	4,000	100%	4,000
Donation to the fund set up by the Gujarat Government for providing relief to victims of earthquake in Gujarat	5,000	100%	5,000
Donation to Indira Gandhi Memorial Trust	1,000	50%	500
Donation to Prime Minister's Drought Relief Fund	5,000	50%	2,500
Donation to the Central Government for promotion of family planning	3,000*	100%	3,000
Donation to approved charitable institution	5,500*	50%	2,750
Total amount of donation u/s 80G			17,750

* Calculation of Deduction for donation on which limit is applicable:

Computation of limit		
Adjusted GTI	GTI – LTCG – Deductions other than deduction u/s 80G	` 5,90,000 – ` 5,00,000 – ` 5,000 = ` 85,000
Limit	10% of Adj. GTI	10% of ` 85,000 = ` 8,500
<u>Application of limit:</u> There is restriction on amount of donation qualifying under this section. If assessee opts to adjust qualifying amount with donation made to approved charitable institution, then he is eligible for deduction to the extent of 50% only. So, it is beneficial for him to adjust qualifying amount, first, with donation made to the 'Central Government for		

promotion of family planning' as it is eligible for 100% deduction. Hence, donation shall be restricted -

Donation to Central Government for promotion of family planning	3,000
Donation to approved charitable institution (` 8,500 – ` 3,000)	5,500
Total	8,500

Donations which are not eligible for deduction u/s 80G are stated below:

Donation	Reason
Donation to a poor boy for higher education	Donation has not been given to a specified organization
Donation of cloth to an approved institution	Donation has been made in kind
Donation to charitable institution for construction of home for particular community	Amount donated is for the benefit of a particular community

DEDUCTION U/S 80GG IN RESPECT OF HOUSE RENT PAID

Applicable to

An Individual (irrespective of the residential status and citizenship of the individual)

Conditions to be satisfied

- 1. No House rent allowance:** Assessee is not receiving House Rent Allowance (HRA).
- 2. No house at the place of employment:** He or his spouse or minor child or HUF of which he is a member, should not own any residential house at a place where the assessee resides, perform the duties of his office, or employment or carries on his business or profession.
- 3. No claim for the benefit of self-occupied house property:** Assessee should not treat any residential house situated at other places as self-occupied property u/s 23(2)(a) or 23(4)(a).
- 4. Proof for payment of rent:** A declaration in Form 10BA should be filed for expenditure incurred by him towards payment of rent.

Taxpoint: Rent must be paid for a residential house property whether furnished or unfurnished.

Quantum of deduction

Minimum of the following:

1. ` 5,000 per month;

2. 25% of Adjusted Gross total income for the year (referred as Adj. GTI); or
3. The excess of actual rent paid for accommodation over 10% of Adjusted Gross total income.

Arithmetically, [Rent paid - 10% of Adj. GTI]

Note

Adjusted GTI = Gross total income – Long term capital gain – STCG taxable u/s 111A - All deduction u/s 80's other than sec. 80GG – Income u/s 115A, 115AB, 115AC, etc.

Taxpoint: While calculating Adjusted GTI, casual income like winning from lotteries etc. shall be included.

Treatment in case of accommodation at concessional rent provided by employer

Where an assessee has been provided an accommodation by his employer at concessional rent, then rent paid by him shall be

- deducted while valuing such perquisite; and
- eligible for deduction u/s 80GG.

ILLUSTRATION

Compute total income of Sri Bajaj of Delhi from the following data:

Particulars	Amount
Profits & gains of business or profession	80,000
Income from house property (let-out and situated at Kolkata)	40,000
Income from other sources	10,000
Rent paid for office	8,000
Rent paid for residential house	40,000

Solution

Calculation of total income of Sri Bajaj for the A.Y. 2019-20

Particulars	Amount
Profits & gains of business or profession	80,000
Income from house property	40,000
Income from other sources	10,000
Gross Total Income	1,30,000

Less: Deduction u/s 80GG#			27,000
Total Income			1,03,000
# Computation of deduction u/s 80GG			
Particulars	Working	Details	Amount
Least of the following shall be deductible:			
₹ 5,000 per month	₹ 5,000 × 12	60,000	
25% of Adjusted Gross total income	25% of ₹ 1,30,000#	32,500	
Excess of rent paid over 10% of Adj. GTI	₹ 40,000 - (10% of ₹ 1,30,000#)	27,000	27,000
# Adjusted GTI = Gross total income – Long term capital gain – Short term capital gain covered u/s 111A - All deduction under 80's other than section 80GG – Income u/s 115A, etc. = ₹ 1,30,000 Note: Rent paid for office is irrelevant for the purpose of Sec. 80GG.			

DEDUCTION U/S 80GGA IN RESPECT OF DONATIONS FOR SCIENTIFIC RESEARCH, ETC.

Applicable to

An assessee, who is not having any income under the head “Profits & gains of business or profession”.

Conditions to be satisfied

During the previous year, assessee paid any sum –

Purposes	Amount paid to
For Rural development	Approved association or institution, being engaged in any approved programme of rural development, to be used for carrying any rural development programme provided the assessee furnishes a certificate as referred in sec. 35CCA(2);

	● Approved association or institution engaged in training the persons for implementing programme of rural development provided that the assessee furnishes a certificate referred in sec. 35CCA(2A); ● Notified Rural Development Fund for the purpose of sec. 35CCA(1)(c)
For poverty eradication	Notified National Urban Poverty Eradication Fund setup and notified by the Central Government for the purpose of sec. 35CCA(1)(d).
For Scientific research	Research association, university, college or to other institution as approved u/s 35(1)(ii) to be used for scientific research.
For social science or statistical research	Research association which has as its object the undertaking of research in social science or statistical research or to a university, college or other institution approved u/s 35(1)(iii) to be used for research in social science or statistical research.
For other purpose	A public sector company or a local authority or an association or institution approved by the National Committee for carrying out any eligible project or scheme, provided a certificate is obtained from such company etc. as mentioned u/s 35AC(2)(a).

Mode of Payment: Payment in excess of ` 10,000 to aforesaid purpose shall be made by any mode other than cash.

Quantum of deduction

Amount actually paid is fully deductible.

Other Points

Withdrawal of approval: Deduction shall not be denied merely on the ground that subsequent to the contribution made by the assessee, the approval granted (or notification notifying eligible projects) has been withdrawn.

DEDUCTION IN RESPECT OF CONTRIBUTIONS TO POLITICAL PARTIES [SEC. 80GGB]

Applicable to

An Indian company

Condition

Assessee has contributed any sum **(by any mode other than cash)**, in the previous year, to any political party or an electoral trust.

Quantum of deduction

100% of such contribution made in the previous year.

DEDUCTION IN RESPECT OF CONTRIBUTIONS GIVEN BY ANY PERSON TO POLITICAL PARTIES [SEC. 80GGC]

Applicable to

All assessee except local authority and every artificial juridical person wholly or partly funded by the Government

Condition

Assessee has contributed any sum **(by any mode other than cash)**, in the previous year, to any political party or an electoral trust.

Quantum of deduction

100% of such contribution made in the previous year.

DEDUCTIONS IN RESPECT OF PROFITS AND GAINS FROM INDUSTRIAL UNDERTAKINGS OR ENTERPRISES ENGAGED IN INFRASTRUCTURE DEVELOPMENT, ETC. [SEC. 80-IA]

Deduction under this section is available for industrial undertaking engaged in the following business—

- Telecommunication service;
- Industrial parks or special economic zone;
- Power generation, transmission and distribution

Infrastructure facility

Applicable to

Indian Company or any consortium (combination) of such company or by an authority or a board or a corporation or any other body established or constituted under any Central or State Act.

Conditions to be satisfied

1. Nature of business: The enterprise should carry on the business of -

- (a) Developing; or
- (b) Operating and maintaining; or
- (c) Developing, operating and maintaining,

- any infrastructure facility.

Infra-structure facility means —

a) A road including toll road, a bridge or a rail system;

b) A highway project including housing or other activities being an integral part of the highway project;

c) A water supply project, water treatment system, irrigation project, sanitation and sewerage system or solid waste management system;

d) A port, airport, inland waterway or inland port or navigational channel in the sea.

2. Agreement: Assessee has entered into an agreement with the Central Government or a State Government or a local authority or any other statutory body for -

(i) developing; or

(ii) operating and maintaining; or

(iii) developing, operating and maintaining

- a new infrastructure facility.

3. Commencement of business: It has started or starts operating & maintaining the facility on or after the 1-4-1995 but before 01-04-2017.

Quantum of Deduction

Case	Quantum of Deduction	Period of deduction
For infrastructure facility being -		
A port, airport, inland waterway or inland port or navigational channel in the sea	100% of the profit derived from such business	For any 10 consecutive years out of 15 years commencing from the year in which the undertaking begins to operate.
Any housing and other development activities which are an integral part of the highway project	100% of the profit derived from such business	For any 10 consecutive years out of 20 years commencing from the year in which the undertaking begins to operate subject to certain other conditions#
Any other facility	100% of the profit derived from such	For any 10 consecutive years out of 20 years commencing from the year

	business	in which the undertaking begins to operate.
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The conditions for claiming deduction in respect of any profit derived from housing and other development activities, which are an integral part of the highway project are as follows -

1. Profit of such undertaking shall be computed in prescribed manner.
2. Such profit has been transferred to special reserve account;
3. The reserve shall be utilised for highway project excluding housing and other activities before the expiry of 3 years following the previous year in which such amount was transferred; &
4. Every assessee shall maintain separate accounts for such activities & shall submit a certificate in Form 10CCC from an accountant, specifying the amount credited to the reserve account and the amount utilised during the relevant previous year for the highway project.

Notes

a) Method of computation of profit of housing or other activities, which are an integral part of the highway project

In a case where the annual profits can be arrived at in accordance with the regular method of accounting followed	The profits computed as per provisions of the Act
In any other case	The profits based on the percentage of completion of such activities during the previous year.

b) Consequence when reserve is not so utilized: Where any reserve is not so utilised or unutilized, then such amount shall be taxable as income of the previous year in which transfer to reserve took place.

Telecommunication Service

Applicable to

All assessee

Conditions to be satisfied

1. Nature of business: Such undertaking provides telecommunication services whether basic or cellular, including radio paging, domestic satellite service, network of trunking, broadband network and internet services.

Domestic satellite means a satellite owned and operated by an Indian company for providing telecommunication service.

2. Commencement of business: It starts such services after 31-3-1995 but before 1-4-2005.

3. Business should not be formed by splitting up or reconstruction of an existing business.

Exception

However, this condition is not applicable when conditions given u/s 33B are satisfied, which are as follows -

- The business of an industrial undertaking carried on in India is discontinued in any previous year by reason of extensive damage to, or destruction of, any building, machinery, plant or furniture owned by the assessee being used for business purpose.

- Such damage was caused due to -

- i. flood, typhoon, hurricane, cyclone, earthquake or other convulsion of nature; or

- ii. riot or civil disturbance; or

- iii. accidental fire or explosion; or

- iv. action by an enemy or action taken in combating an enemy (whether with or without a declaration of war),

- Such business is re-established, reconstructed or revived by the assessee at any time before the expiry of 3 years from the end of previous year in which damage was caused.

4. New Plant & Machinery: Such undertaking should not be formed by transfer of machinery or plant previously used for any purpose.

Taxpoint: Such undertaking may be set up in an old building.

Exception

(i) A plant or machinery is deemed as new asset if the following conditions are satisfied -

a. Such plant or machinery is imported into India;

b. Depreciation on such asset has not been allowed under this Act to any person; and

c. The assessee was the first user of such asset in India.

(ii) Where the total value of old plant and machinery transferred to the new business does not exceed 20% of total value of plant and machinery used in such business, then this condition is deemed to be satisfied.

Quantum of Deduction

- Any 10 consecutive years out of 15 years commencing from the year in which the undertaking begins to provide telecommunication service.
- Percentage of deduction

Period of deduction	Percentage of deduction
For first 5 years	100% of profit from such business
For next 5 years	30% of profit from such business

Industrial Park or Special Economic Zone

Applicable to

All assessee

Condition to be satisfied

1. Nature of business: Such undertaking should be engaged in the business of -

- Developing; or
 - Developing and operating or maintaining; or
 - Operating,
- industrial park or special economic zone notified by Central Government.

2. Commencement of business: Such undertaking develops, develops and operates or maintains and operates such park or zone for the following period –

In case of	Period
Industrial park	1-4-1997 to 31-3-2011
Special Economic Zone	1-4-2001 to 31-3-2006

Quantum of Deduction

100% of profit derived from such business for any 10 consecutive years out of 15 years commencing from the year in which the undertaking begins to operate.

From the date of application of sec. 80-IAB, no deduction shall be available u/s 80-IA for SEZ notified on or after 1-4-2005.

Power generation, transmission and distribution

Applicable to

All assessee

Conditions to be satisfied

1. Nature of business: Such undertaking is set up in India for the generation or generation and distribution of power.

2. Commencement of business: Such undertaking commences business during the following time schedule:

In case of	Period
Generation of power	1-4-1993 to 31-3-2017
Transmission or distribution by laying a network of new transmission or distribution lines	1-4-1999 to 31-3-2017
Substantial renovation and modernization ¹ of the existing transmission or distribution lines	1-4-2004 to 31-3-2017
1. "Substantial renovation and modernisation" means an increase in the plant and machinery in the network of transmission or distribution lines by at least 50% of the book value of such plant and machinery as on the 1-4-2004.	

3. New Business: Business should not be formed by splitting up or reconstruction of an existing business.

Exception

However, this condition is not applicable in the following cases:

- In case of reconstruction, splitting up or reorganization of State Electricity Board;
- In case when conditions given u/s 33B are satisfied, which are as follows -
 - a. The business of an industrial undertaking carried on in India is discontinued in any previous year by reason of extensive damage to, or destruction of, any building, machinery, plant or furniture owned by the assessee being used for business purpose.
 - b. Such damage was caused due to -
 - i. flood, typhoon, hurricane, cyclone, earthquake or other convulsion of nature; or
 - ii. riot or civil disturbance; or
 - iii. accidental fire or explosion; or
 - iv. action by an enemy or action taken in combating an enemy (whether with or without a declaration of war),

c. Such business is re-established, reconstructed or revived by the assessee at any time before the expiry of 3 years from the end of previous year in which damage was caused.

4. New Plant & Machinery: Such undertaking should not be formed by transfer of machinery or plant previously used for any purpose.

Exception

(i) In case of reconstruction, splitting up or reorganization of State Electricity Board;

(ii) A plant or machinery is deemed as new asset if the following conditions are satisfied -

a. Such plant or machinery is imported into India;

b. Depreciation on such asset has not been allowed under this Act to any person; and

c. The assessee was the first user of such asset in India.

(iii) Where the total value of old plant and machinery transferred to the new business does not exceed 20% of total value of plant and machinery used in such business, then this condition is deemed to be satisfied.

Quantum of Deduction

100% of profit derived from such business for any 10 consecutive years out of 15 years commencing from the year in which the undertaking begins to operate.

Note: In case of undertaking engaged in transmission or distribution by laying a network of new transmission or distribution lines, deduction shall be limited to the extent of profit derived from laying of such network of new lines.

Undertaking set-up for re-construction or revival of a power generating unit

Applicable to

Indian company

Conditions to be satisfied

a. Such **company** is formed before 30-11-2005 with majority equity participation by public sector companies for the purpose of enforcing the security interest of the lenders to the company owning the power generating plant.

b. Such **company** is notified before 31-12-2005 by the Central government.

c. An **undertaking** must be set up for reconstruction or revival of a power generating plant.

d. Such **undertaking** begins to generate or transmit or distribute power before 31-3-2011

Quantum of Deduction

100% of profit derived from such business for any 10 consecutive years out of 15 years commencing from the year in which the undertaking begins to operate.

Other points for all eligible undertaking u/s 80-IA

1. Return of income is required to be furnished within due date of filing of return as specified u/s 139(1).
2. Certificate in Form 10CCBA from a chartered accountant is required to be furnished along with the return of income.
3. In the following cases, Assessing Officer may recompute profit of the undertaking –

Case 1: Transaction between two undertakings of the same assessee	Case 2: Transaction between two assessee
Conditions	
a. Assessee carries on at least two undertakings	a. Assessee has entered into business transactions with any other person
b. Out of such undertakings at least one is eligible for exemption and at least one is not eligible for exemption	b. Business between the assessee carrying on the eligible business and any other person is so arranged that the business transacted between them produces to the assessee more than the ordinary profits, which might be expected to arise in such eligible business
c. Goods are transferred from eligible undertaking to any non eligible undertaking or vice versa	
d. The consideration for such transfer does not correspond to the market value of such goods as on the date of transfer	
Treatment	
Profits and gains of eligible business shall be computed as if the transfer, in either case, had been made at the market value of such goods as on that date.	The Assessing Officer shall, in computing the profits and gains of such eligible business, take the amount of profits as may reasonably be deemed to have been derived there from.
However, in case the aforesaid arrangement involves a specified domestic transaction referred to in sec. 92BA, the amount of profits from such transaction shall be determined having regard to arm’s length price as defined in sec. 92F(ii).	

4. Inter-unit transfer (Sec.80A): Where -

- a. Assessee carries on at least two units
 - b. Out of such units at least one is eligible for deduction and at least one is not eligible for exemption
 - c. Goods or services are transferred from eligible unit to any non eligible unit or vice versa
 - d. The consideration for such transfer does not correspond to the market value of such goods as on the date of transfer
- then, deduction shall be computed as if the transfer, in either case, had been made at the market value\$ of such goods or services as on that date.

\$ Market value in relation to any goods or services means:

- i. Where the transfer of such goods or services is a specified domestic transaction referred to in section 92BA the arm's length price as defined in sec. 92F(ii);
- ii. The price that such goods or services would ordinarily fetch in the open market

5. Double deduction is not allowed

- a)** Where any deduction is allowed under this section, then deduction shall not be allowed under other provisions; and
- b)** Deduction, in any case, cannot exceed the profits and gains of eligible business of undertaking.

6. The profits and gains of an eligible business shall for the purpose of determining the quantum of deduction for the assessment year immediately succeeding the initial assessment year or any subsequent assessment year, be computed as if such eligible business was the only source of income of the assessee during the previous year relevant to the initial assessment year and to every subsequent assessment year up to and including the assessment year for which the determination is to be made.

7. No deduction shall be allowed if the deduction has not been claimed in the return of income.

8. No benefit is available in relation to a specified business which is in the nature of a works contract awarded by any person (including the Central or State Government) and executed by the undertaking or enterprise.

DEDUCTION IN RESPECT OF PROFITS AND GAINS BY AN UNDERTAKING OR ENTERPRISE ENGAGED IN DEVELOPMENT OF SPECIAL ECONOMIC ZONE [SEC. 80-IAB]

Applicable to

All assessee

Conditions to be satisfied

1. It must be engaged in the business of developing a Special Economic Zone (SEZ).
2. Such SEZ shall be notified on or after 1-4-2005 under the Special Economic Zones Act, 2005
3. Such development has begun before 01-04-2017.

Quantum of deduction

100% of profit derived from such business for 10 consecutive assessment years out of 15 years commencing from the year in which such SEZ has been notified.

Other Points

- a. Where a developer transfers the operation and maintenance of such SEZ to another developer, then such other developer shall claim deduction for remaining period.
- b. From the date of application of this section, no deduction shall be available u/s 80-IA for SEZ notified on or after 1-4-2005.
- c. Where any deduction is allowed under this section, then deduction shall not be allowed under any other provisions.
- d. Return of income in time: Refer sec. 80-IA
- e. Audit report: Refer sec. 80-IA
- f. Power of Assessing Officer to recompute profit: Refer sec. 80-IA
- g. No deduction shall be allowed if the deduction has not been claimed in the return of income.
- h. Profit from such business is only source of income: Refer sec. 80-IA

DEDUCTION IN RESPECT OF ELIGIBLE START-UP [SEC. 80-IAC]

Applicable to

An eligible start-up

■ **Eligible start-up** means a company or a limited liability partnership engaged in eligible business which fulfils the following conditions:

- a. it is incorporated on or after 01-04-2016 but before 01-04-2021;
- b. the total turnover of its business does not exceed ` 25 crore in the previous year relevant to the assessment year for which deduction is claimed; and
- c. it holds a certificate of eligible business from the notified Inter-Ministerial Board of Certification.

■ **Eligible business** means a business carried out by an eligible start up engaged in innovation, development or improvement of products or processes or services or a scalable business model with a high potential of employment generation or wealth creation.

Conditions to be satisfied

1. Eligible Business: The assessee should be engaged in the eligible business

2. New Business: Business should not be formed by splitting up or reconstruction of an existing business.

Exception: Refer Telecommunication Service in sec. 80-IA.

3. New Plant and Machinery: Such undertaking should not be formed by transfer of machinery or plant previously used for any purpose.

Exception: Refer Telecommunication Service in sec. 80-IA.

Quantum of deduction

100% of profit derived from such business for 3 consecutive assessment years out of 7 years commencing from the year in which such eligible start-up is incorporated.

Other Points

a. Where any deduction is allowed under this section, then deduction shall not be allowed under any other provisions.

b. Audit report: Refer sec. 80-IA

c. Return of income in time: Refer sec. 80-IA

d. Power of Assessing Officer to recompute profit: Refer sec. 80-IA

e. No deduction shall be allowed if the deduction has not been claimed in the return of income.

f. Profit from such business is only source of income: Refer sec. 80-IA

DEDUCTION IN RESPECT OF PROFITS AND GAINS FROM CERTAIN INDUSTRIAL UNDERTAKINGS OTHER THAN INFRASTRUCTURE DEVELOPMENT UNDERTAKINGS [SEC. 80-IB]

Deduction under this section is available to undertaking engaged in –

1. Industrial undertaking

2. Industrial and scientific research

3. Mineral oils

4. Developing and building housing projects

5. Integrated handling, storage and transportation of food grains unit

6. Processing, preservation and packaging of fruits or vegetables and meat products;

7. Operating and maintaining a hospital in rural area.

Industrial Undertaking [Sec. 80-IB(2)]

Applicable to

All assessee

Conditions to be satisfied

1. Nature of business: It must be engaged in the following business in India –

(a) Manufactures or produces any article or thing other than article or thing specified in the list in the 11th Schedule (further in case of industrial undertaking located in the State of Jammu and Kashmir, such undertaking should also not be engaged in any the manufacture or production of any article or thing specified in Part C of the Thirteenth Schedule); or

(b) Operates cold storage plant.

■ Manufacture, with its grammatical variations, means a change in a non-living physical object or article or thing:

(a) resulting in transformation of the object or article or thing into a new and distinct object or article or thing having a different name, character and use; or

(b) bringing into existence of a new and distinct object or article or thing with a different chemical composition or integral structure.

■ Manufacture or production of article or thing does not include construction of dam, bridge, road or building

■ Undertaking located in the State of Jammu and Kashmir shall not manufacture or produce any article mentioned in the 11th Schedule as well as following items (being mentioned in Part C of 13th Schedule):

a. Cigarettes/cigars of tobacco, manufactured tobacco and substitutes

b. Distilled/brewed alcoholic drinks

c. Aerated branded beverages and their concentrates:..

Exception

However, following undertakings may produce any article specified in the 11th schedule -

● A small-scale industrial undertaking; or

● An industrial undertaking in an industrially backward State (or Union territories) specified in the 8th Schedule.

2. New Business: Business should not be formed by splitting up or reconstruction of an existing business.

Exception: Refer Telecommunication Service in sec. 80-IA.

3. New Plant and Machinery: Such undertaking should not be formed by transfer of machinery or plant previously used for any purpose.

Exception: Refer Telecommunication Service in sec. 80-IA.

5. No. of worker: Such industrial undertaking employs specified number of workers –

Undertaking manufacturing articles or thing	Minimum number of worker
With the aid of power	10 workers
Without the aid of power	20 workers

6. Commencement of business : Such undertaking starts its operation within following time schedule –

Case	Time period
Industrial undertaking located in the backward State being Jammu & Kashmir	1-4-1993 to 31-3-2012
Industrial undertaking located in other industrial backward States	1-4-1993 to 31-3-2004
Industrial undertaking including cold storage plant located in industrial backward district of category 'A' or 'B'	1-10-1994 to 31-3-2004
Cold chain facility for agricultural produce	1-4-1999 to 31-3-2004
Small scale undertaking	1-4-1991 to 31-3-2002
Any other industrial undertaking or cold storage plant	1-4-1991 to 31-3-1995

Quantum of Deduction

Nature of undertaking	Deduction where undertaking is owned by		
	Company	Co-operative society	Any other person

Located in industrial backward State ^b Located in industrial backward district of category 'A' Operating cold chain facility for agricultural produce	100% for 5 years and 30% for next 5 years	100% for 5 years and 25% for next 7 years	100% for 5 years and 25% for next 5 years
Located in industrial backward district of category 'B'	100% for 3 years and 30% for next 5 years	100% for 3 years and 25% for next 9 years	100% for 3 years and 25% for next 5 years
Any other undertaking including Small scale undertaking	30% for 10 years	25% for 12 years	25% for 10 years

Minerals Oil [Sec. 80-IB(9)]

Applicable to

All assessee

Conditions to be satisfied

1. Nature of business: The undertaking shall be engaged in the production or refining of mineral oil in any part of India.

2. Time: The undertaking has begun commercial production within the following time schedule

Nature of business	Time
● Production of mineral oil	After 31-3-1997 but before 01-04-2017
● Refining of mineral oil	After 30-9-1998 but before 31-03-2012
● Commercial production of natural gas*	On or after 01-09-2009 but before 01-04-2017

Quantum of Deduction

100% of the profits derived from such business for a period of 7 consecutive years starting from assessment year relevant to the previous year in which the undertaking commences the commercial production or refining of mineral oil.

Processing, preservation and packaging of fruits or vegetables, meat or integrated business of handling, storage & transportation of foodgrains [Sec.80-IB (11A)]

Applicable to

All assessee

Conditions to be satisfied

1. The undertaking shall be engaged in -

- the business of processing, preservation and packaging of fruits or vegetables; or
- the business of processing, preservation and packaging of meat and meat products or poultry or marine or dairy products; or
- the integrated business of handling, storage and transportation of foodgrains.

2. Commencement of operations: The aforesaid business begins to operate on or after following period:

Nature of business	Business begins to operate
Processing, preservation and packaging of meat and meat products or poultry or marine or dairy products	On or after 01-04-2009
Other specified business	On or after 01-04-2001

Quantum of deduction

Period of deduction	Percentage of deduction
First 5 years	100% of profit from such business
For next 5 years	25% (30% in case of company) of profit from such business

Other Points applicable on any undertaking covered by Sec. 80IB

For followings, refer sec. 80-IA

1. Return of income in time
2. Audit Report
3. Power of Assessing Officer to recompute profit
4. Double deduction is not allowed
5. Computation of profit of eligible business
6. Deduction must be claimed in the return of income

DEDUCTION IN RESPECT OF PROFITS AND GAINS FROM HOUSING PROJECTS
[SEC. 80-IBA]

Applicable to

All assessee

Conditions to be satisfied

1. Housing Project: The assessee is engaged in the business of developing and building housing projects.

Housing project shall be a project which fulfils the following conditions:

a) The project is approved by the competent authority after 01-06-2016, but on or before 31-03-2019.

b) The project is completed within a period of 5 years from the date of approval by the competent authority.

■ Where the approval in respect of a housing project is obtained more than once, the project shall be deemed to have been approved on the date on which the building plan of such housing project was first approved by the competent authority;

■ The project shall be deemed to have been completed when a certificate of completion of project as a whole is obtained in writing from the competent authority.

c) The carpet area of the shops and other commercial establishments included in the housing project does not exceed 3% of the aggregate carpet area.

d) The project should satisfies the following measuring criteria:

Location of the plot	Minimum Size of plot of land	Maximum Size of carpet area of the residential unit	Minimum utilisation of Floor Area Ratio
Within the cities of Chennai, Delhi, Kolkata or Mumbai	1,000 sq. meters	30 sq. meters	90%
Any other place	2,000 sq. meters	60 sq. meters	80%

e) The project is the only housing project on such plot of land;

f) Where a residential unit in the housing project is allotted to an individual, no other residential unit in the housing project shall be allotted to the individual or the spouse or the minor children of such individual;

g) The assessee maintains separate books of account in respect of the housing project.

Quantum of Deduction

100% of the profits derived from such business.

Other Points

- Deduction is not available to any assessee who executes the housing project as a works-contract awarded by any person (including the Central Government or the State Government).
- Where the housing project is not completed within the specified period, then deduction has been claimed and allowed earlier, shall be deemed to be the income of the assessee chargeable under the head “Profits and gains of business or profession” of the previous year in which the period for completion so expires.
- Double deduction is not available.
- Return of income in time: Refer sec. 80-IA
- **Competent authority** means the authority empowered to approve the building plan by or under any law for the time being in force.
- **Floor Area Ratio** means the quotient obtained by dividing the total covered area of plinth area on all the floors by the area of the plot of land.
- **Housing project** means a project consisting predominantly of residential units with such other facilities and amenities as the competent authority may approve subject to the provisions of this section.
- **Residential unit** means an independent housing unit with separate facilities for living, cooking and sanitary requirements, distinctly separated from other residential units within the building, which is directly accessible from an outer door or through an interior door in a shared hallway and not by walking through the living space of another household.
- **Carpet area** means the net usable floor area of an apartment, excluding the area covered by the external walls, areas under services shafts, exclusive balcony or verandah area and exclusive open terrace area, but includes the area covered by the internal partition walls of the apartment.

**DEDUCTION IN RESPECT OF UNDERTAKING IN SPECIAL CATEGORY STATES
[SEC. 80-IC]**

Applicable to

All assessee

Conditions to be satisfied

- 1. Specified Articles to be produced:** Assessee must produce or manufacture any article or thing other than any article or thing specified in the Thirteenth Schedule in specified State.
- 2. Time:** In case of new undertaking, it begins manufacture or production of articles or things or in case of an existing undertaking, it undertakes substantial expansion, during the following time schedule:

Location	Time period to begin production or for substantial expansion
Where it manufactures or produces any article or thing other than article specified in 13th Schedule:	
Specified area ^a in Sikkim	23-12-2002 to 31-3-2007
Specified area ^b in Himachal Pradesh or Uttarakhand	7-1-2003 to 31-3-2012
Specified area ^b in any North-Eastern States ^c	24-12-1997 to 31-3-2007
Where it manufactures or produces any article specified in 14th Schedule:	
Any area of Sikkim	23-12-2002 to 31-3-2007
Any area of Himachal Pradesh or Uttarakhand	7-1-2003 to 31-3-2012
Any area of North-Eastern States	24-12-1997 to 31-3-2007

a. Substantial expansion means increase in the investment in plant and machinery by at least 50% of the book value of plant and machinery (before taking depreciation in any year), as on the first day of the previous year in which the substantial expansion is undertaken.

b. Specified area means any Export Processing Zone; or Integrated Infrastructure Development Centre; or Industrial Growth Centre; or Industrial Estate; or Industrial Park; or Software Technology Park; or Industrial Area; or Theme Park, in relevant State.

c. North-Eastern States means the States of Arunachal Pradesh, Assam, Manipur, Meghalaya, Mizoram, Nagaland and Tripura.

3. New Business: Business should not be formed by splitting up or reconstruction of an existing business.

Exception: Refer Telecommunication Service in sec. 80-IA

4. New Plant & Machinery: Such undertaking should not be formed by transfer of machinery or plant previously used for any purpose.

Exception: Refer Telecommunication Service in sec. 80-IA

Quantum of Deduction

Deduction under this section is depends on location of undertaking –

Location of undertaking	Deduction
Sikkim or any State of North- Eastern Region	100% of profit or gain of undertaking for 10 assessment year from the initial assessment year#
Himachal Pradesh or Uttranchal	100% of profit or gain of undertaking for 5 assessment year from the initial assessment year# and 25% (30% in case of company) of profit or gain of undertaking for next 5 years

Initial assessment year means the assessment year relevant to the previous year in which the undertaking or the enterprise begins to manufacture or produce articles or things, or commences operation or completes substantial expansion.

Other Points

- a) Double deduction is not available.
- b) Deduction shall not be allowed to any undertaking or enterprise under this section, where the total period of deduction inclusive of the period of deduction under this section or u/s 80-IB or u/s 10C, as the case may be, exceeds ten assessment years.
- c) Return of income in time: Refer sec. 80-IA
- d) Audit report: Refer sec. 80-IA
- e) Power of Assessing Officer to recompute profit: Refer sec. 80-IA
- f) No deduction shall be allowed if the deduction has not been claimed in the return of income.

g) Profit from such business is only source of income: Refer sec. 80-IA

SPECIAL PROVISIONS IN RESPECT OF CERTAIN UNDERTAKINGS IN NORTH-EASTERN STATES [SEC. 80-IE]

Applicable to

All assessee

Conditions to be satisfied

1. Time and Nature of business: The assessee begins following activity during 01-04-2007 and 31-03-2017:

a) manufacture or production of any eligible article or thing; or

Eligible article or thing means the article or thing other than the following:

i. Tobacco and manufactured tobacco substitutes;

ii. Pan masala;

iii. Plastic carry bags of less than 20 microns as specified by the Ministry of Environment and Forests; and

iv. Goods produced by petroleum oil or gas refineries.

b) undertakes substantial expansion; or

Substantial expansion means increase in the investment in the plant and machinery by at least 25% of the book value of plant and machinery (before taking depreciation in any year), as on the first day of the previous year in which the substantial expansion is undertaken.

c) carry on any eligible business.

i. hotel (not below two star category);

ii. adventure and leisure sports including ropeways;

iii. providing medical and health services in the nature of nursing home with a minimum capacity of 25 beds;

iv. running an old-age home;

v. operating vocational training institute for hotel management, catering and food craft, entrepreneurship development, nursing and para-medical, civil aviation related training, fashion designing and industrial training;

vi. running information technology related training centre;

vii. manufacturing of information technology hardware; and

viii. Bio-technology

2. Location: Such activity takes place in any of the North-Eastern States.

North-Eastern States means the States of Arunachal Pradesh, Assam, Manipur, Meghalaya, Mizoram, Nagaland, Sikkim and Tripura.

3. New Business: It is not formed by splitting up, or the reconstruction, of a business already in existence

Exception: Refer Telecommunication Service in sec. 80-IA

4. New Plant & Machinery: It is not formed by the transfer to a new business of machinery or plant previously used for any purpose.

Exception: Refer Telecommunication Service in sec. 80-IA

5. Return of income is required to be furnished within due date.

6. A report of audit from chartered accountant (certifying that the deduction has been correctly claimed) shall be furnished along with the return of income.

Quantum of deduction

100% of the profits and gains of such business for a period of 10 consecutive assessment years, beginning from the assessment year relevant to the previous year in which such undertaking begins to manufacture or produce articles or things, or completes substantial expansion.

Other Points

a) Double deduction is not available.

b) Power of Assessing Officer to recomputed profit: Refer sec. 80-IA

c) Profit from such business is only source of income: Refer sec. 80-IA

d) No deduction shall be allowed if the deduction has not been claimed in the return of income.

DEDUCTION U/S 80JJA IN RESPECT OF PROFITS AND GAINS OF BUSINESS OF COLLECTING AND PROCESSING OF BIO-DEGRADABLE WASTE

Applicable to

All assessee

Conditions to be satisfied

Assessee is engaged in business of collecting and processing or treating of bio-degradable waste for –

a) generating power; or

b) producing bio-fertilizers, bio-pesticides or other biological agents; or

c) producing bio-gas; or

- d) making pellets or briquettes for fuel; or
- e) organic manure.

Quantum of deduction

100% of the profit derived from such business for a period of 5 consecutive years from the year of commencement of such business.

Other Points

- a) Double deduction is not allowed.
- b) Inter-unit transfer: Refer sec. 80-IA
- c) Return of income in time: Refer sec. 80-IA
- d) No deduction shall be allowed if the deduction has not been claimed in the return of income.

DEDUCTION U/S 80JJAA IN RESPECT OF EMPLOYMENT OF NEW WORKMEN

Applicable to

Any assessee subject to tax audit under sec. 44AB

Conditions to be satisfied

1. New Business: Business is not formed by splitting up, or the reconstruction, of an existing business.

Exception: Refer Telecommunication service in sec. 80-IA.

2. No business reorganization: Business is not acquired by the assessee by way of transfer from any other person or as a result of any business reorganization.

3. Audit: Books of account should be audited and report thereof should be submitted along with return of income.

4. Claimed in the return: No deduction shall be allowed if the deduction has not been claimed in the return of income.

Quantum of deduction

30% of additional employee cost incurred in the course of such business in the previous year, for 3 assessment years including the assessment year relevant to the previous year in which such employment is provided

Other Points

- Return of income in time: Refer sec. 80-IA
- **Additional employee cost** means the total emoluments paid or payable to additional employees employed during the previous year.

- In the case of an existing business, the additional employee cost shall be nil, if:
 - a. there is no increase in the number of employees from the total number of employees employed as on the last day of the preceding year;
 - b. emoluments are paid otherwise than by an account payee cheque or account payee bank draft or by use of electronic clearing system through a bank account.
- In the first year of a new business, emoluments paid or payable to employees employed during that previous year shall be deemed to be the additional employee cost.

■ **Additional employee** means an employee who has been employed during the previous year and whose employment has the effect of increasing the total number of employees employed by the employer as on the last day of the preceding year, but does not include:

- a. an employee whose total emoluments are more than ` 25,000 per month; or
- b. an employee for whom the entire contribution is paid by the Government under the Employees' Pension Scheme notified in accordance with the provisions of the Employees' Provident Funds and Miscellaneous Provisions Act, 1952; or
- c. an employee employed for a period of less than 240 days (150 days in case of an assessee who is engaged in the business of manufacturing of apparel or footwear or leather products) during the previous year; or

Taxpoint: Where an employee is employed during the previous year for a period of less than 240 days (or 150 days), but is employed for a period of 240 days (or 150 days) in the immediately succeeding year, he shall be deemed to have been employed in the succeeding year.

- d. an employee who does not participate in the recognised provident fund.

■ **Emoluments** means any sum paid or payable to an employee in lieu of his employment by whatever name called, but does not include:

- a. any contribution paid or payable by the employer to any pension fund or provident fund or any other fund for the benefit of the employee under any law for the time being in force; and
- b. any lump-sum payment paid or payable to an employee at the time of termination of his service or superannuation or voluntary retirement, such as gratuity, severance pay, leave encashment, voluntary retrenchment benefits, commutation of pension and the like.

DEDUCTION U/S 80LA IN RESPECT OF CERTAIN INCOMES OF OFFSHORE BANKING UNITS

Applicable to

- A scheduled bank owning an offshore banking unit in a Special Economic Zone (SEZ); or
- Any other bank incorporated by or under the laws of a country outside India and having an Offshore banking unit in SEZ.
- Unit of an International Financial Services Center.

Offshore Banking Unit means a branch of a bank in India located in the SEZ and has obtained the permission u/s 23(1) (a) of the Banking Regulation Act, 1949.

International Financial Services Center means an International Financial Services Center which has been approved by the Central Government u/s 18(1) of the Special Economic Zones Act, 2005.

Taxpoint:

- Assessee must be a scheduled bank;
- It has a branch in India located in SEZ

Conditions to be satisfied

- 1. Certificate of a chartered accountant:** Assessee must furnish along with the return of income, a report of a chartered accountant in Form 10CCF, certifying that the deduction has been correctly claimed.
- 2. Submission of permission:** A copy of the permission obtained u/s 23(1)(a) of the Banking Regulation Act, 1949 must be furnished along with the return of income.

DEDUCTION IN RESPECT OF INCOME OF PRODUCER COMPANIES [SEC. 80PA]

Applicable to

Producer Company as defined u/s 581A of the Companies Act, 2013

Conditions to be satisfied

- a) Turnover:** Total turnover of the assessee is less than ` 100 crore in any previous year.
- b) Profit from eligible business:** Gross total income of the assessee includes any income from eligible business.

Eligible Business means—

- a. the marketing of agricultural produce grown by the members; or*
- b. the purchase of agricultural implements, seeds, livestock or other articles intended for agriculture for the purpose of supplying them to the members; or*
- c. the processing of the agricultural produce of the members;*

Quantum of deduction

100% of the profits and gains attributable to such eligible business

Other Points

- a) No deduction shall be available u/s 80PA from A.Y. 2025-26
- b) No double deduction
- c) Return of income in time: Refer sec. 80-IA

DEDUCTION U/S 80Q QB IN RESPECT OF ROYALTY INCOME OF AUTHORS OF BOOKS

Applicable to

A resident individual (irrespective of his citizenship)

Conditions to be satisfied

- 1. Profession of assessee:** Assessee is an author or joint author of a book.
- 2. Nature of book:** The book should be a work of literary, artistic or scientific nature. It shall not include brochures, commentaries, diaries, guides, magazines, journals, newspapers, pamphlets, text-books for school, tracts and other publications of similar nature, by whatever name called.
- 3. Nature of income:** Gross total income of the assessee includes any income by way of –
 - (a) any lump sum consideration for the assignment or grant of any of his interest in the copyright of book; or
 - (b) royalty or copyright fees (whether receivable in lump sum or otherwise) in respect of the book. earned in India or earned from any source outside India.

Tax point: Consideration includes advance receipt of such nature, which is not returnable. However, when such income is earned from a source outside India then –

- **Remittance:** Such receipts should be brought into India by the assessee in convertible foreign exchange# within 6 months from the end of the previous year or within such further period as the competent authority* may allow in this behalf; and
- **Certificate in Form 10H:** The assessee must furnish a certificate in the Form 10H (obtained from the prescribed authority) along with his return of income.

Convertible foreign exchange means foreign exchange which is for the time being treated by the Reserve Bank of India as convertible foreign exchange for the purpose of the Foreign Exchange Regulation Act, 1973 and any rules made there under.

Competent authority means the Reserve Bank of India or such other authority as is authorized under any law for the time being in force for regulating payments and dealings in foreign exchange.

4. Report: Assessee must furnish a certificate along with the return of income in Form 10CCD duly verified by the person responsible for making such payment to the assessee.

Quantum of deduction

Deduction in case of lump sum royalty in lieu of all rights of the assessee in the book

Minimum of the following –

- a. 100% of such income; or
- b. ₹ 3,00,000

DEDUCTION U/S 80RRB IN RESPECT OF ROYALTY ON PATENTS

Applicable to

A resident individual (irrespective of citizenship of the individual), being a patentee (i.e. owner or co-owner of a patent)

Patentee means a person(s) who is true and first inventor of the invention and whose name is entered on the Patent register as the patentee (as owner or co-owner of a patent) in accordance with the Patent Act, 1970.

Conditions to be satisfied

1. Nature of income: Assessee has earned income (either in India or outside India) by way of royalty in respect of patent registered on or after 1-4-2003 under the Patents Act, 1970.

Tax point:

■ Royalty, in respect of a patent, means consideration (including any lump sum consideration) for—

- i) the transfer of all or any rights (including the granting of a licence) in respect of a patent; or
- ii) the imparting of any information concerning the working of, or the use of, a patent; or
- iii) the use of any patent; or
- iv) the rendering of any services in connection with the activities referred above.

■ *It includes advance royalty, which is not refundable.*

■ *It does not include -*

- a. *any capital sum received for sale of patent, which is chargeable under the head Capital gains*

b. consideration for sale of product manufactured with the use of patented process or of the patented article for commercial use .

However, when such income is earned from a source outside India, then –

- **Remittance:** Such receipts should be brought into India by the assessee in convertible foreign exchange# within 6 months from the end of the previous year or within such further period as the competent authority* may allow in this behalf; and

- **Certificate in Form 10H:** The assessee must furnish a certificate in the Form 10H from the prescribed authority along with his return of income

Convertible foreign exchange means foreign exchange which is for the time being treated by the Reserve Bank of India as convertible foreign exchange for the purpose of the Foreign Exchange Regulation Act, 1973 and any rules made there under.

* **Competent authority** means the Reserve Bank of India or such other authority as is authorized under any law for the time being in force for regulating payments and dealings in foreign exchange.

2. Certificate to be attached: Assessee must furnish a certificate in Form 10CCE duly signed by the prescribed authority along with the return of income.

Prescribed authority here means Controller u/s 1(b) of the Patent Act, 1970

DEDUCTION IN RESPECT OF INTEREST ON DEPOSITS IN SAVINGS ACCOUNT [SEC. 80TTA]

Applicable to

An individual (other than senior citizen covered u/s 80TTB) or a Hindu Undivided Family

Conditions to be satisfied

Gross total income of an assessee includes any income by way of interest on deposits (not being time deposits¹) in a savings account with:

- a banking company;
- a co-operative society engaged in carrying on the business of banking (including a co-operative land mortgage bank or a co-operative land development bank); or
- a Post Office

Quantum of deduction

Minimum of the following

- a.** Interest on such deposits in saving account

b. ₹ 10,000

DEDUCTION IN RESPECT OF INTEREST ON DEPOSITS IN CASE OF SENIOR CITIZENS [SEC. 80TTB]

Applicable to

Senior Citizen

Conditions to be satisfied

Gross total income includes any income by way of interest on deposits with:

- A banking company applies;
- A co-operative society engaged in carrying on the business of banking (including a co-operative land mortgage bank or a co-operative land development bank); or
- A Post Office

Quantum of deduction

Minimum of the following

a. Interest on such deposits in saving account

b. ₹ 50,000

Other Point

Where such income is derived from any deposit held by, or on behalf of, a firm, an association of persons or a body of individuals, no deduction shall be allowed.

DEDUCTION U/S 80U IN RESPECT OF PERSON WITH DISABILITY

Applicable to

A resident individual (irrespective of citizenship of the individual)

Conditions to be satisfied

1. Assessee is a disable-individual: Assessee, at any time during the previous year, is certified by the medical authority to be a person with disability.

2. Report: Assessee must furnish a copy of the certificate issued by the medical authority in the prescribed form along with the return of income, in respect of the assessment year for which the deduction has been claimed.

ILLUSTRATION

Mr. X, is suffering from low-vision (certified as severe disability). He has following incomes details -

Net Salary	₹ 45,000
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School of Distance Education

Short term capital gain	₹ 45,000
Long term capital gain	₹ 1,50,000

Particulars	Details	Amount
<i>Salaries</i>		45,000
<u>Capital gains</u>		
Short term capital gains	45,000	
Long term capital gains	1,50,000	1,95,000
Gross Total Income		2,40,000
<i>Less: Deduction u/s</i>		
80DD (Relative with disability)	75,000	
80U (Assessee is a person with severe disability)	1,25,000	90,000 ₁
Total Income	1,50,000	
1. Total deduction u/s 80C to 80U cannot exceed GTI excluding LTCG, STCG covered u/s 111A, and casual income like winning from lotteries, etc.		

ILLUSTRATION

Preeti furnished following details –

	Amount
<u>Income from Business</u>	
Business A (Readymade garments)	50,000
Business C (Processing bio-degradable wastes) (started during previous year)	25,000
Long term capital gain	25,000
Short term capital gain	65,000
Saving Bank interest	2,000
Interest on deposits with IDBI	1,000
Interest paid on loan taken for deposits in IDBI	1,200
Interest on NSC (including last year interest ₹ 1,500)	4,200
Investment in NSC	500
LIC premium paid on the life of dependent blind mother (Sum assured ₹ 1,00,000)	12,000

Investment in LIC annuity plan	8,000
Donation to National Defence Fund	12,500

Compute her total income and tax liability.

Solution

Computation of total income of Preeti for A.Y.2019-20

Particulars	Amount	Amount	Amount
<u>Profits and gains of business or profession</u>			
Business A		50,000	
Business C		25,000	75,000
<u>Capital gains</u>			
Long term capital gain		25,000	
Short term capital gain		65,000	90,000
<u>Income from other sources</u>			
Saving Bank interest		2,000	
Interest on deposit with IDBI	1,000		
Less: Interest paid on loan	1,200	(200)	
Interest on NSC		4,200	6,000
Gross Total Income			1,71,000
<u>Less: Deduction u/s</u>			
80C ^{\$}		3,200	
(Deposit in LIC annuity plan)		8,000	
80DD (Dependent blind mother)		75,000	
80G (Donation to National Defence Fund)		12,500	
80JJA (Business of processing bio-degradable wastes)		25,000	
80TTA (Saving Bank Interest)		2,000	(1,25,700)
Total Income			45,300

Note: Tax liability is nil as total income is within exempted limit.

\$ Calculation of deduction u/s 80C

School of Distance Education

Solution

Computation of total income of Risub for A.Y.2019-20

Particulars	Amount	Amount	Amount	Amount
<u>Salaries</u>				
Basic			96,000	
<u>Allowances</u>				
Dearness Allowance		12,000		
Entertainment Allowance		6,000		
Children Education Allowance	12,000			
Less: Exempted ($100 \times 12 \times 2$)	2,400	9,600	27,600	
<u>Perquisites</u>				
Rent free furnished accommodation				
- For accommodation, lower of 15% of salary ¹ or rent paid	18,540			
- For furniture	24,000			
	42,540			
Less: Rent paid for accommodation and furniture	24,000	18,540		18,540
Employer's contribution to RPF		10,000		
Less: Exempted (12% of salary ¹)		12,960	Nil	
			1,42,140	
Less: Standard Deduction u/s 16(ia)			40,000	1,02,140
<u>Income from house property</u>				
Gross Annual Value (being rent received)			1,50,000	
Less: Municipal tax paid			Nil	
Net Annual Value (NAV)			1,50,000	
Less: <u>Deduction u/s</u>				

School of Distance Education

24(a) Standard Deduction @ 30% of NAV		45,000		
24(b) Interest on loan		Nil	45,000	1,05,000
<u>Income from other sources</u>				
Fixed Deposit interest			42,000	
Royalty income			3,20,000	
Interest on Government securities			14,000	3,76,000
Gross Total Income				5,83,140
<i>Less: Deduction u/s</i>				
80C: Own contribution to RPF		10,000		
Contribution to PPF		25,000	35,000	
80GG (House rent paid) being minimum of -				
a) ₹ 5,000 p.m. × 12		60,000		
b) 25% of Adjusted GTI2		73,285		
c) Rent paid over 10% of Adjusted GTI2				
(₹ 12,000 – ₹ 29,314)		Nil	Nil	
80GGA: Donation to scientific research association			5,000	
80GGC: Contribution to political party			10,000	
80QQB: Royalty income being minimum of -				
a) 100% of income		3,20,000		
b) 15% of sale value of the book $[(3,20,000/20) \times 15]$		2,40,000		
c) Statutory amount		3,00,000	2,40,000	2,90,000
Total Income				2,93,140

Note

- Salary for the purpose of –

Particulars	Accommodation	RPF
Basic salary	96,000	96,000
Dearness allowance	12,000	12,000

School of Distance Education

Entertainment allowance	6,000	-
Children Education allowance	9,600	-
Total	1,23,600	1,08,000

2. Adjusted GTI = Gross taxable income – Long term capital gain – STCG being covered by sec. 111A - All deduction under 80's other than sec. 80GG – Income u/s 115A, etc.

$$= ₹ 5,83,140 - ₹ (35,000 + 5,000 + 10,000 + 2,40,000) = ₹ 2,93,140$$

Module II

INCOME TAX AUTHORITIES

The Income-tax Act contains provisions specifying the procedure relating to the appointment of the various income-tax authorities, their powers, functions, jurisdiction and control. In addition to these the Income-tax Department follows the system of functional allocation and distribution of work with a view to specialising and concentrating in the various areas of income tax assessment, procedure, collection, recovery, refund, appeals, etc.

Appointment of Income-tax Authorities (Section 117)

The Central Government may appoint such persons as it thinks fit to be income-tax authorities. Where an income-tax authority is authorised by the Board, it may appoint such executive or ministerial staff as may be necessary to assist it in the execution of its function.

Control of Income-tax Authorities (Section 118)

The Board (CBDT) is empowered to control the income-tax authorities. It may notify that any income-tax authority will be sub-ordinate to such other income-tax authority or authorities as may be specified in the notification.

Jurisdiction of Income-tax Authorities (Section 120)

Income-tax authorities are required to exercise or perform such powers or functions as are assigned to them by the Board. Any income-tax authority, being an authority higher in rank, may, if so directed by the Board exercise the powers and performs the functions of the income-tax authority lower in rank and any such direction issued by the Board. The Board may authorise any other income-tax authority to issue orders in writing for the exercise of the powers and performance of the functions by all or any of the income-tax authority who are subordinate to it. While issuing such directions, the Board or any other income-tax authority authorised by it may take into account

- (i) territorial area,
- (ii) persons or classes of persons,
- (iii) incomes or classes of income, and
- (iv) cases or classes of cases.

SECTION 116)

The following are the income-tax authorities who are statutorily empowered to administer the law of Income-tax:

- (i) The Central Board of Direct Taxes [C.B.D.T]
- (ii) Directors-General of Income-tax/Chief Commissioners of Income-tax/ Principal Commissioners of Income-tax
- (iii) Directors of Income-tax / Commissioners of Income-tax / Commissioners of Income-tax (Appeals).
- (iv) Additional Directors of Income-tax/Additional Commissioners of Income-tax/Additional Commissioners of Income-tax (Appeals)
- (v) Joint Directors of Income tax or Joint Commissioners of Income-tax.
- (vi) Deputy Directors of Income-tax or Deputy Commissioners of Income-tax or Deputy Commissioners of Income-tax (Appeals).
- (vii) Assistant Directors of Income-tax or Assistant Commissioners of Income-tax.
- (viii) Income-tax (Assessing) Officers.
- (ix) Tax Recovery Officers.
- (x) Inspectors of Income-tax.

The Central Board of Direct Taxes (CBDT)

1) Appointment and Working of the Board: The Central Board of Direct Taxes was created under the Central Boards of Revenue Act, 1963. The Board in its working is closely associated with the Ministry of Finance.

2) Jurisdiction: It is the topmost executive authority in the sphere of direct taxes. Its powers of administration supervision and control extend over the whole department.

3) Powers:

i. Power to make Rules: It has the power to make rules for carrying out the purposes of this Act. The Rules may be made for whole or any part of India. (Under Section 295)

ii. To issue instructions: It may issue orders, instructions and directions to all officers and persons employed in the execution of the Act (Under Section 119).

iii. Power to relax mandatory provisions: The Board is empowered to relax the provision relating to the charge of mandatory interest for defaults in deduction of tax at source, or payment of such tax or payment of advance tax or interest for defaults in furnishing return or interest for defaults in payment of advance tax or assessment and recovery of tax. The Board is also empowered to relax the provisions relating to the computation of total income and deductions to be made in computing total income in cases of genuine hardship. It can be done by a general or special order and for reasons to be specified therein.

iv. Power to admit belated refund application: To avoid genuine hardship in any case or class of cases, the Board may authorise any income-tax authority, not being Commissioner (Appeals) to admit belated application or claim for any exemption, deduction, refund or any other relief (Section 119)

v. **Power to decide jurisdiction:** The Board is empowered to decide jurisdictional matters of any income tax authority and assign to them such functions as are to be performed by them (Section 120).

vi. **Power to disclose information:** The Board may disclose information relating to any assessee, to any officer, authority, or body performing any functions under any tax law relating to the imposition of any tax, duty or cess or dealing in foreign exchange if it considers such disclosure in public interest. The Board may also authorise any other income-tax authority to disclose such information. The provision is intended to facilitate exchange of information about tax evaders. (Section 138).

Director-General /Principal Director-General /Chief Commissioner of Income-Tax

1) **Appointment** : Central Government.

2) **Jurisdiction** : determined by CBDT, keeping in view the area, persons, incomes and cases.

3) **Powers** :

i. **To appoint an income-tax authority below the rank of an Assistant**

Commissioner (Section 117): If so authorised by the Central Government a Director-General or Director may appoint an income- tax authority below the rank of Assistant Commissioner.

ii. **To delegate the powers of Assessing Officer to Joint Commissioner (Section 120):** Where Director-General or Director is so authorised by the Board, he may delegate the powers and functions of the Assessing Officer to Joint Commissioner.

iii. **To transfer cases (Section 127):** The Director-General may transfer any case from one or more Assessing Officers subordinate to him to any other Assessing Officer also subordinate to him.

iv. **Enquiry into concealment (Section 131)** If the Director-General or Director or Deputy Director or Assistant Director has reason to suspect that any income has been concealed, or is likely to be concealed, by any person or class of persons, within his jurisdiction, he is empowered to make any enquiry or investigation relating thereto notwithstanding that no proceedings with respect to such person or class of persons are pending before him/

v. **Search and seizure (Section 132):** Where the Director- General/ Director/Chief Commissioner/ Commissioner in consequence of information in his possession is empowered to authorise any Deputy Director, Deputy Commissioner, Assistant Director or Assessing Officer to enter and search any building, place, vessel, vehicle or aircraft, where he has reason to suspect about their availability and seize any such books of accounts, other documents, money, bullion, jewellery or other valuable article or thing where any involvement in tax frauds are present.

vi. **To requisition books of account/Assets etc. (Section 132A):** Where any books of account or documents have been taken into custody by any officer or authority under any other law and the Director General or Director or the Chief Commissioner or Commissioner, in consequence of information in his possession he may authorise any Deputy Director, Deputy Commissioner, Assistant Director, Assistant Commissioner or Income-tax Officer to require such officer or authority under any other law to deliver such books of account or documents or such assets to the requisitioning officer under income-tax law. On a requisition being made, such officer or

authority under any other law is required to deliver such books of accounts or documents or assets to the requisitioning officer either forthwith or after such time when it is no longer necessary to retain them in his custody.

vii. **To make any enquiry (Section 135):** The Director-General or Director is competent to make any enquiry under this Act.

Commissioner/Director/Additional Commissioner of Income-Tax

i. **Appointment :** Central Government

ii. **Jurisdiction :** Determined by CBDT, keeping in view the area, persons, incomes and cases.

iii. **Powers :**

a. To appoint an income-tax authority below the rank of Assistant Commissioner (Section 117): If so authorised by the Central Government, a Chief Commissioner or Commissioner may appoint an income-tax authority below the rank of Assistant Commissioner.

b. To delegate the powers of Assessing Officer to Deputy Commissioner (Sec 120): Where Chief Commissioner or Commissioner is so authorised by the Board, he may delegate the powers and functions of the Assessing Officer to Joint Director or Joint Commissioner.

c. To transfer case (Section 127): The Chief Commissioner or Commissioner is empowered to transfer any case from any Assessing Officers to any other Assessing Officer or Assessing Officers.

d. Power regarding discovery, production of evidence etc. (Section 131): The Chief Commissioner/ Commissioner has the powers in respect of discovery and inspection, compelling production of books of accounts and other documents before him for such time as he thinks fit.

e. Search and seizure (Section 132): Like Director-General or Director, the Chief Commissioner or Commissioner of Income-tax has also got the powers of search and seizure.

f. To requisition books of accounts etc. (Section 132A): Like Director-General or Director of Income tax, the Chief Commissioner or Commissioner is also vested with the power to requisition books of accounts.

g. Power of survey (Section 133A): An income-tax authority may enter any office, or any other place for the purpose of verifying whether tax has been deducted or collected at source in accordance with the relevant provisions. Provided that such place is within the limits of the area assigned to him.

h. To make any enquiry (Section 135): The Chief Commissioner or Commissioner is competent to make any enquiry under this Act.

i. Disclosure of information respecting assesses (Section 138): Where a person makes an application to the Chief Commissioner or Commissioner in the prescribed form for any information relating to any assessee in respect of any assessment, he may furnish the information asked for in respect of that assessment if he satisfied that such disclosure is in public interest.

j. To sanction reopening of the assessment after the expiry of four years (Sec 151): The assessment of an income which has escaped assessment can be reopened after the expiry of four

years from the end of the relevant assessment year only if the Chief Commissioner or Commissioner has sanctioned such reopening.

k. To approve withholding of refund in certain cases (Section 241): Where any proceeding is pending against the assessee and the Assessing Officer is of the opinion that the grant of the refund may adversely affect the revenue, the Chief Commissioner or Commissioner may authorise the Assessing Officer to withhold the refund till such time as the Chief Commissioner or Commissioner may determine.

l. Set-off of refund against arrears of tax (Section 245): The Chief Commissioner or Commissioner is empowered to set off the amount of refund or any part thereof due to any person against the arrears of the tax due from such person. Any intimation in writing to this effect should be given to such person.

m. To direct the Assessing Officer to prefer appeal to the Tribunal against A.A.C.'s order (Section 253): The Commissioner may, if he objects to any order passed by a Commissioner (Appeals), direct the Assessing Officer to appeal to the Appellate Tribunal against the order.

n. To revise any order passed by the Assessing Officer which is prejudicial to revenue (Section 263): The Commissioner may revise any order passed by the Assessing Officer which is prejudicial to the interest or revenue.

o. Revision of any order passed by a subordinate authority on application by the assessee or suo motu (Section 264): The Commissioner may revise either on his own motion or on an application made by the assessee within the prescribed time for such revision, any order passed by an authority subordinate to him.

Commissioner/Director/Additional Commissioner of Income-Tax

i. **Appointment :** Central Government.

ii. **Jurisdiction :** Determined by CBDT, keeping in view the area, persons, incomes and cases.

iii. **Powers :**

a. Power regarding discovery, production of evidence (Section 131): Like Chief Commissioner or Commissioner, the power regarding discovery, production of evidence etc., can also be exercised by the Commissioner (Appeals).

b. Power to call for information (Section 133): The Commissioner of Income-tax may ask person to furnish information regarding the details submitted by the assessee.

c. Power to inspect register of companies (Section 134): The Commissioner (Appeals) may inspect and, if necessary, take copies of any register of members, debenture holders or mortgagees of any company or of any entry in such register.

d. Set-off of refund against arrears of tax (Section 245): The Commissioner (Appeals) is empowered to set off the amount of refund or any part thereof due to any person against the arrears of tax due from such person. Intimation in writing to this effect should be given to such person.

e. Disposal of appeal (Section 251): In disposing of an appeal, the Commissioner (Appeals) has several powers regarding the decisions taken by assessing officer to correct and make changes if required.

f. Imposition of penalty (Section 271): The Commissioner (Appeals) may impose penalty for not producing the books of accounts or other documents or for concealment of income.

Joint Commissioner or Joint Directors of Income Tax.

i. **Appointment :** Central Government

ii. **Jurisdiction :** Determined by CBDT or any other authority so authorised.

iii. **Powers :**

a. He is empowered to accord sanction to levy additional income tax on companies in which public are not substantially interested.

b. He may be authorised by the board or Chief Commissioner to exercise the powers of assessing officers.

c. He has the power to cancel the registration of a firm which is not genuine.

d. He has the power to issue instructions to assessing officer to revise an order issued by income tax officer, if he has received an application from assessee regarding a pending case.

Assessing Officer or Income Tax Officer.

The assessing officer is the most important authority of income tax department since he is the primary authority to initiate assessment proceeding. He is the only to collect tax and primary coming in contact with the public.

Jurisdiction : The jurisdiction of assessing officer is determined by CBDT, considering the territorial area, income, persons and cases. The assessing officer shall perform his function in his jurisdiction as the above mentioned authorities may instruct.

Powers :

1) **Power of Civil Court.** Assessing officer will have the power of civil court when trying to suit in respect of the following,

a) Discovery and Inspection.

b) Enforcing the attendance of any person and examining him under oath.

c) Compelling a person to produce books of accounts and other documents.

d) Issuing commissions.

2) **Power of Search and Seizure.** The assessing officer have the right to search any building, place, vessel, vehicle or aircraft and seize books of account, other documents, money, bullion, jewellery or other valuable articles or things.

3) **Power of assessment.** The assessing officer have the following powers relating to assessment

a) Power regarding self-assessment.

b) Power of making regular assessment and best judgement assessment.

- c) Power to reopen assessment.
- d) Power to reopen an assessment in case income has escaped assessment.
- e) Power to treat a person as agent.
- f) Power to assess a person leaving India.
- 4) **Power to call for information.** Assessing officer has the power to call for necessary information from firm and H.U.F.
- 5) **Power of Survey.** An assessing officer may enter any place where business or profession is carried on, if such place is within the limits of his jurisdiction.
- 6) **Power to inspect Registers of Companies.** Assessing officer can inspect and take copies of any register of members, debenture holders, and mortgagees of company.

Income tax Inspector.

They are appointed by Chief Commissioner or commissioner of income tax and are subordinate to Assessing Officers. They assist assessing officers in performing their duties. They have the power to inspect books of account and other documents, place marks of identification and to take statements at any function, ceremony or event.

Advance payment of tax. (Sec 207-219)

Advance payment of tax is the process of paying income tax in a financial year on estimated income which is to be assessed in the subsequent assessment year. It follows the doctrine known as pay as you earn scheme.

Who is liable to pay?

It is obligatory for an assessee to pay advance tax where the advance tax payable is Rs.10,000 or more (Section 208) . In order to reduce the burden on senior citizens (above age 60) exemption from payment of advance tax is given if he is not having any income chargeable under the head “Profits and gains of business or profession”

The computation of advance tax liability, under different situations, is to be done as follows:

Due Dates for Payment of Advance Tax (sec 4)

Particulars	In case of corporate assesseees	In case of non-corporate assesseees
On or before June15 of the Previous year	Up to 15% of the Advance Tax due	
On or before September 15 of the previous year	Up to 45% of the Advance Tax due as reduced by amount paid in earlier	Up to 30% of the advance tax payable

	installments	
On or before December 15 of the previous year	Up to 75% of the Advance Tax due as reduced by amount paid in earlier installments	Up to 60% of the advance tax as reduced by amount paid payable in earlier installments
On or before March 15 of the previous year.	Up to 100% of the Advance Tax due as reduced by amount paid in earlier installments.	Up to 100% of the advance tax payable as reduced by amount paid in earlier installments.

Any payment of advance tax payable made before March 31 shall be treated as advance tax paid during the financial year. In case of public holiday or bank holiday, date of payment automatically falls in the next working day and for that delay. Tax to be computed at the prevailing rate on the current income of the assessee in a financial year.

Procedure of Collection of Advance Tax under Notice.

- i.** Due date for payment of Tax (sec 220): Any amount of tax other than advance tax specified as payable in a notice of demand shall be paid within 30 days.
- ii.** Reduction of time limit: if the assessing officer has any reason to believe that it would be detrimental to revenue if the full 30 days period is allowed, he may reduce the period to less than 30 days.
- iii.** Extension of time limit: the assessing officer may extend the time limit on the basis of application received by the assessee to pay the tax demanded.

Role of Assessing Officer in relation to Advance Payment of Tax

An Assessing Officer can order payment of advance tax if the following conditions are satisfied:

- i. The assessee has already been assessed by way of regular assessment in respect of total income of any previous year.
- ii. Failure to pay advance tax by such assessee, in spite of legal obligation.
- iii. The Assessing officer is of the opinion that such person is liable to pay advance tax on current year's income.
- iv. The order must specify the amount of advance tax and installments in which advance tax has to be paid.
- v. Such order may be passed during the previous year but not later than last day of February.
- vi. The order must be made in writing.

The assessee can pay advance tax at a rate lower than assessment made by the Assessing Officer and the department cannot object to such assessment, but the assessee has to furnish his own estimate of lower current income.

The Assessing Officer will find out the current income on the following basis:

(i) Total income of the latest previous year in respect of which the assessee has been assessed by way of regular assessment;

(ii) The total income returned by the assessee for any previous year subsequent to the previous year for which regular assessment is made. Whichever is higher, On receipt of the order from assessing officer the assessee have to pay the advance tax accordingly.

Assessee in default: The assessee shall be deemed to be in default if the amount specified in the notice is not paid within the time allowed. The amount of default will be the amount outstanding.

Consequences of Non-Payment (Assessee in Default);

i. Interest for belated payment of tax: The assessee shall be liable to pay a **simple interest @ 1% per month.**

ii. Penalty: The assessing officer may direct the assessee to pay a penalty not exceeding the amount of tax in arrears. In case the assessee proves to the satisfaction of assessing officer that the default was for good and sufficient reasons, no penalty shall be levied.

Recovery of Tax:

i. Certificate of recovery: when an assessee makes default, the recovery officer may draw up a statement under his signature in Form no. 57 specifying the amount of arrears due from the assessee, such a statement is called certificate of recovery.

ii. Modes of recovery of tax (sec 222): The amount specified in the certificate may be recovered by any one or more of the following modes.

a. Attachment and sale of assessee's movable property.

b. Attachment and sale of assessee's immovable property.

c. Arrest of the assessee and his detention in prison.

d. Appointing a receiver for the management of assessee's movable and immovable properties.

iii. Other modes of recovery

a. Recovery through state government.

b. Recovery of tax in pursuance of agreements with foreign countries.

c. Recovery from the future salary payable to the defaulting assessee.

Deduction of tax at source (TDS).

Any person responsible for making payment of certain category of incomes is liable to deduct tax at source at an appropriate occasion. The IT law prescribes time when the TDS is to be made, rate at which it should be made, and when TDS should be paid to the government.

Following chart shows the TDS rates and it's applicability in important cases-

Nature of income	Threshold limit	Person Responsible to make TDS	Nature of payee	Rate of TDS
Salary	Maximum amount not liable to tax	Employer	Employee having taxable salary	Income tax computed on the estimated

School of Distance Education

				salary of the financial year
Interest on securities	Rs. 10,000	Person issuing security	Any person	@10% if PAN provided @20% if PAN is not Provided
Dividend	Nil	Company	Any person	@10% if PAN provided @20% if PAN is not Provided
Any interest other than interest on securities	Exceeding 5,000 in a year or 10,000 in case payer is banking company, cooperative society or post office.	Any person other than individual or HUF	Any resident in India.	@10% if PAN provided @20% if PAN is not provided.
Winnings from lottery, crossword puzzle etc	Rs.10,000	Any person	Any person	30%
Winning from horse race	Rs.10,000	Any person	Any person	30%
Any payment in pursuance of any contract	If a contract exceeds 30,000 or Total contract with same contractor exceeds Rs. 1,00,000	Central or state government/local authority/company cooperative society etc	Any resident contractor	If the recipient is an individual/HUF= 1% Any other person= 2% If PAN is not provided 20%.
Insurance commission	Rs.15,000	Any person	Any resident	10% if PAN provided, 20% if PAN is

				not Provided
Any sum out of National saving scheme u/s 80CCA	Rs.2,500	Any person	Any person	20%
Amount of repurchase of relevant units covered u/s 80CCB	Nil	Any person	Any person	20%
Commission on lottery prize	Exceeding Rs. 15,000	Any person	Any person purchasing or Selling lottery tickets	5%
Commission or brokerage	Exceeding Rs. 15,000	Other than individual or HUF	Any Person	5% if PAN provide, 20% if PAN is not provided
Rent	Rs.2,40,000	Other than individual and HUF	Any Person	2% on plant and machinery. 10% on land or Building
Immovable property acquisition	Rs.50,00,000	Any person	Any resident person	1%

Tax Collected at Source (TCS).

Every seller at the time of debiting the buyer with the amount payable or receiving payments from buyers engaged in business of alcoholic liquor, forest produce, timber, mines and quarries, bullion and jewellery etc shall collect tax at the following rates

- a. Alcoholic liquor for human consumption @ 1%.
- b. Timber @ 2.5%.
- c. Scrap @ 1%
- d. Minerals being coal, iron ore etc @ 1%.
- e. Bullion if sale price exceeds 2 lac @ 1%.
- f. Jewellery if sale price exceeds 5 lac @ 1%.
- g. Person who grants a lease or a license or enters into a contract for the purpose of parking lot, toll plaza, mining and quarrying TCS @ 2% should be collected.

Filing of TDS and TCS statements.

Any person deducting or collecting tax in accordance with the provisions of the act has to furnish , within the prescribed time, quarterly statements for the period ending on the 30th June, 30th September, 31st December and 31st March in each financial year.

ASSESSMENT PROCEDURE- FILING OF RETURN.

Return of income.

The procedure under the Income-tax Act for making an assessment of income begins with the filing of a return of income. Section 139 of the Act contains the relevant provisions relating to the furnishing of a return of income. According to the section, it is statutorily obligatory for every person to furnish a return of his total income or the total income of any other person in respect of which he is assessable under the Income-tax Act (deemed assessee). If his total income exceeds the maximum amount which is not chargeable to income-tax, in any relevant accounting year. The return of income must be furnished by the assessee in the prescribed manner by the Board from time to time. It should be obligatory for the firm to file return of income in every case. Further, in respect of individual, HUF, AOP, BOI, Artificial juridical Person, filing of return of income shall be compulsory if their total income before allowing deductions under Sections 10A, 10B, 10BA or Chapter VI-A exceeds the maximum amount which is not chargeable to income tax.

Different Types of Income Tax Returns To Be Filed Under Section 139 of the Income Tax Act 1961:

While Section 139 generally deals with late filing of income tax returns, it also consists of sub sections which deal with different types of income tax returns that are required to be filed in case returns have not been filed by the prescribed deadline. These subsections are as follows:

Section 139(1) - Mandatory Return and Voluntary Return:

Section 139(1) of the Income Tax Act deals with two types of belated income tax returns, namely Mandatory Returns and Voluntary Returns.

Mandatory Returns:

The following individuals or entities are required to file a Mandatory Return:

- Any company regardless of whether it may be public, private, foreign or domestic
- Any firm, which also includes Limited Liability Partnerships (LLP) as well as Unlimited Liability Partnerships
- Any person provided that the sum of his or her taxable income for the financial year of relevance is more than the exemption limit allowed

Voluntary Returns:

If a person or entity has filed income tax returns should an event arise wherein the individual or the entity is not under any compulsion to file a Mandatory Return, then the income tax returns filed by the person or the entity in question will be deemed to be a Voluntary Return. Voluntary Returns are also considered to be valid returns.

When Return of Income is to be Filed as Statutory Obligation [Section-139(1)]

Section 139(1) requires that every person,—

- a. being a company or a firm; or
- b. being a person other than a company or a firm, if (i) his total income or (ii) the total income of any other person in respect of which he is assessable under the Income-tax Act, during the previous year, exceeded the maximum amount which is not chargeable to income-tax.

shall, furnish a return of his income or the income of such other person.

Such return of income must be furnished on or before the due date, in the prescribed form and verified in the prescribed manner and setting forth such other particulars as may be prescribed.

Various “Return Forms” for filing return of income

ITR Forms	Subject
ITR-1 (SAHAJ)	For an individual who is resident and ordinarily resident (total income does not exceed Rs.50 lakh) having income from salary/one house property (not being brought forward loss or loss to be carried forward)/ income from other sources (not being loss or not being winning from lottery/ income from race horses)
ITR-2	For an individual/HUF where the total income does not include income under the head business or profession
ITR-3	For an individual/HUF having income under the head business or profession
ITR-4 (SUGAM)	For an individual/HUF/firm (other than LLP) deriving business income and such income is computed in accordance with special provisions referred to in section 44AD, 44ADA or 44AE
ITR-5	For firms, AOPs and BOIs or any other person (not being individual or HUF or company or to whom ITR-7 is applicable)
ITR-6	For companies other than companies claiming exemption under section 11
ITR-7	For persons including companies required to furnish return under section 139(4A)/(4B)/(4C)/(4D)
ITR-V	Where the data of the return of income in Forms ITR-1, ITR-2, ITR-3, ITR-4 and ITR-5 transmitted electronically without digital signature

Exemption from filing of Return of Income

CBDT has clarified that under what conditions exemption from filing of return is available. Exemption is available to salaried employees from the requirement of filing the returns for. The exemption is applicable only if all the following conditions are fulfilled: -

- Employee has earned only salary income and income from savings bank account and the annual interest earned from savings bank account is less than 10 thousand.
- The total Income of the employee does not exceed 5 Lakh (Total Income means Gross

Total Income Less deductions under Chapter VIA).

- The Employee has reported his PAN to the employer.
- Employee has reported his income from interest on savings bank account to employer.
- Employee has received Form 16 from his employer.
- Total Tax Liability of employee has been paid off by employer by way of TDS and employer has deposited TDS with central government.
- Employee has no refund claim.
- Employee has received salary only from one employer.
- Employee has not received any Notice from Income Tax Department for filing of Income Tax return.

Due date for filing return of income

The assessee is obliged to voluntarily file the return of income without waiting for the notice of the Assessing Officer calling for the filing of the return. The time limit for filing of the return by an assessee if his total income of any other person in respect of which he is assessable exceeds the maximum amount not chargeable to tax, shall be as follows:

(a) where the assessee is –

(i) a company,

(ii) a person, other than a company whose accounts are required to be audited under the Income tax Act or any other law, for the time being in force,

(iii) a working partner of a firm whose accounts are required to be audited under this Act or under any law for the time being in force, the **30th day of September** of the Assessment Year.

(b) In the case of an assessee being a **company**, which is required to furnish a report referred to in section 92E, the **30th day of November** of the assessment year.

(c) in the case of **any other assessee**, the **31st day of July** of the Assessment Year.

E-filing of Return

Filing of Income Tax Returns is a legal obligation of every person whose total income for the previous year exceeds the exemption limit provided under the Income Tax Act, 1961. The Income Tax Department has introduced on line facility in addition to conventional method to file return of income. The process of electronically filing of Income Tax return through the mode of internet access is called e-filing of return. E-filing offers convenience of the tax payers. The only obligation for the user of this facility is to have a PAN number. There are eight forms from ITR1 to ITR-8 for e-filing of returns. There is a provision e-filing for digital signature by the assessee.

Revised return

An assessee who is required to file a return of income is entitled to revise the return of income originally filed by him to make such amendments, additions or changes as may be found necessary by him. Such a revised return may be filed by the assessee at any time – before the expiry of one year from the end of the relevant assessment year – before the completion of assessment whichever is earlier. **139(9).**

Defective return.

If the Assessing Officer considers that the return of income furnished by the assessee is defective, he may intimate the defect to the assessee and give him an opportunity to rectify the defect within 15 days from the date of such intimation or within such further period as may be allowed by the Assessing Officer on the request of the assessee. If the assessee fails to rectify the defect within the aforesaid period, the return shall be deemed to be invalid and further it shall be deemed that the assessee had failed to furnish the return. However, where the assessee rectifies the defect after the expiry of the aforesaid period but before the assessment is made, the Assessing Officer may condone the delay and treat the return as a valid return. **LOSS-**

SECTION 139(3)

Return of loss.

The requirements of Income-tax Act making it obligatory for the assessee to file a return of his total income even in cases where the assessee has incurred a loss. These losses may be under the head 'profits and gains from business or profession' or loss from maintenance of race horses or under the head 'Capital gains'. Unless the assessee files a return of loss in the manner and within the same time limits as required for a return of income, the assessee would not be entitled to carry forward the loss for being set off against income in the subsequent year.

Belated return.

Any person who has not filed the return within the time allowed under section 139(1) or within the time allowed under a notice issued by the Assessing Officer under section 142(1) may file a belated return

- at any time before the expiry of one year from the end of the relevant assessment year or
- before the completion of the assessment whichever is earlier.

PERMANENT ACCOUNT NUMBER (SECTION 139A)

PAN (Permanent Account Number).

Every person, who has not been allotted any permanent account number, is obliged to obtain permanent account number, if;

- if his total income assessable during the previous year exceeds the maximum amount which is notchargeable to tax or
- any person carrying on business or profession whose total sales turnover or gross receipts are or is likely to exceed 5,00,000 in any previous year or
- is required to furnish a return of income under Section 139(4A)

Besides above cases, the Assessing Officer may also allot a permanent account number to any other person by whom tax is payable. Any other person may also apply for a permanent account number. However, Section 139 has been amended w.e.f. August 1, 1998 and provides the alternative of quoting GIR (General Index Register) number till such time the permanent account number is allotted.

It shall be the duty of every person who has been allotted permanent account number to quote such number in all his returns or correspondence with Income tax authorities, quote such

numbers in all challans for the payment of any sum, quote such number in all documents pertaining to such transactions as may be prescribed by the Board in the interest of revenue.

Now quoting PAN is compulsory in the following transactions:

- a. Sale/purchase of any immovable property valued at 5 lakhs or more.
- b. Sale/Purchase of Motor vehicle or a vehicle (excluding two wheeled vehicle, inclusive of any detachable side-car having an extra wheel) which requires registration under Motor Vehicles Act, 1988.
- c. Time deposit exceeding 50,000 with a Bank/Banking Company/Banking Institution.
- d. Deposit exceeding 50,000 in Post Office Savings Bank.
- e. Contract for sale/purchase of securities exceeding 1 lakh.
- f. Opening an account [not being time deposit mentioned in (c)] with a Bank/Banking Company/Banking Institution.
- g. Application for installation of a telephone connection including mobile phone.
- h. Payments to hotels of bills exceeding 25,000/- at any one time.
- i. Payment in cash for purchase of bank drafts or pay orders or banker's cheque for an amount of 50,000 or more during any one day.
- j. Deposit in cash aggregating 50,000 during any one day.
- k. Payment in cash in connection with travel to any foreign country of an amount exceeding 25,000 at any one time.
- l. Making an application to any banking company or to any other company or institution for issue of a credit or debit card.
- m. Payment of an amount of 50,000 or more to a Mutual Fund for purchase of its units.
- n. Payment of 50,000 or more to a company for acquiring shares or debentures or bonds issued by it.
- o. Payment of 50,000 or more to RBI for acquiring bonds issued by it.
- p. Payment of an amount of 50,000 or more as life insurance premium to an insurer.
- q. Payment to a dealer
 - (i) of an amount of 5 lakh or more at any one time, or
 - (ii) against a bill for an amount of 5 lakh or more for purchase of bullion or jewellery.

Every person, receiving any document relating to the prescribed transactions, shall ensure that the permanent account number has been duly quoted in the document. The Board has been empowered to make rules in relation to the form and the manner in which the application for the allotment of a permanent account number and the particulars which such application will contain, prescribing the categories of transactions and the categories of documents pertaining to business or profession in which the permanent account numbers shall have to be quoted by every person. The "permanent account number under the new series" has been defined to mean a number which will have ten alphanumeric characters to be issued on a laminated card.

ASSESSMENT

Types of assessments.

- (a) Self assessment (Section 140A)
- (b) Regular assessment (Section 143)
- (c) Best judgement assessment (Section 144)
- (d) Income escaping assessment or re-assessment (Section 147)
- (e) Precautionary assessment.
- (f) Assessment in case of search or requisition (Section 153A)

(A) Self-Assessment (Section 140A)

Self-assessment is the first step in the process of assessments. Self-Assessment is simply a process where a person himself assesses his tax liability on the income earned during the particular previous year and submits Income Tax Return to the department.

Every person, before furnishing return under sections 139(return of income), 142(1), 148 (issue of notice where income has escaped assessment) and 153A (Assessment in case of search or requisition) shall make self-assessment of his income and pay the tax, if due on the basis of such assessment. The total tax payable is calculated on the total income of the assessee after considering the following amount:

- i. the amount of tax already paid under any provision of this Act;
- ii. any tax deducted or collected at source;
- iii. any relief of tax or deduction of tax claimed under section 90 or section 91 on account of tax paid in a country outside India;
- iv. any relief of tax claimed under section 90A on account of tax paid in any specified territory outside India referred to in that section; and
- v. any tax credit claimed to be set off in accordance with the provisions of section 115JAA or section 115JD.

Such determined value of tax along with the interest payable under any provision of this Act for any delay in furnishing the return or any default or delay in payment of advance tax is paid before furnishing the return and the proof of payment of such tax is attached with the return. The work of income tax department became easy due to the system of Self-Assessment

(B) Scrutiny (Regular) Assessment [Section 143(2) & (3)]

Where a return has been made under Section 139, or in response to a notice under Sub-section (1) of Section 142, the Assessing Officer shall, if he considers necessary or expedient to ensure that the assessee has not understated the income or has not computed excessive loss or has not underpaid the tax in any manner, serve on the assessee a notice requiring him, on a date to be specified therein, either to attend his office or to produce, or cause to be produced there, any evidence on which the assessee may rely in support of the return: Provided that no notice under this sub-section shall be served on the assessee after the expiry of six months from the end of the Financial year in which the return is furnished.

On the day specified in the notice issued under Sub-section (2), or as soon afterwards as may be, after hearing such evidence as the assessee may produce and such other evidence as the

Assessing Officer may require on specified points, and after taking into account all relevant material which he has gathered, the Assessing Officer shall, by an order in writing, make an assessment of the total income or loss of the assessee, and determine the sum payable by him or refund of any amount due to him on the basis of such assessment.

(C) Best Judgement Assessment U/S 144

The Assessing Officer, after taking into account all relevant material which he has gathered, and after giving the assessee an opportunity of being heard, makes the assessment of the total income or loss to the best of his judgment and determine the sum payable by the assessee on the basis of such assessment in the following cases:

- i. If any person fails to make the return required under section 139(1) and has not made a return or revised return under section 139(4) or 139(5), or
- ii. When a person fails to comply with all the terms of a notice issued under section 142(1) or fails to comply with a direction issued under section 142(2A) for getting the accounts audited, or
- iii. If any person having made a return, fails to comply with all the terms of a notice issued under section 143(2).

Prior to the proceedings the assessing officer should issue a show cause notice to the assessee. However if the assessee has already issued notice under section 142(1)(i) and the assessee has not complied with the terms then assessing officer can proceed further without issuing a show cause notice. Further assessing officer cannot assess the income below returned income and cannot assess losses higher than the returned losses. A refund cannot be granted under section 144. The assessing officer can also reject the accounts book under section 145 and can make best judgment assessment under section 144 if:

- a. The accounts books are incorrect, false or incomplete.
- b. If the accounting method employed is such that the profit cannot be derived from it correctly.
- c. Where the method of accounting adopted by the assessee is not followed by him regularly or income has not been computed in accordance with notified standards.
- d. If the assessee has not followed the income computation and disclosure standards notified by the government.

There are two types of best judgement assessment is

Compulsory best judgement asset: It is made by the assessing officer in case of non-cooperation on the part of the assessee or when the assessee is in default as regards supplying information.

- ii. **Discretionary best judgement assessment:** it is done in cases where assessing officer is not satisfied in the correctness or the completeness of the accounts of the assessee.

(D) Income Escaping Assessment or Re-Assessment (Section 147)

If the Assessing Officer has reason to believe that any income chargeable to tax has escaped assessment for any assessment year, he may, subject to the provisions of sections 148 to 153,

- assess or reassess income which has escaped assessment or
- re compute the loss or the depreciation allowance or any other allowance, as the case may be for the relevant assessment year.

According to Section 147, the Assessing Officer shall serve on the assessee a notice requiring him to furnish, within such period, as may be specified in the notice, a return of his income or the income of any other person in respect of which he is assessable under this Act during the previous year corresponding to the relevant assessment year, in the prescribed form.

The following shall also be deemed to be cases where income chargeable to tax has escaped assessment, namely:

- i. where no return of income has been furnished by the assessee although his total income or the total income of any other person in respect of which he is assessable under this Act during the previous year exceeded the maximum amount which is not chargeable to income-tax.
- ii. where a return of income has been furnished by the assessee but no assessment has been made and it is noticed by the Assessing Officer that the assessee has understated the income or has claimed excessive loss, deduction, allowance or relief in the return.
- iii. where the assessee has failed to furnish a report in respect of any international transaction which he was so required under section 92E.
- iv. where an assessment has been made, but
 - a. income chargeable to tax has been under assessed ; or
 - b. such income has been assessed at too low a rate ; or
 - c. such income has been made the subject of excessive relief under this Act ; or
 - d. excessive loss or depreciation allowance or any other allowance under this Act has been computed;
- e. where a person is found to have any asset (including financial interest in any entity) located outside India.

The assessing officer before making the assessment under this section will have to issue notice u/s 148 to the assessee requiring him to file the return even if he has already filed the return under section 139 or 142(1). The Assessing officer is duty bound to provide the assessee the reasons recorded by him, if the assessee request for

it. If on request the reasons are not supplied then Assessing officer cannot proceed the assessment.

(E) Precautionary Assessment.

Where it is not clear that as to who has received the income, the assessing officer can commence proceedings against the persons to determine the question as to who is responsible for the payment of tax.

(F) Assessment in case of search or requisition (Section 153A)

This assessment is initiated when search is initiated under section 132 or books of accounts are requisitioned under section 132A. The assessment procedure is as following.

Assessing officer issues notice to the assessee, and such person has to furnish a return as may be specified in the notice.

- ii. Such return shall be filed in respect of six assessment years immediately preceding to the assessment year in which the search was conducted.
- iii. The assessing officer shall assess or reassesses the total income of each year.

iv. If any discrepancies found in the assessment or reassessment the assessing officer can take necessary actions prescribed by the law.

v. The central government is empowered to notify classes of cases in which the assessing officer shall not be required to issue notice for initiation of assessment for six assessment years immediately preceding to the relevant assessment year.

The assessing officer is not required to issue notice for assessing in the following cases- Where a person is found to be in possession of any money, bullion, jewellery, or other valuables etc in search or reacquisition of accounts.

vi. The tax shall be chargeable to the rate or rates applicable to such assessment year.

MODULE 3

Goods and Services Tax: Brief History behind the Emergence of GST

Evolution of GST in India

The idea of a Goods and Services Tax (GST) for India was first mooted sixteen years back, during the Prime Ministership of Shri Atal Bihari Vajpayee. Thereafter, on 28th February, 2006, the then Union Finance Minister in his Budget for 2006-07 proposed that GST would be introduced from 1st April, 2010. The Empowered Committee of State Finance Ministers (EC), which had formulated the design of State VAT was requested to come up with a roadmap and structure for the GST. Joint Working Groups of officials having representatives of the States as well as the Centre were set up to examine various aspects of the GST and draw up reports specifically on exemptions and thresholds, taxation of services and taxation of inter-State supplies. Based on discussions within and between it and the Central Government, the EC released its First Discussion Paper (FDP) on GST in November, 2009. The FDP spelled out the features of the proposed GST and has formed the basis for the present GST laws and rules.

In March 2011, Constitution (115th Amendment) Bill, 2011 was introduced in the Lok Sabha to enable levy of GST. However, due to lack of political consensus, the Bill lapsed after the dissolution of 15th Lok Sabha in August 2013.

On 19th December, 2014, The Constitution (122nd Amendment) Bill 2014 was introduced in the Lok Sabha and was passed by Lok Sabha in May 2015. The Bill was taken up in Rajya Sabha and was referred to the Joint Committee of the Rajya Sabha and the Lok Sabha on 14th May, 2015. The Select Committee submitted its report on 22nd July, 2015. Thereafter, the Constitutional Amendment Bill was moved on 1st August 2016 based on political consensus. The Bill was passed by the Rajya Sabha on 3rd August 2016 and by the Lok Sabha on 8th August 2016. After ratification by required number of State legislatures and assent of the President, the Constitutional amendment was notified as Constitution (101st Amendment) Act 2016 on 8th September, 2016. The Constitutional amendment paved way for introduction of Goods and Services Tax in India.

After GST Council approved the Central Goods and Services Tax Bill 2017 (The CGST Bill), the Integrated Goods and Services Tax Bill 2017 (The IGST Bill), the Union Territory Goods and Services Tax Bill 2017 (The UTGST Bill), the Goods and Services Tax (Compensation to the States) Bill 2017 (The Compensation Bill), these Bills were passed by the Lok Sabha on 29th March, 2017. The Rajya Sabha passed these Bills on 6th April, 2017 and were then enacted as Acts on 12th April, 2017. T 2015. 6 on 08.09.2016

Thereafter, State Legislatures of different States have passed respective State Goods and Services Tax Bills. After the enactment of various GST laws, GST was launched with effect from 1st July 2017 by Sh.Narendra Modi, Hon'ble Prime Minister of India in the presence of Sh.Pranab Mukherjee, the then President of India in a mid-night function at the Central Hall of Parliament of India.

GST Council structure

As per Article 279A of the amended Constitution, the GST Council is a joint forum of the Centre and the States, and consists of the following members: -

Union Finance Minister	Chairperson
The Union Minister of State, in-charge of Revenue, Min. of Finance	Member
The Minister In-charge of Finance or Taxation or any other Minister nominated by each State Government	Members

The Council is empowered to make recommendations to the Union and the States on the following:-

- a) the taxes, cesses and surcharges levied by the Union, the States and the local bodies which may be subsumed in the goods and services tax;
- b) the goods and services that may be subjected to, or exempted from the goods and services tax;

- c) model Goods and Services Tax Laws, principles of levy, apportionment of Integrated Goods and Services Tax and the principles that govern the place of supply;
- d) the threshold limit of turnover below which goods and services may be exempted from goods and services tax;
- e) the rates including floor rates with bands of goods and services tax;
- f) any special rate or rates for a specified period, to raise additional resources during any natural calamity or disaster;
- g) special provision with respect to the States of Arunachal Pradesh, Assam, Jammu and Kashmir, Manipur, Meghalaya, Mizoram, Nagaland, Sikkim, Tripura, Himachal Pradesh and Uttarakhand; and
- h) the date on which GST shall be levied on petroleum crude, high speed diesel, motor spirit (petrol), natural gas and aviation turbine fuel
- i) any other matter relating to the goods and services tax, as the Council may decide.

The mechanism of GST Council would ensure harmonisation on different aspects of GST between the Centre and the States as well as amongst the States. It has been provided in the Constitution (One Hundred and First Amendment) Act, 2016 that the GST Council, in discharge of various functions, shall be guided by the need for a harmonized structure of GST and for the development of a harmonized national market for goods and services.

The Constitution (One Hundred and First Amendment) Act, 2016 provides that every decision of the GST Council shall be taken at its meeting by a majority of not less than 3/4th of the weighted votes of the Members present and voting. The vote of the Central Government shall have a weightage of 1/3rd of the votes cast and the votes of all the State Governments taken together shall have a weightage of 2/3rd of the total votes cast in that meeting. One half of the total number of members of the GST Council shall constitute the quorum at its meeting.

On 12th September, 2016 the Union Cabinet under the Chairmanship of the Hon'ble Prime Minister approved setting up of GST Council and creation of its Secretariat as follows:

- a) GST Council as per Article 279A of the amended Constitution;
- b) GST Council Secretariat, with its office at New Delhi;
- c) Secretary (Revenue) as the Ex-officio Secretary to the GST Council;

- d) Inclusion of the Chairperson, Central Board of Excise and Customs (CBEC), as a permanent invitee (non-voting) to all proceedings of the GST Council;
- e) One post of Additional Secretary to the GST Council in the GST Council Secretariat (at the level of Additional Secretary to the Government of India), and four posts of Commissioners in the GST Council Secretariat (at the level of Joint Secretary to the Government of India).

The Cabinet also decided to provide for adequate funds for meeting the recurring and non-recurring expenses of the GST Council Secretariat, which shall be borne by the Central Government. The GST Council Secretariat shall be manned by officers taken on deputation from both the Central and State Governments.

Scope and Advantages of GST

1. GST eliminates the cascading effect of tax

GST is a comprehensive indirect tax that was designed to bring the indirect taxation under one umbrella. More importantly, it is going to eliminate the cascading effect of tax that was evident earlier.

Cascading tax effect can be best described as 'Tax on Tax'. Let us take this example to understand what is Tax on Tax:

Before GST regime:

A consultant offering services for say, 50,000 and charged a service tax of 15% ($50,000 * 15\% = 7,500$).

Then say, he would buy office supplies for 20,000 paying 5% as VAT ($20,000 * 5\% = 1,000$).

He had to pay 7,500 output service tax without getting any deduction of 1,000 VAT already paid on stationery.

His total outflow is 8,500.

Under GST

GST on service of 50,000 @18%	9,000
Less: GST on office supplies (20,000*5%)	1,000
Net GST to pay	8,000

2. Higher threshold for registration

Earlier, in the VAT structure, any business with a turnover of more than 5 lakh (in most states) was liable to pay VAT. Please note that this limit differed state-wise. Also, service tax was exempted for service providers with a turnover of less than 10 lakh.

Under GST regime, however, this threshold has been increased to 20 lakh, which exempts many small traders and service providers.

Let us look at this table below:

Tax	Threshold Limits
Excise	1.5 crores
VAT	5 lakhs in most states
Service Tax	10 lakhs
GST	20 lakhs (10 lakhs for NE states)

3. Composition scheme for small businesses

Under GST, small businesses (with a turnover of 20 to 75 lakh) can benefit as it gives an option to lower taxes by utilizing the Composition scheme. This move has brought down the tax and compliance burden on many small businesses.

4. Simple and easy online procedure

The entire process of GST (from registration to filing returns) is made online, and it is super simple. This has been beneficial for start-ups especially, as they do not have to run from pillar to post to get different registrations such as VAT, excise, and service tax.

5. The number of compliances is lesser

Earlier, there was VAT and service tax, each of which had their own returns and compliances. Below table shows the same:

<u>Tax</u>	<u>Return Filing</u>
Excise	Monthly
Service tax	Proprietorship/Partnership- Quarterly Company/LLP- Monthly
VAT	*Different for different states* Some states require monthly returns over a threshold limit. Some states like Karnataka require a monthly return

Under GST, however, there is just one, unified return to be filed. Therefore, the number of returns to be filed has come down. There are about 11 returns under GST, out of which 4 are basic returns which apply to all taxable persons under GST. The main GSTR-1 is manually populated and GSTR-2 and GSTR-3 will be auto-populated.

6. Defined treatment for E-commerce operators

Earlier to GST regime, supplying goods through e-commerce sector was not defined. It had variable VAT laws. Let us look at this example:

Online websites (like Flipkart and Amazon) delivering to Uttar Pradesh had to file a VAT declaration and mention the registration number of the delivery truck. Tax authorities could sometimes seize goods if the documents were not produced.

Again, these e-commerce brands were treated as facilitators or mediators by states like Kerala, Rajasthan, and West Bengal which did not require them to register for VAT.

All these differential treatments and confusing compliances have been removed under GST. For the first time, GST has clearly mapped out the provisions applicable to the e-commerce sector and since these are applicable all over India, there should be no complication regarding the inter-state movement of goods anymore.

7. Improved efficiency of logistics

Earlier, the logistics industry in India had to maintain multiple warehouses across states to avoid the current CST and state entry taxes on inter-state movement. These warehouses were forced to operate below their capacity, giving room to increased operating costs.

Under GST, however, these restrictions on inter-state movement of goods have been lessened.

As an outcome of GST, warehouse operators and e-commerce aggregators players have shown interest in setting up their warehouses at strategic locations such as Nagpur (which is the zero-mile city of India), instead of every other city on their delivery route.

Reduction in unnecessary logistics costs is already increasing profits for businesses involved in the supply of goods through transportation.

8. Unorganized sector is regulated under GST

In the pre-GST era, it was often seen that certain industries in India like construction and textile were largely unregulated and unorganized.

Under GST, however, there are provisions for online compliances and payments, and for availing of input credit only when the supplier has accepted the amount. This has brought in accountability and regulation to these industries.

Let us now look at disadvantages of GST. Please note that businesses need to overcome these disadvantages to run the business smoothly.

Disadvantages of GST

1. Increased costs due to software purchase

Businesses have to either update their existing accounting or ERP software to GST-compliant one or buy a GST software so that they can keep their business going. But both the options lead to increased cost of software purchase and training of employees for an efficient utilization of the new billing software.

2. Being GST-compliant

Small and medium-sized enterprises (SME) who have not yet signed for GST have to quickly grasp the nuances of the GST tax regime. They will have to issue GST-complaint invoices, be compliant to digital record-keeping, and of course, file timely returns. This means that the GST-complaint invoice issued must have mandatory details such as GSTIN, place of supply, HSN codes, and others.

3. GST will mean an increase in operational costs

As we have already established that GST is changing the way how tax is paid, businesses will now have to employ tax professionals to be GST-complaint. This will gradually increase costs for small businesses as they will have to bear the additional cost of hiring experts.

Also, businesses will need to train their employees in GST compliance, further increasing their overhead expenses.

4. GST came into effect in the middle of the financial year

As GST was implemented on the 1st of July 2017, businesses followed the old tax structure for the first 3 months (April, May, and June), and GST for the rest of the financial year.

Businesses may find it hard to get adjusted to the new tax regime, and some of them are running these tax systems parallelly, resulting in confusion and compliance issues.

5. GST is an online taxation system

Unlike earlier, businesses are now switching from pen and paper invoicing and filing to online return filing and making payments. This might be tough for some smaller businesses to adapt to.

6. SMEs will have a higher tax burden

Smaller businesses, especially in the manufacturing sector will face difficulties under GST. Earlier, only businesses whose turnover exceeded 1.5 crore had to pay excise duty. But now any business whose turnover exceeds 20 lakh will have to pay GST.

However, SMEs with a turnover upto 75 lakh can opt for the composition scheme and pay only 1% tax on turnover in lieu of GST and enjoy lesser compliances. The catch though is these businesses will then not be able to claim any input tax credit. The decision to choose between higher taxes or the composition scheme (and thereby no ITC) will be a tough one for many SMEs.

Definitions and Meaning

Goods and services tax (GST) is a tax on goods and services with value addition at each stage having comprehensive and continuous chain of set of benefits from the producer's/service provider's point up to the retailers level where only the final consumer should bear the tax.

Central Goods and Services Tax Act

The Central Goods and Services Tax Act passed by the Parliament received the assent of the President of India on the 12th April, 2017. The Act has been passed to empower the Central Government to levy and collect tax on supply of goods or services within a state. The CGST Act confers powers to Government of India to collect tax on intra-state supply of goods and services

or both. Before the introduction of Goods and Services Tax, sale within a state was a state subject on which the state governments alone were entitled to levy tax. Further, supply of service was not a subject matter of the state governments. With the implementation of GST, supply of goods and services or both are taxable under CGST.

An example for CGST and SGST:

Let's suppose Rajesh is a dealer in Maharashtra who sold goods to Anand in Maharashtra worth 10,000. The GST rate is 18% comprising of CGST rate of 9% and SGST rate of 9%. In such case, the dealer collects 1800 of which 900 will go to the Central Government and 900 will go to the Maharashtra Government.

Integrated Goods and Services Tax Act

Under GST, IGST is a tax levied on all Inter-State supplies of goods and/or services and will be governed by the IGST Act. IGST will be applicable on any supply of goods and/or services in both cases of import into India and export from India.

Note: Under IGST,

- Exports would be zero-rated.
- Tax will be shared between the Central and State Government.

An example for IGST:

Consider that a businessman Rajesh from Maharashtra had sold goods to Anand from Gujarat worth 1,00,000. The GST rate is 18% comprised of 18% IGST. In such case, the dealer has to charge 18,000 as IGST. This IGST will go to the Centre.

State Goods and Services Tax Act

Under GST, SGST is a tax levied on Intra State supplies of both goods and services by the State Government and will be governed by the SGST Act. As explained above, CGST will also be levied on the same Intra State supply but will be governed by the Central Government.

Note: Any tax liability obtained under SGST can be set off against SGST or IGST input tax credit only.

Rates of GST

Goods and Service Tax has been introduced to unify the tax system merging all other indirect taxes. Unification of tax system does not mean unification of tax rates. In fact there are many rates at which GST is levied on different supplies of goods and services. GST Council's rate fitment committee framed different GST slabs after considering the tax incidence under the earlier tax system, on different goods and services. The details of the GST rate structure presently prevailing in the country are as follows:

i) Exempted

A large number of items have been exempted from the purview of GST. Most of the farm products, live animals, live chicken, live fish, eggs, honey, puja articles, hearing aids, slate pencils, etc., belong to the category of exempted goods.

ii) Taxable at the rate of 0.25%

There are goods taxable at the rate of 0.25%. diamonds, non-industrial unworked, precious stones (other than diamonds) and semi-precious stones, unworked, synthetic or reconstructed precious or semi-precious stones, unworked, etc., are the items on which 0.25% is applicable.

iii) Taxable at the rate of 3%

Base metals, gold, silver, articles of jewellery, imitation jewellery, coin, waste and scrap of precious metals, etc., are taxable at the rate of 3%.

iv) Taxable at the rate of 5%

Fish frozen or dried, flours, meals and pellets of fish, Ultra High Temperature (UHT) milk and cream, concentrated vegetables, frozen grapes, raisins, nuts, spices, branded rice, etc., belong to the tax bracket of 5%.

v) Taxable at the rate of 12%

Fruit pulp or fruit juice based drinks, marble and travertine blocks, granite blocks, preserved fish, animal fats and oils, etc., are taxable at the rate of 12%.

vi) Taxable at the rate of 18%

Majority of the supplies are taxable at the rate of 18%.

vii) Taxable at the rate of 28%

Molasses, paints, varnishes, pan masala, non-alcoholic beverages, unmanufactured tobacco, etc., are some of the items on which 28% tax is applicable.

viii) Tax Deducted at Source (TDS) 1%

Government departments, local authorities and government agencies, who are recipients of supply, have to deduct tax at the rate of 1% from the payment made or credited to the supplier where total value of supply, under a contract, exceeds two lakh and fifty thousand rupees.

ix) Tax Collected at Source (TCS) 2%

Electronic commerce operators have to collect 'tax at source', at the rate of 2% of net value of taxable supplies, when they make payments to suppliers supplying goods or services through their portals.

x) Composite tax (1%, with effect from 15.11.2017)

Small scale business firms having turnover upto 1.5 crore can opt for composition scheme. With effect from 15.11.2017, composite tax rate is 1% for all the categories of composite tax payers. However, the composition rate for hotels shall be 5%. Those who opt for composition scheme have to pay tax at the prescribed rate, based on total turnover. Composite tax payers are not allowed to collect tax from customers. The tax so paid is equally shared between the Centre and the State.

Levy and Collection of Central/State Goods and Services Tax

The Central Goods and Services Tax is levied under Section 9 of the CGST Act. Therefore section 9 is the charging section of CGST which contains the following provisions relating to levy and collection of CGST.

1. Intra-state supplies of goods or services or both, shall be levied a tax called the Central Goods and Services Tax (CGST).
2. CGST shall not be applicable on the supply of alcoholic liquor for human consumption.
3. For the purpose of CGST value of supply shall be determined under section 15.
4. The rate of SGST shall be notified by the Government on the recommendations of the GST Council.
5. The tax may be collected in the prescribed manner.
6. CGST shall be paid by the taxable person.

7. The central tax on the supply of petroleum crude, high speed diesel, motor spirit (commonly known as petrol), and natural gas and aviation turbine fuel shall be levied with effect from such date as may be notified by the Government on the recommendations of the Council.
8. The Government shall notify the categories of goods or services on which tax shall be paid on 'reverse charge' basis by the recipient of such goods or services or both. All the provisions of this Act shall apply to such recipient as if he is the person liable for paying the tax in relation to the supply of such goods or services or both.

Taxable person

Casual taxable person means a person who supplies taxable goods or services occasionally in a taxable Territory where he does not have a fixed place of business. The person can act as a Principal or agent or in any other capacity supply goods or services for the furtherance of business.

Example:

Mr.X having the place of business in Bangalore providing Management consultancy services in Hyderabad where he has no place of business. Hence Mr.X has to register as a Casual Taxable Person in Hyderabad before providing such services.

Note-

- a) Person includes individuals, Hindu Undivided Family, company including Government Company, firm, limited liability partnership, an association of persons, a body of individuals, co-operative society, local authority and government including a corporation.
- b) Principal place of business means the place of business specified as the principal place of business in the certificate of registration.

Returns to be Furnished

The casual taxable person is required to furnish the following returns

FORM	DUE DATE
FORM GSTR-1 (Details of outward supplies of goods or services)	On or before the 10th of the following month
FORM GSTR-2 (Details of inward supplies)	After 10th but before the 15th of the following month
FORM GSTR-3	After 15th but before the 20th of the following month

A casual tax person is not required to file an annual return as required by a normally registered taxpayer.

Note –All Forms can be submitted at the common portal, either directly or through a Facilitation Centre notified by the Commissioner.

Refund by Casual Taxable Person

CTP is eligible for the refund of any amount deposited in excess of tax liability which will be refunded after all the necessary returns have been furnished for the Registration period.

Application for Refund of balance in excess of tax liability in the electronic cash ledger has to be made in serial no. 14 of the last FORM GSTR-3 return.

Power to Grant Exemption from Tax

Exempt supplies comprise the following three types of supplies:

1. Supplies taxable at a 'NIL' rate of tax* (0% tax);
2. Supplies that are wholly or partially exempted from CGST or IGST, by way of a notification amending Section 11 of CGST Act or Section 6 of IGST Act;

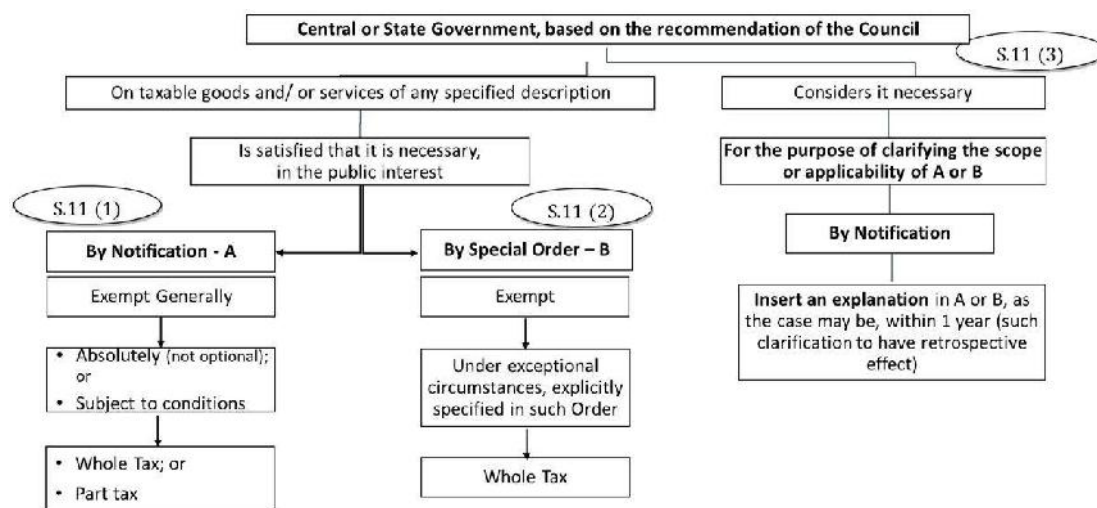
3. Non-taxable supplies as defined under Section 2(78) – supplies that are not taxable under the Act (For Example Alcoholic liquor for human consumption).

Tax need not be paid on these supplies. Input tax credit attributable to exempt supplies will not be available for utilization/setoff.

*Zero-rated supplies such as exports would not be treated as supplies taxable at 'NIL' rate of tax;

Central or the State Governments are empowered to grant exemptions from GST. Conditions are:

1. Exemption should be in public interest
2. By way of issue of notification
3. Must be recommended by the GST Council
4. Absolute exemption or conditional exemption may be for any goods and / or services of any specified description.
5. Exemption by way of special order (not notification) may be granted exceptional circumstances.
6. Registered person supplying the goods and / or services is not entitled to collect tax higher than the effective rate, where the supply enjoys an absolute exemption.



Classification of Exemptions:

1. Supplier may be exempt – Exemption to the person making supplies-i.e., supplier, regardless of the nature of outward supply.
2. Ex. Services by Securities and Exchange Board of India, Services by Charitable entities.
3. Certain Supplies may be exempt – Certain supplies due to their nature and type are exempted from GST. All supplies that are notified would be eligible for the exemption. Here, irrespective of who the supplier is, exemption is allowed not very much relevant.
4. Ex: Services by way of sponsorship of sporting events, Services by way of public conveniences

Types of Exemptions:

1. Absolute exemption: Exemption without any conditions.
2. Ex: Transmission or distribution of electricity by an electricity transmission or distribution utility, Services by Reserve Bank of India.
3. Conditional Exemption: Exemption subject to certain conditions.
4. Ex: Services by a hotel, inn, guest house, club or campsite, by whatever name called, for residential or lodging purposes, having declared tariff of a unit of accommodation less than 1000/- per day.

Conditional or partial exemption:

Intra-State supplies of goods and/or services received from an unregistered person by a registered person is exempted from payment of tax under reverse charge provided the aggregate value of such supplies received by a registered person from all or any of the suppliers does not exceed 5000/- in a day.

Time and Value of Supply of Goods

The point of taxation, type of tax, and amount of tax depends on the time, place, and value of supply. It is necessary to understand how these rules apply in case of inter-state and intra-state transactions so that you charge the correct tax every time.

Under GST, 3 types of taxes can be charged in the invoice. SGST and CGST in case of an intra-state transaction and IGST in case of an interstate transaction. But deciding whether a particular transaction is inter or intrastate is not an easy task.

Think about an online training where customers are sitting in different parts of the world. Say in case, hotel services, where the receiver may have an office in another state and may be visiting the hotel only temporarily, or where goods are sold on a train journey passing through different states.

To help address some of these situations, the IGST act lays down certain rules which define whether a transaction is inter or intrastate. These rules are called the place of supply rules.

Time of supply means the point in time when goods/services are considered supplied'. When the seller knows the 'time', it helps him identify due date for payment of taxes.

Place of supply is required for determining the right tax to be charged on the invoice, whether IGST or CGST/SGST will apply.

Value of supply is important because GST is calculated on the value of the sale. If the value is calculated incorrectly, then the amount of GST charged is also incorrect

1. Time of Supply

Time of supply means the point in time when goods/services are considered supplied'. When the seller knows the 'time', it helps him identify due date for payment of taxes.

CGST/SGST or IGST must be paid at the time of supply. Goods and services have a separate basis to identify their time of supply. Let's understand them in detail.

A. Time of Supply of Goods

Time of supply of goods is earliest of:

1. Date of issue of invoice
2. Last date on which invoice should have been issued
3. Date of receipt of advance/ payment*.

For example:

Mr. X sold goods to Mr. Y worth 1,00,000. The invoice was issued on 15th January. The payment was received on 31st January. The goods were supplied on 20th January.

*Note: GST is not applicable to advances under GST. GST in Advance is payable at the time of issue of the invoice. Notification No. 66/2017 – Central Tax issued on 15.11.2017

Let us analyze and arrive at the time of supply in this case.

Time of supply is earliest of –

1. Date of issue of invoice = 15th January
2. Last date on which invoice should have been issued = 20th January

Thus the time of supply is 15th January.

What will happen if, in the same example an advance of 50,000 is received by Mr. X on 1st January?

The time of supply for the advance of 50,000 will be 1st January (since the date of receipt of advance is before the invoice is issued). For the balance 50,000, the time of supply will be 15th January.

B. Time of Supply for Services

Time of supply of services is earliest of:

1. Date of issue of invoice
2. Date of receipt of advance/ payment.
3. Date of provision of services (if invoice is not issued within prescribed period)

Let us understand this using an **example:**

Mr. A provides services worth 20000 to Mr. B on 1st January. The invoice was issued on 20th January and the payment for the same was received on 1st February.

In the present case, we need to 1st check if the invoice was issued within the prescribed time. The prescribed time is 30 days from the date of supply i.e. 31st January. The invoice was issued on 20th January. This means that the invoice was issued within a prescribed time limit.

The time of supply will be earliest of –

1. Date of issue of invoice = 20th January
2. Date of payment = 1st February

This means that the time of supply of services will be 20th January.

C. Time of Supply under Reverse Charge

In case of reverse charge the time of supply for service receiver is earliest of:

1. Date of payment*
2. 30 days from date of issue of invoice for goods (60 days for services)

*w.e.f. 15.11.2017 'Date of Payment' is not applicable for goods and applies only to services. Notification No. 66/2017 – Central Tax

For example:

M/s ABC Pvt. Ltd undertook service of a director Mr. X worth 50,000 on 15th January. The invoice was raised on 1st February. M/s ABC Pvt Ltd made the payment on 1st May.

The time of supply, in this case, will be earliest of –

1. Date of payment = 1st May
2. 60 days from date of date of invoice = 2nd April

Thus, the time of supply of services is 2nd April.

2. Place of supply

It is very important to understand the term 'place of supply' for determining the right tax to be charged on the invoice.

Here is an example:

Location of Service Receiver	Place of supply	Nature of Supply	GST Applicable
Maharashtra	Maharashtra	Intra-state	CGST + SGST
Maharashtra	Kerala	Inter-state	IGST

A. Place of Supply of Goods

Usually, in case of goods, the place of supply is where the goods are delivered. So, the place of supply of goods is the place where the ownership of goods changes. What if there is no movement of goods. In this case, the place of supply is the location of goods at the time of delivery to the recipient.

For example: In case of sales in a supermarket, the place of supply is the supermarket itself. Place of supply in cases where goods that are assembled and installed will be the location where the installation is done.

For **example**, a supplier located in Kolkata supplies machinery to the recipient in Delhi. The machinery is installed in the factory of the recipient in Kanpur. In this case, the place of supply of machinery will be Kanpur.

B. Place of Supply for Services

Generally, the place of supply of services is the location of the service recipient. In cases where the services are provided to an unregistered dealer and their location is not available the location of service provider will be the place of provision of service.

Special provisions have been made to determine the place of supply for the following services:

- Services related to immovable property
- Restaurant services
- Admission to events

- Transportation of goods and passengers
- Telecom services
- Banking, Financial and Insurance services.

In case of services related to immovable property, the location of the property is the place of provision of services.

Example 1:

Mr. Anil from Delhi provides interior designing services to Mr. Ajay(Mumbai). The property is located in Ooty(Tamil Nadu).

In this case, place of supply will be the location of the immovable property i.e. Ooty, Tamil Nadu.

Example 2:

A registered taxpayer offers passenger transport services from Bangalore to Hampi. The passengers do not have GST registration. What will be the place of supply in this case?

The place of supply is the place from where the departure takes place i.e. Bangalore in this case.

3. Value of Supply of Goods or Services

Value of supply means the money that a seller would want to collect for the goods and services supplied. The amount collected by the seller from the buyer is the value of supply. But where parties are related and a reasonable value may not be charged, or transaction may take place as a barter or exchange; the GST law prescribes that the value on which GST is charged must be its 'transactional value'. This is the value at which unrelated parties would transact in the normal course of business. It makes sure GST is charged and collected properly, even though the full value may not have been paid.

For eg:-

- From the following information furnished by a supplier, calculate the value of supply:

i) Invoice price of Solar Cooker	46,000
ii) Subsidy from State Govt	4,600

- iii) Subsidy directly linked to the supply from a Charitable Trust engaged in promotion of Solar Cookers 10,000.

Solution

Invoice price	46,000
<i>Less:</i> Subsidy directly linked	<u>10,000</u>
Value of Supply	<u><u>36,000</u></u>

Module IV

Registration

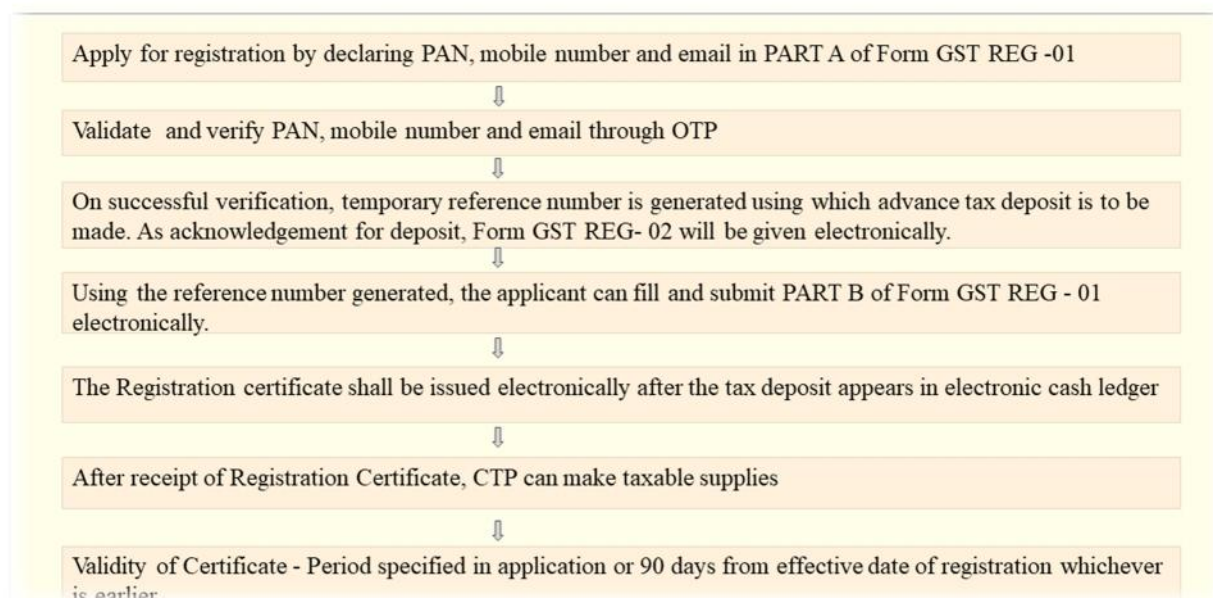
The liability to register under GST arises when the person is a supplier and the aggregate turnover in the financial year is above the threshold limit of 20 lakh rupees (CBIC has notified the increase in threshold turnover from 20 lakhs to 40 lakhs with effect from 1st April 2019). However, there are certain categories of suppliers who are required to get compulsory registration irrespective of their turnover. The threshold limit of 20 lakh rupees is not applicable to them. One such supplier would be a Casual Taxable Person (hereafter referred as CTP). A Casual Taxable person cannot opt for Composition Scheme. A CTP has to obtain a Temporary Registration which is valid for a maximum period of 90 days in the State from where he seeks to supply as a Casual taxable person. A CTP is required to make the advance deposit of GST (based on an estimation of tax liability).

For certain businesses, registration under GST is mandatory. If the organization carries on business without registering under GST, it will be an offence under GST and heavy penalties will apply. GST registration usually takes between 2-6 working days.

Let's take our previous example,

Say Mr. X estimates his taxable services at 100000. He is required to make an advance deposit of 18000 (18% of 100000) to obtain temporary registration.

Registration Process



Extension of Period of Registration

Apply in FORM GST REG-11 before the end of validity of registration. An extension can be made for a further period not extending 90 days. The extension will be allowed only on deposit of additional tax liability for the extended period.

Persons including Register for GST

- Individuals registered under the Pre-GST law (i.e., Excise, VAT, Service Tax etc.)
- Businesses with turnover above the threshold limit of ₹ 20Lakhs* (₹ 10 Lakhs for North-Eastern States, J&K, Himachal Pradesh and Uttarakhand)
- Casual taxable person / Non-Resident taxable person
- Agents of a supplier & Input service distributor
- Those paying tax under the reverse charge mechanism
- Person who supplies via e-commerce aggregator
- Every e-commerce aggregator
- Person supplying online information and database access or retrieval services from a place outside India to a person in India, other than a registered taxable person

Documents Required for GST Registration

- PAN of the Applicant
- Aadhaar card
- Proof of business registration or Incorporation certificate
- Identity and Address proof of Promoters/Director with Photographs
- Address proof of the place of business
- Bank Account statement/Cancelled cheque
- Digital Signature
- Letter of Authorization/Board Resolution for Authorized Signatory

Amendment of Registration

1. Where there is any change in any of the particulars furnished in the application for registration in FORM GST REG-01 or FORM GST REG-07 or FORM GST REG-09 or FORM GST REG-10 or for UIN in FORM GST-REG-13 either at the time of obtaining registration or UIN or as amended from time to time, the registered person shall, within fifteen days of such change, submit an application, duly signed or verified through EVC, electronically in FORM GST REG-14, along with documents relating to such change at the Common Portal either directly or through a Facilitation Centre notified by the Commissioner.
2.
 - a. Where the change relates to-
 - i. legal name of business;
 - ii. address of the principal place of business or any additional place of business; or
 - iii. addition, deletion or retirement of partners or directors, Karta, Managing Committee, Board of Trustees, Chief Executive Officer or equivalent, responsible for day to day affairs of the business, - which does not warrant cancellation of registration under section 29, the proper officer shall, after due verification, approve the amendment within fifteen working days from the date of receipt of application in FORM GST REG-14 and issue an order in FORM GST REG-15 electronically and such amendment shall take effect from the date of occurrence of the event warranting amendment.
 - b. The change relating to sub-clause (i) and sub-clause (iii) of clause (a) in any State or Union territory shall be applicable for all registrations of the registered person obtained under these rules on the same PAN.
 - c. Where the change relates to any particulars other than those specified in clause (a), the certificate of registration shall stand amended upon submission of the application in FORM GST REG- 14 on the Common Portal: Provided that any change in the mobile number or e-mail address of the authorised signatory submitted under rule 1, as amended from time to time, shall

be carried out only after online verification through the Common Portal in the manner provided under the said rule.

- d. Where a change in the constitution of any business results in change of PAN of a registered person, the said person shall apply for fresh registration in FORM GST REG-01.
3. Where the proper officer is of the opinion that the amendment sought under clause (a) of sub-rule (2) is either not warranted or the documents furnished therewith are incomplete or incorrect, he may, within fifteen working days from the date of receipt of the application in FORM GST REG-14, serve a notice in FORM GST REG-03, requiring the registered person to show cause, within seven working days of the service of the said notice, as to why the application submitted under sub-rule (1) shall not be rejected.
4. The registered person shall furnish a reply to the notice to show cause, issued under subrule 3, in FORM GST REG-04 within seven working days from the date of the service of the said notice.
5. Where the reply furnished under sub-rule (4) is found to be not satisfactory or where no reply is furnished in response to the notice issued under sub-rule (3) within the period prescribed in sub-rule (4), the proper officer shall reject the application submitted under subrule (1) and pass an order in FORM GST REG -05.
6. If the proper officer fails to take any action-
 - a. within fifteen working days from the date of submission of application, or
 - b. within seven working days from the date of receipt of reply to the notice to show cause under sub-rule (4),the certificate of registration shall stand amended to the extent applied for and the amended certificate shall be made available to the registered person on the Common Portal.

Cancellation of Registration

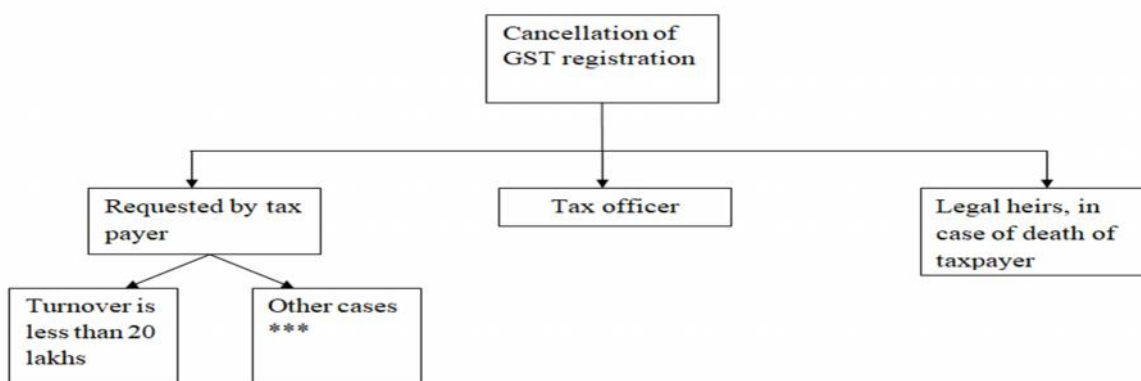
Cancellation of GST registration simply means that the taxpayer will not be a GST registered person any more. He will not have to pay or collect GST.

Consequences of Cancellation

- The taxpayer will not pay GST anymore
- For certain businesses, registration under GST is mandatory. If the GST registration is cancelled and business is still continued, it will mean an offence under GST and heavy penalties will apply.

Who can cancel the GST registration?

Cancellation of GST registration can be done by-



*** Application for cancellation, in case of voluntary registrations made under GST, can be made only after one year from the date of registration.

Cancellation when Turnover is less than 20 lakhs

Every person who was registered under old laws had to mandatorily migrate to GST. Many such persons are not liable to be registered under GST.

For example, the threshold under VAT in most states was 5 lakhs whereas it is 20 lakhs under GST. However, do make sure you are not making inter-state supplies since registration is mandatory for inter-state suppliers except for service providers.

Such a taxpayer can submit an application electronically in FORM GST REG-29 at the common portal.

The proper officer shall, after conducting an enquiry as required will cancel the registration.

Cancellation by taxpayer in other cases

1. The business has been discontinued
2. The business has been transferred fully, amalgamated, demerged or otherwise disposed —The transferee (or the new company from amalgamation/ demerger) has to get registered. The transferor will cancel its registration if it ceases to exist.
3. There is a change in the constitution of the business (For example- Private limited company has changed to a public limited company)

Forms for cancellation

All those who cannot follow the above method must file an application for cancellation in FORM GST REG 16. The legal heirs of the deceased taxpayer will follow the same procedure as below.

- Application for cancellation has to be made in FORM GST REG 16.

- The following details must be included in FORM GST REG 16-
 - o Details of inputs, semi-finished, finished goods held in stock on the date on which cancellation of registration is applied
 - o Liability thereon
 - o Details of the payment
- The proper officer has to issue an order for cancellation in FORM GST REG-19 within 30 days from date of application. The cancellation will be effective from a date determined by the officer and he will notify the taxable person

Cancellation by tax officer

The registration can be cancelled, if the taxpayer-

- a) Does not conduct any business from the declared place of business OR
- b) Issues invoice or bill without supply of goods/services (i.e., in violation of the provisions) OR
- c) Violates the anti-profiteering provisions (for example, not passing on benefit of ITC to customers)

Procedure

- If the proper officer has reasons to cancel the registration of a person then he will send a show cause notice to such person in FORM GST REG-17.
- The person must reply in FORM REG-18 within 7 days from date of service of notice why his registration should not be cancelled.
- If the reply is found to be satisfactory, the proper officer will drop the proceedings and pass an order in FORM GST REG -20.
- If the registration is liable to be cancelled, the proper officer will issue an order in FORM GST REG-19. The order will be sent within 30 days from the date of reply to the show cause.

Revocation of Cancellation of Registration

Revocation means the official cancellation of a decision or promise. Revocation of cancellation of registration means that the decision to cancel the registration has been reversed and the registration is still valid.

This is applicable only when the tax officer has cancelled the registration of a taxable person on his own motion. Such taxable person can apply to the officer for revocation of cancellation within thirty days from the date of the cancellation order.

Procedure

- A registered person can submit an application for revocation of cancellation, in FORM GST REG-21, if his registration has been cancelled suo moto by the proper officer.
- He must submit it within 30 days from the date of service of the cancellation order at the Common Portal.
- If the proper officer is satisfied he can revoke the cancellation of registration by an order in FORM GST REG-22 within 30 days from the date of receipt of the application. Reasons for revocation of cancellation of registration must be recorded in writing.
- The proper officer can reject the application for revocation by an order in FORM GST REG-05 and communicate the same to the applicant.
- Before rejecting, the proper officer must issue a show cause notice in FORM GST REG-23 for the applicant to show why the application should not be rejected. The applicant must reply in FORM GST REG-24 within 7 working days from the date of the service of notice.
- The proper officer will take decision within 30 days from the date of receipt of clarification from the applicant in FORM GST REG-24.

Note: Application for revocation cannot be filed if the registration has been cancelled because of the failure to file returns. Such returns must be furnished first along with payment of all dues amounts of tax, interest & penalty.

Tax Invoice

An invoice or a bill is a list of goods sent or services provided, along with the amount due for payment.

Mandatory fields required for a GST Invoice

A tax invoice is generally issued to charge the tax and pass on the input tax credit. A GST Invoice must have the following mandatory fields-

1. Invoice number and date
2. Customer name
3. Shipping and billing address
4. Customer and taxpayer's GSTIN (if registered)**
5. Place of supply
6. HSN code/ SAC code
7. Item details i.e. description, quantity (number), unit (meter, kg etc.), total value
8. Taxable value and discounts
9. Rate and amount of taxes i.e. CGST/ SGST/ IGST
10. Whether GST is payable on reverse charge basis
11. Signature of the supplier

****If the recipient is not registered and the value is more than 50,000 then the invoice should carry:**

- i. name and address of the recipient,

- ii. address of delivery,
- iii. state name and state code

Types of Invoices

1. Bill of Supply

A bill of supply is similar to a GST invoice except for that bill of supply does not contain any tax amount as the seller cannot charge GST to the buyer.

A bill of supply is issued in cases where tax cannot be charged:

- Registered person is selling exempted goods/services,
- Registered person has opted for composition scheme

Invoice-cum-bill of supply

As per Notification No. 45/2017 – Central Tax dated 13th October 2017

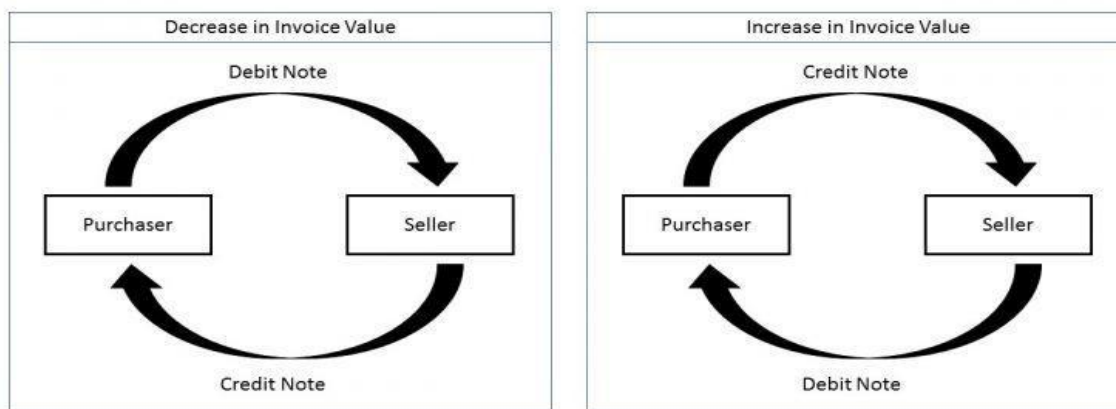
If a registered person is supplying taxable as well as exempted goods/ services to an unregistered person, then he can issue a single “invoice-cum-bill of supply” for all such supplies.

2. Aggregate Invoice

If the value of multiple invoices is less than ₹200 and the buyer are unregistered, the seller can issue an aggregate or bulk invoice for the multiple invoices on a daily basis.

For example, you may have issued 3 invoices in a day of ₹80, ₹90 and ₹120. In such a case, you can issue a single invoice, totalling to ₹290, to be called an aggregate invoice.

3. Debit and credit note



A debit note is issued by the seller when the amount payable by the buyer to seller increases:

1. Tax invoice has a lower taxable value than the amount that should have been charged
2. Tax invoice has a lower tax value than the amount that should have been charged

A credit note is issued by the seller when the value of invoice decreases:

1. Tax invoice has a higher taxable value than the amount that should have been charged
2. Tax invoice has a higher tax value than the amount that should have been charged
3. Buyer refunds the goods to the supplier
4. Services are found to be deficient

Returns

Every registered person paying GST is required to furnish an electronic return every calendar month. A “Tax Return” is a document that showcases the income of a registered taxpayer. Such a document needs to be filed with the tax authorities in order to pay tax to the government. The tax to be paid by a registered dealer depends upon the income declared by such a person in the tax return filed with the tax authorities.

Under the initial GST Return filing procedure, the different types of GST returns demanded the taxpayer to disclose the following details:

- Outward Supplies (Sales)
- Inward Supplies (Purchases)
- GST On Output
- GST on Input (Input Tax Credit)
- Other Particulars (As May be Prescribed in the Document)

***Note: However, the current system of GST Return filing requires a taxpayer to update outward supplies information in GSTR 1. And then file a summary return in GSTR 3B. All the other forms like GSTR 2 and GSTR 3 have been suspended for the time being.

Different Types of GST Returns

Here is a list of all the returns to be filed as prescribed under the GST Law along with the due dates.

As per the CGST Act subject to changes by CBIC Notifications

Return Form	Particulars	Frequency	Due Date
GSTR-1	Details of outward supplies of taxable	Monthly	11th* of the next month with effect

	goods and/or services affected		from October 2018 *Previously, the due date was 10th
GSTR-2 Suspended	Details of inward supplies of taxable goods and/or services affected claiming the input tax credit.	Monthly	15th of the next month
GSTR-3 Suspended	Monthly return on the basis of finalization of details of outward supplies and inward supplies along with the payment of tax.	Monthly	20th of the next month
GSTR-3B	Simple Return in which summary of outward supplies along with Input Tax Credit is declared and payment of tax is affected by taxpayer	Monthly	20th of the next month
GSTR-4	Return for a taxpayer registered under the composition levy	Quarterly	18th of the month succeeding quarter
GSTR-5	Return for a Non-Resident foreign taxable person	Monthly	20th of the next month
GSTR-6	Return for an Input Service Distributor	Monthly	13th of the next month
GSTR-7	Return for authorities deducting tax at source.	Monthly	10th of the next month
GSTR-8	Details of supplies effected through e-commerce operator and the amount of tax collected	Monthly	10th of the next month

GSTR-9	Annual Return for a Normal Taxpayer	Annually	31st December of next financial year*
GSTR-9A	Annual Return a taxpayer registered under the composition levy anytime during the year	Annually	31st December of next financial year*
GSTR-10	Final Return	Once, when GST Registration is cancelled or surrendered	Within three months of the date of cancellation or date of cancellation order, whichever is later.
GSTR-11	Details of inward supplies to be furnished by a person having UIN and claiming a refund	Monthly	28th of the month following the month for which statement is filed

First Return

“Every registered taxable person paying tax under the provisions of section 7 shall furnish the first return containing the details of:

- a) outward supplies under section 25 from the date on which he became liable to registration till the end of the month in which the registration has been granted;
- b) inward supplies under section 26 from the effective date of registration till the end of the month in which the registration has been granted: Provided that a registered taxable person paying tax under the provisions of section 8 shall furnish the first return for the period starting from the date on which he becomes a registered taxable person till the end of the quarter in which the registration has been granted.

Annual Return

Annual return has to be filed by every registered person paying tax as normal taxpayer under GST. Annual return is to be filed once a year in Form GSTR 9.

GSTR 9 is an annual return to be filed yearly by taxpayers registered under GST. Points to note:

- It consists of details regarding the outward and inward supplies made/received during the relevant previous year under different tax heads i.e. CGST, SGST & IGST and HSN codes.
- It is a consolidation of all the monthly/quarterly returns (GSTR-1, GSTR-2A, GSTR-3B) filed in that year. Though complex, this return helps in extensive reconciliation of data for 100% transparent disclosures.

Final Return

A taxable person whose GST registration is cancelled or surrendered has to file a return in the form of GSTR-10. This return is called as final return.

Tax Return Preparers

GST has provisions for creating a new class of professionals called GST Practitioners or GST Tax Return Preparers for helping small businesses with their GST return filing.

According to GST Rules, to become a GST tax return preparer the following conditions must be satisfied by the applicant:

General Criteria

- He/she is a citizen of India.
- He/she is a person of sound mind
- He/she is not adjudicated as insolvent.
- He/she has not been convicted by a competent court for an offence with imprisonment not less than two years.

Experience Route

The following class of persons can become a GST tax return preparer through the experience route.

- Retired officer of the Commercial Tax Department of any State Government or of the Central Board of Excise and Customs, Department of Revenue, Government of India, who, during his service under the Government, had worked in a post not lower in rank than that of a Group-B gazetted officer for a period of not less than two years.

- The person was enrolled as a sales tax practitioner or tax return preparer under the existing law for a period of not less than five years.

Education Route

The following class of persons having passed the following types of exams are eligible to become GST Tax Return Preparers.

- A graduate or postgraduate degree or its equivalent examination having a degree in Commerce, Law, Banking including Higher Auditing, or Business Administration or Business Management from any Indian University established by any law for the time being in force.
- A degree examination of any Foreign University recognized by any Indian University.
- Any degree examination of an Indian University or of any Foreign University recognized by any Indian University as the equivalent of the degree examination.
- Passed final examination of the Institute of Chartered Accountants of India.
- Passed the final examination of the Institute of Cost Accountants of India.
- Passed the final examination of the Institute of Company Secretaries of India.

Levy of Late Fee

If GST Returns are not filed within time, you will be liable to pay interest and a late fee.

Interest is 18% per annum. It has to be calculated by the taxpayer on the amount of outstanding tax to be paid. The time period will be from the next day of filing to the date of payment.

Late fees is 100 per day per Act. So it is 100 under CGST & 100 under SGST. Total will be 200/day. Maximum is 5,000. There is no late fee on IGST.

Notice to Return Defaulters

On receiving notice in GSTR-3A Notice, the defaulter has to file the return within 15 days from the date of notice along with penalty and late fees.

Interest (Penalty)

- Interest at 18% per annum has to be paid by the dealer.
- Interest has to be calculated by the taxpayer on the amount of outstanding tax to be paid.
- The time period for interest calculation will be from the next day of filing to the date of payment.

Late Fees

For annual return

- The Late fee is 200 per day (100 per day per Act).
- The maximum late fee is 0.25% of the taxpayer's turnover in the state.

For other returns

- The Late fee is payable at 100 per day per Act.
- So the penalty works out to 200 per day (100 under CGST & 100 under SGST).
- The maximum penalty that can be levied is 5,000. There is no late fee on IGST.

MODULE V

Payment of Tax, Interest, Penalty and Other Amounts

Under GST Law, payment of tax is to be made as follows:

1. For any intra-state supply (Supply within the state) taxes are to be paid:
 - Central tax known as the Central GST (CGST) goes into the account of the Central Government.
 - State/UT tax known as the SGST/UTGST goes into the account of the concerned State Government or Union Territory, as the case may be.
2. For any inter-state supply tax to be paid is Integrated GST (IGST) which will have components of both CGST and SGST.

In addition, certain categories of registered persons will be required to pay to the government account, Tax Deducted at Source (TDS) and Tax Collected at Source (TCS).

Further, interest, penalty, fees and any other payment as per the Act shall also be paid.

Electronic Ledger/Register

E-ledgers have been introduced under the GST scheme. There are two Electronic Ledgers namely Electronic Cash Ledger (ECL) and Electronic Credit Ledger (ECrL).

1. Electronic Cash Ledger (ECL) is a statement of cash in respect of each registered tax payer.

2. Electronic Credit Ledger (ECrL) is a statement of input tax credit in respect of each registered tax payer.

In addition, each tax payer shall have an Electronic Tax Liability Register. It will show the total tax liability of a tax payer for a particular month.

The above ledgers and register have following sub-ledgers:

1. CGST
2. SGST (Ledger of each respective state)
3. UTGST (Ledger of each respective Union Territory)
4. IGST
5. Cess

Once a tax payer is registered in a GSTN Portal, two E-ledgers and E-register will be automatically opened and displayed.

Interest on Delayed Payment of Tax

Every person who is liable to pay tax but fails to pay the same within the period prescribed, shall be liable to pay interest at such rate as may be notified by the Government based on the recommendations of the GST Council. The rate of interest shall not exceed 18%. The interest shall be calculated from the next day on which tax is due. A taxable person who makes an undue or excess claim of input tax credit or undue or excess reduction in output tax liability, shall pay interest on such excess claim or reduction, at the prescribed rate, notified by the Government on the recommendations of the GST Council. The rate shall not exceed 24%.

Tax Deducted at Source

Tax Deducted at Source (TDS) is one of the ways to collect tax based on certain percentages on the amount payable by the receiver on goods/services. The collected tax is a revenue for the government. The following persons are required to deduct tax at source where the total value of supply under a contract exceeds 250000:

- A department or an establishment of the Central Government or State Government; or
- Local authority; or
- Governmental agencies; or
- Such persons or category of persons as may be notified by the Government on the recommendations of the GST Council.

As per the latest Notification dated 13th September 2018, the following entities also need to deduct TDS-

- An authority or a board or any other body which has been set up by Parliament or a State Legislature or by a government, with 51% equity (control) owned by the government.
- A society established by the Central or any State Government or a Local Authority and the society is registered under the Societies Registration Act, 1860.
- Public sector undertakings.

Input Tax Credit

Under GST, each person having a GST registration in the supply chain takes part in the process of controlling, collecting GST tax and remitting the amount collected. However, to avoid double taxation and cascading effect of tax, input tax credit is provided as a means to set off tax paid on procurement of raw materials, consumables, goods or services that was used in the manufacturing and supply and sale of goods or services. By using the input tax credit mechanism, businesses are able to achieve neutrality in the incidence of tax and ensure that such input tax element does not enter into the cost of production or cost of supply of goods and services.

For example - You are a manufacturer: a) Tax payable on output (Final Product) is 450

b) Tax paid on input (Purchases) is 300 c) You can claim INPUT CREDIT of 300 and you only need to deposit 150 in taxes.

Eligibility for Claiming Input Tax Credit

Input tax credit can be claimed only by a person having GST registration and based on proper documentation and filing of GSTR-2 returns. The following documentary requirements must be satisfied by a taxpayer for claiming input tax credit.

1. An invoice issued by the Supplier as per the GST Rules for Invoice; or
2. A debit note issued by a supplier; or
3. A bill of entry or any similar document; or
4. An ISD invoice or ISD credit note or any document issued by an Input Service Distributor.

In addition, the following conditions are also applicable for claiming input tax credit:

- The taxpayer is in possession of a tax invoice or debit note issued by a registered supplier or other tax paying documents.
- The taxpayer has received the goods and/or services.
- The tax charged in respect of the supply has been actually paid to the account of the appropriate Government, in cash or through utilisation of available input tax credit.
- The taxpayer has filed the necessary GST filings.

Transfer/Utilisation of Input Tax Credit and Order of Set-off

According to GST Law, the input tax credit available for a registered person can be set off against the output tax liability of the person. If any surplus credit is available it can be set off against his other outstanding liability, but only subject to the specific restrictions and conditions in the Act and rules in this respect. The utilisation of credit should be as follows:

CGST - Input credit of CGST must be set off against output tax liability of CGST.

Any surplus credit remaining shall be utilised to set off output tax liability of IGST.

SGST - Input credit of SGST must be set off against output tax liability of SGST.

Any surplus credit remaining shall be utilised to set off output tax liability of IGST.

IGST - Input credit of IGST must be set off against output tax liability of IGST.

Any surplus credit remaining shall be utilised to set off output tax liability of CGST and any surplus credit remaining shall be utilised to set off output tax liability of SGST.

Order of Utilisation of Input Tax Credit

	CGST Collected		SGST Collected		IGST Collected
Less	CGST Paid	Less	SGST Paid	Less	IGST Paid
Less	IGST Paid	Less	IGST Paid	Less	CGST Paid
=	CGST Payable	=	SGST Payable	Less	SGST Paid
				=	IGST Payable

Refund of Tax

Usually when the GST paid is more than the GST liability a situation of claiming GST refund arises. Under GST the process of claiming a refund is standardized to avoid confusion. The process is online and time limits have also been set for the same.

There are many cases where refund can be claimed. Here are some of them –

Excess payment of tax is made due to mistake or omission.

- Dealer Exports (including deemed export) goods/services under claim of rebate or Refund
- ITC accumulation due to output being tax exempt or nil-rated
- Refund of tax paid on purchases made by Embassies or UN bodies
- Tax Refund for International Tourists
- Finalization of provisional assessment

Let's take a simple case of excess tax payment made.

Mr. B's GST liability for the month of September is 50000. But due to mistake, Mr. B made a GST payment of 5 lakh. Now Mr. B has made an excess GST payment of 4.5 lakh which can be claimed as a refund by him. The time limit for claiming the refund is 2 years from the date of payment.

The time limit for claiming a refund is 2 years from relevant date. The relevant date is different in every case. Here are the relevant dates for some cases –

Reason for claiming GST Refund	Relevant Date

Excess payment of GST	Date of payment
Export or deemed export of goods or services	Date of despatch/loading/passing the frontier
ITC accumulates as output is tax exempt or nil-rated	Last date of financial year to which the credit belongs
Finalisation of provisional assessment	Date on which tax is adjusted

Also if refund is paid with delay an interest of 24% p.a. is payable by the government.

Accounts and Records

Every registered person is required to keep and maintain all records at his principal place of business. It is the responsibility of the following persons to maintain specified records-

- The owner
- Operator of warehouse or godown or any other place used for storage of goods
- Every transporter

Every registered person whose turnover during a financial year exceeds the prescribed limit (₹ 2 crore) will get his accounts audited by a chartered accountant or a cost accountant. Every registered person must maintain records of:

- Production or manufacture of goods
- Inward and outward supply of goods or services or both
- Stock of goods
- Input tax credit availed
- Output tax payable and paid and
- Other particulars as may be prescribed

Accounts must be maintained under GST

Under GST, a trader has to maintain the following a/c's (apart from accounts like purchase, sales, stock) –

- Input CGST a/c
- Output CGST a/c
- Input SGST a/c
- Output SGST a/c
- Input IGST a/c

- Output IGST a/c
- Electronic Cash Ledger (to be maintained on Government GST portal to pay GST)

Demands and Recovery

Demand and recovery provisions are applicable when a registered dealer has paid tax incorrectly or not paid tax at all. It is also applicable when an incorrect refund or ITC is claimed by the dealer.

The proper officer will issue a show cause notice along with a demand for payment of tax and penalty in case of fraud.

Demands can arise in the following cases:

1. Unpaid or short paid tax or wrong refund
2. Tax collected but not deposited with the Central or a State Government
3. CGST/SGST paid when IGST was payable and vice versa.

If demand is not paid, the GST authority starts recovery proceedings

- 1) The proper officer shall serve, along with the (a) notice under sub-section (1) of section 73 or sub-section (1) of section 74 or subsection(2) of section 76, a summary thereof electronically in FORM GST DRC-01,(b) statement under sub-section (3) of section 73 or sub-section (3) of section 74, a summary thereof electronically in FORM GST DRC-02,specifying therein the details of the amount payable.
- 2) Where, before the service of notice or statement, the person chargeable with tax makes payment of the tax and interest in accordance with the provisions of sub-section (5) of section 73 or, as the case may be, tax, interest and penalty in accordance with the provisions of subsection(5) of section 74, he shall inform the proper officer of such payment in FORM GST DRC-03 and the proper officer shall issue an acknowledgement, accepting the payment made by the said person in FORM GST DRC-04.
- 3) Where the person chargeable with tax makes payment of tax and interest under sub-section (8) of section 73 or, as the case may be, tax, interest and penalty under sub-section (8) of section 74 within thirty days of the service of a notice under sub-rule (1), he shall intimate theproper officer of such payment in FORM GST DRC-03 and the proper officer shall issue an order in FORM GST DRC-05 concluding the proceedings in respect of the said notice.
- 4) The representation referred to in sub-section (9) of section 73 or sub-section (9) of section 74 or sub-section (3) of section 76 shall be in FORM GST DRC-06.
- 5) A summary of the order issued under sub-section (9) of section 73 or sub-section (9) of section 74 or sub-section (3) of section 76 shall be uploaded electronically in FORM GST DRC-07, specifying therein the amount of tax, interest and penalty payable by the person chargeable with tax.

- 6) The order referred to in sub-rule (5) shall be treated as the notice for recovery.
- 7) Any rectification of the order, in accordance with the provisions of section 161, shall be made by the proper officer in FORM GST DRC-08.

Recovery [Rule 143]

Recovery by Deduction from any Money Owed

Where any amount payable by a person (hereafter referred to in this rule as “the defaulter”) to the Government under any of the provisions of the Act or the rules made thereunder is not paid, the proper officer may require, in FORM GST DRC-09, a specified officer to deduct the amount from any money owing to such defaulter in accordance with the provisions of clause (a) of sub-section (1) of section 79.

Explanation: For the purposes of this rule, “specified officer” shall mean any officer of the Central Government or a State Government or the Government of a Union territory or a local authority, or of a Board or Corporation or a company owned or controlled, wholly or partly, by the Central Government or a State Government or the Government of a Union territory or a local authority.

Recovery by Sale of Goods under the Control of Proper Officer

(1) Where any amount due from a defaulter is to be recovered by selling goods belonging to such person in accordance with the provisions of clause (b) of sub-section (1) of section 79, the proper officer shall prepare an inventory and estimate the market value of such goods and proceed to sell only so much of the goods as may be required for recovering the amount payable along with the administrative expenditure incurred on the recovery process.

(2) The said goods shall be sold through a process of auction, including e-auction, for which a notice shall be issued in FORM GST DRC-10 clearly indicating the goods to be sold and the purpose of sale.

(3) The last day for submission of bid or the date of auction shall not be earlier than fifteen days from the date of issue of the notice referred to in sub-rule (2):

Provided that where the goods are of perishable or hazardous nature or where the expenses of keeping them in custody are likely to exceed their value, the proper officer may sell them forthwith.

(4) The proper officer may specify the amount of pre-bid deposit to be furnished in the manner specified by such officer, to make the bidders eligible to participate in the auction, which may be returned to the unsuccessful bidders, forfeited in case the successful bidder fails to make the payment of the full amount, as the case may be.

(5) The proper officer shall issue a notice to the successful bidder in FORM GST DRC-11 requiring him to make the payment within a period of fifteen days from the date of auction.

On payment of the full bid amount, the proper officer shall transfer the possession of the said goods to the successful bidder and issue a certificate in FORM GST DRC-12.

(6) Where the defaulter pays the amount under recovery, including any expenses incurred on the process of recovery, before the issue of the notice under sub-rule (2), the proper officer shall cancel the process of auction and release the goods.

(7) The proper officer shall cancel the process and proceed for re-auction where no bid is received or the auction is considered to be non-competitive due to lack of adequate participation or due to low bids.

Recovery from a Third Person

(1) The proper officer may serve upon a person referred to in clause (c) of sub-section (1) of section 79 (hereafter referred to in this rule as “the third person”), a notice in FORM GST DRC-13 directing him to deposit the amount specified in the notice.

(2) Where the third person makes the payment of the amount specified in the notice issued under sub-rule (1), the proper officer shall issue a certificate in FORM GST DRC-14 to the third person clearly indicating the details of the liability so discharged.

Recovery through Execution of a Decree, etc.

Where any amount is payable to the defaulter in the execution of a decree of a civil court for the payment of money or for sale in the enforcement of a mortgage or charge, the proper officer shall send a request in FORM

GST DRC- 15 to the said court and the court shall, subject to the provisions of the Code of Civil Procedure, 1908 (5 of 1908), execute the attached decree, and credit the net proceeds for settlement of the amount recoverable.

Recovery by Sale of Movable or Immovable Property

(1) The proper officer shall prepare a list of movable and immovable property belonging to the defaulter, estimate their value as per the prevalent market price and issue an order of attachment or

distrain and a notice for sale in FORM GST DRC- 16 prohibiting any transaction with regard to such movable and immovable property as may be required for the recovery of the amount due:

Provided that the attachment of any property in a debt not secured by a negotiable instrument, a share in a corporation, or other movable property not in the possession of the defaulter except for property deposited in, or in the custody of any Court, shall be attached in the manner provided in rule 151.

(2) The proper officer shall send a copy of the order of attachment or distraint to the concerned Revenue Authority or Transport Authority or any such Authority to place encumbrance on the said movable or immovable property, which shall be removed only on the written instructions from the proper officer to that effect.

(3) Where the property subject to the attachment or distraint under sub-rule (1) is-

(a) an immovable property, the order of attachment or distraint shall be affixed on the said property and shall remain affixed till the confirmation of sale;

(b) a movable property, the proper officer shall seize the said property in accordance with the provisions of chapter XIV of the Act and the custody of the said property shall either be taken by the proper officer himself or an officer authorised by him.

(4) The property attached or distrained shall be sold through auction, including e-auction, for which a notice shall be issued in FORM GST DRC- 17 clearly indicating the property to be sold and the purpose of sale.

(5) Notwithstanding anything contained in the provision of this Chapter, where the property to be sold is a negotiable instrument or a share in a corporation, the proper officer may, instead of selling it by public auction, sell such instrument or a share through a broker and the saidbroker shall deposit to the Government so much of the proceeds of such sale, reduced by his commission, as may be required for the discharge of the amount under recovery and pay the amount remaining, if any, to the owner of such instrument or a share.

(6) The proper officer may specify the amount of pre-bid deposit to be furnished in the manner specified by such officer, to make the bidders eligible to participate in the auction, which may be returned to the unsuccessful bidders or, forfeited in case the successful bidder fails to make the payment of the full amount, as the case may be.

(7) The last day for the submission of the bid or the date of the auction shall not be earlier than fifteen days from the date of issue of the notice referred to in sub-rule (4):Provided that where the goods are of perishable or hazardous nature or where the expenses of keeping them in custody are likely to exceed their value, the proper officer may sell them forthwith.

(8) Where any claim is preferred or any objection is raised with regard to the attachment or distraint of any property on the ground that such property is not liable to such

attachment or distraint, the proper officer shall investigate the claim or objection and may postpone the sale for such time as he may deem fit.

(9) The person making the claim or objection must adduce evidence to show that on the date of the order issued under sub-rule (1) he had some interest in, or was in possession of, the property in question under attachment or distraint.

(10) Where, upon investigation, the proper officer is satisfied that, for the reason stated in the claim or objection, such property was not, on the said date, in the possession of the defaulter or of any other person on his behalf or that, being in the possession of the defaulter on the said date, it was in his possession, not on his own account or as his own property, but on account of or in trust for any other person, or partly on his own account and partly on account of some other person, the proper officer shall make an order releasing the property, wholly or to such extent as he thinks fit, from attachment or distraint.

(11) Where the proper officer is satisfied that the property was, on the said date, in the possession of the defaulter as his own property and not on account of any other person, or was in the possession of some other person in trust for him, or in the occupancy of a tenant or other person paying rent to him, the proper officer shall reject the claim and proceed with the process of sale through auction.

(12) The proper officer shall issue a notice to the successful bidder in FORM GST DRC-11 requiring him to make the payment within a period of fifteen days from the date of such notice and after the said payment is made, he shall issue a certificate in FORM GST DRC-12 specifying the details of the property, date of transfer, the details of the bidder and the amount paid and upon issuance of such certificate, the rights, title and interest in the property shall be deemed to be transferred to such bidder:

Provided that where the highest bid is made by more than one person and one of them is a co-owner of the property, he shall be deemed to be the successful bidder.

(13) Any amount, including stamp duty, tax or fee payable in respect of the transfer of the property specified in sub-rule (12), shall be paid to the Government by the person to whom the title in such property is transferred.

(14) Where the defaulter pays the amount under recovery, including any expenses incurred on the process of recovery, before the issue of the notice under sub-rule (4), the proper officer shall cancel the process of auction and release the goods.

(15) The proper officer shall cancel the process and proceed for re-auction where no bid is received or the auction is considered to be non-competitive due to lack of adequate participation or due to low bids.

Prohibition against Bidding or Purchase by Officer

No officer or other person having any duty to perform in connection with any sale under the provisions of this Chapter shall, either directly or indirectly, bid for, acquire or attempt to acquire any interest in the property sold.

Prohibition against Sale on Holidays

No sale under the rules under the provision of this chapter shall take place on a Sunday or other general holidays recognized by the Government or on any day which has been notified by the Government to be a holiday for the area in which the sale is to take place.

Assistance by Police

The proper officer may seek such assistance from the officer in-charge of the jurisdictional police station as may be necessary in the discharge of his duties and the said officer-in-charge shall depute sufficient number of police officers for providing such assistance.

Attachment of Debts and Shares, etc.

(1) A debt not secured by a negotiable instrument, a share in a corporation, or other movable property not in the possession of the defaulter except for property deposited in, or in the custody of any court shall be attached by a written order in FORM GST DRC-16 prohibiting.-

(a) in the case of a debt, the creditor from recovering the debt and the debtor from making payment thereof until the receipt of a further order from the proper officer;

(b) in the case of a share, the person in whose name the share may be standing from transferring the same or receiving any dividend thereon;

(c) in the case of any other movable property, the person in possession of the same from giving it to the defaulter.

(2) A copy of such order shall be affixed on some conspicuous part of the office of the proper officer, and another copy shall be sent, in the case of debt, to the debtor, and in the case of shares, to the registered address of the corporation and in the case of other movable property, to the person in possession of the same.

(3) A debtor, prohibited under clause (a) of sub-rule (1), may pay the amount of his debt to the proper officer, and such payment shall be deemed as paid to the defaulter.

Attachment of Property in Custody of Courts or Public Officer

Where the property to be attached is in the custody of any court or Public Officer, the proper officer shall send the order of attachment to such court or officer, requesting that such property, and any interest or dividend becoming payable thereon, may be held till the recovery of the amount payable.

Attachment of Interest in Partnership

(1) Where the property to be attached consists of an interest of the defaulter, being a partner, in the partnership property, the proper officer may make an order charging the share of such partner in the partnership property and profits with payment of the amount due under the certificate, and may, by the same or subsequent order, appoint a receiver of the share of such partner in the profits, whether already declared or accruing, and of any other money which may become due to him in respect of the partnership, and direct accounts and enquiries and make an order for the sale of such interest or such other order as the circumstances of the case may require.

(2) The other partners shall be at liberty at any time to redeem the interest charged or, in the case of a sale being directed, to purchase the same.

Disposal of Proceeds of Sale of Goods and Movable or Immovable Property

The amounts so realised from the sale of goods, movable or immovable property, for the recovery of dues from a defaulter shall,-

(a) first, be appropriated against the administrative cost of the recovery process;

(b) next, be appropriated against the amount to be recovered;

(c) next, be appropriated against any other amount due from the defaulter under the Act or the Integrated Goods and Services Tax Act, 2017 or the Union Territory Goods and Services Tax Act, 2017 or any of the State Goods and Services Tax Act, 2017 and the rules made there under; and

(d) any balance, be paid to the defaulter.

Recovery through Land Revenue Authority

Where an amount is to be recovered in accordance with the provisions of clause (e) of sub-section (1) of section 79, the proper officer shall send a certificate to the Collector or Deputy Commissioner of the district or any other officer authorised in this behalf in FORM GST DRC-18 to recover from the person concerned, the amount specified in the certificate as if it were an arrear of land revenue.

Recovery through Court

Where an amount is to be recovered as if it were a fine imposed under the Code of Criminal Procedure, 1973, the proper officer shall make an application before the appropriate Magistrate in accordance with the provisions of clause (f) of sub-section (1) of section 79 in FORM GST DRC- 19 to recover from the person concerned, the amount specified there under as if it were a fine imposed by him.

Recovery from Surety

Where any person has become surety for the amount due by the defaulter, he may be proceeded against under this Chapter as if he were the defaulter.

Payment of Tax and Other Amounts in Instalments

(1) On an application filed electronically by a taxable person, in FORM GST DRC- 20, seeking extension of time for the payment of taxes or any amount due under the Act or for allowing payment of such taxes or amount in instalments in accordance with the provisions of section 80, the Commissioner shall call for a report from the jurisdictional officer about the financial ability of the taxable person to pay the said amount.

(2) Upon consideration of the request of the taxable person and the report of the jurisdictional officer, the Commissioner may issue an order in FORM GST DRC- 21 allowing the taxable person further time to make payment and/or to pay the amount in such monthly instalments, not exceeding twenty-four, as he may deem fit.

(3) The facility referred to in sub-rule (2) shall not be allowed where-

(a) the taxable person has already defaulted on the payment of any amount under the Act or the Integrated Goods and Services Tax Act, 2017 or the Union Territory Goods and Services Tax Act, 2017 or any of the State Goods and Services Tax Act, 2017, for which the recovery process is on;

(b) the taxable person has not been allowed to make payment in instalments in the preceding financial year under the Act or the Integrated Goods and Services Tax Act, 2017 or the Union Territory Goods and Services Tax Act, 2017 or any of the State Goods and Services Tax Act, 2017;

(c) the amount for which instalment facility is sought is less than twenty-five thousand rupees.

Provisional Attachment of Property

(1) Where the Commissioner decides to attach any property, including bank account in accordance with the provisions of section 83, he shall pass an order in FORM GST DRC-22 to

that effect mentioning therein, the details of property which is attached.

(2) The Commissioner shall send a copy of the order of attachment to the concerned Revenue Authority or Transport Authority or any such Authority to place encumbrance on the said movable or immovable property, which shall be removed only on the written instructions from the Commissioner to that effect.

(3) Where the property attached is of perishable or hazardous nature, and if the taxable person pays an amount equivalent to the market price of such property or the amount that is or may become payable by the taxable person, whichever is lower, then such property shall be released forthwith, by an order in FORM GST DRC-23, on proof of payment.

(4) Where the taxable person fails to pay the amount referred to in sub-rule (3) in respect of the said property of perishable or hazardous nature, the Commissioner may dispose of such property and the amount realized thereby shall be adjusted against the tax, interest, penalty, fee or any other amount payable by the taxable person.

(5) Any person whose property is attached may, within seven days of the attachment under sub-rule (1), file an objection to the effect that the property attached was or is not liable to attachment, and the Commissioner may, after affording an opportunity of being heard to the person filing the objection, release the said property by an order in FORM GST DRC- 23.

(6) The Commissioner may, upon being satisfied that the property was, or is no longer liable for attachment, release such property by issuing an order in FORM GST DRC- 23.

Recovery from Company in Liquidation

Where the company is under liquidation as specified in section 88, the Commissioner shall notify the liquidator for the recovery of any amount representing tax, interest, penalty or any other amount due under the Act in FORM GST DRC -24.

Continuation of Certain Recovery Proceedings

The order for the reduction or enhancement of any demand under section 84 shall be issued in FORM GST DRC- 25.

Inspection, Search, Seizure and Arrest

Inspection under GST

A Joint Commissioner (or an officer of higher rank) may have “*reasons to believe*” that in order to evade tax, any person has done the following-

1. Suppressed any transaction of supply
2. Suppressed stock in hand
3. Claimed input tax credit in excess
4. Violated of any of the provisions
5. Any transporter or owner/operator of a warehouse has kept goods which have escaped tax payment or has kept accounts and/or goods in such a way as to evade tax

Then he can authorize any officer in FORM GST INS-01 to inspect places of businesses of:

- the taxable person or
- the transporter or
- owner/operator of warehouse

Reasons to Believe

‘Reason to believe’ means having knowledge of facts (although does not mean having direct knowledge), that would make any reasonable person, knowing the same facts, to reasonably conclude the same thing.

As per the Indian Penal Code, 1860, “A person is said to have ‘reason to believe’ a thing, if he has sufficient cause to believe that thing but not otherwise.”

Reason to believe is a determination based on intelligent examination and evaluation. It is different from a purely subjective consideration, i.e., an opinion. It is based on facts rather than an interpretation of facts.

GST Act does not mention recording the reasons to believe. In fact, Finance Act 2017 has amended Sec 132(1) & (1A) of Income Tax Act retrospectively stating, that reason to believe, shall not be disclosed to any person or any authority or the Appellate Tribunal.

Search under GST

‘**Search**’ involves an attempt to find something. Search, in tax/legal parlance, is an action of a government official (a tax officer or a police officer, depending on the case) to go and look through or examine carefully a place, person, object etc. in order to find something concealed or to discover evidence of a crime. The search can only be done under the proper and valid authority of law.

‘Inspection’ is the act of examining something, often closely. In tax/legal language, it is a softer provision than search. It enables officers to access any place of business of a taxable person and also any place of business of a person engaged in transporting goods or who is an owner/operator of a warehouse or godown.

On the basis of results of inspection or any other reason, Joint Commissioner of SGST/CGST or a superior officer can order for a search if he has “reasons to believe” –

- There are goods which are liable for confiscation
- Any documents or books or other things which will be useful during proceedings and are hidden somewhere

He can, on his own or through an authorized officer, search and seize the goods and documents.

Seizure under GST

The term ‘seizure’ has not been specifically defined in GST. In legal parlance, seizure is the act of taking over something or someone by force through legal process, such as the seizure of evidence found at the scene of a crime. It generally implies taking possession forcibly against the wishes of the owner.

Difference between Seizure and Detention

Not allowing the owner any access to the seized goods by a legal order/notice is called detention. However, the ownership & possession of goods still lie with the owner. It is issued when it is suspected that the goods are liable to confiscation.

Seizure is taking over or actual possession of the goods by the department. But the ownership is still with the owner. Seizure can be made only after inquiry/investigation that the goods are liable to confiscation.

Procedure for Seizure

The proper officer will give an order of seizure in FORM GST INS-02.

Power of Proper Officer

- The officer authorized to search will have the power to seal the door of the premises. He can also break open the door of any premises if access is denied. He can also break open any cupboard or box in which goods, books, documents etc., are suspected to be concealed.
- If it is not practicable to seize the goods, the proper officer will order the owner not to remove these goods without prior permission of the officer. The officer will issue an order of prohibition in FORM GST INS-03.
- The officer will keep the books and documents as long as it is necessary for examination and inquiry. Other books which are not relevant to the issue of notice will be returned within 30 days from the date of notice.

- The seized goods can be released on a provisional basis against a bond for the value of the goods in FORM GST INS-04. The owner must also furnish a security in the form of a bank guarantee for the amount due (applicable tax, interest and penalty payable).
- If the owner fails to produce the provisionally released goods at the appointed date and place then the security will be encashed and adjusted against the amount due.

Proceedings after Seizure

1. The person, whose documents are seized, can make copies only in the presence of an officer.
2. If notice is not issued within six months (extendable by 6 more months) of the seizing the goods, they will be returned.
3. The Government can issue a list of hazardous or perishable goods which can be disposed off as soon as they are seized.
4. All goods seized will be listed properly by the officer.

The provisions of the Code of Criminal Procedure will apply to search and seizure.

Other ways to check/inspect

The Commissioner or an authorized officer can purchase any goods and/or services from a taxable person. This will be done to check the issue of tax invoices, whether they are maintained correctly, and whether GST amount is clearly displayed. When the goods are returned, the amount will have to be refunded by the taxable person and the sales invoice will be cancelled.

Arrest under GST

If the Commissioner of CGST/SGST **believes** a person has committed an offence u/s 132, he can be arrested by any authorised CGST/SGST officer

The arrested person will be informed about the grounds of his arrest. He will appear before the magistrate within 24 hours in case of cognizable offence.

Offenses u/s 132 where arrest provisions become applicable-

1. A taxable person supplies any goods/services without any invoice or issues a false invoice
2. He issues any invoice or bill without supply of goods/services in violation of the provisions of GST
3. He collects any GST but does not submit it to the government within 3 months
4. Even if he collects any GST in contravention of provisions, he still has to deposit it to the government within 3 months. Failure to do so will be an offense under GST
5. He has already been convicted of an earlier u/s 132 i.e., this is his 2nd offense

On reading section 132 with arrest provisions, it essentially stands that a person can be arrested only where the tax evasion is more than 100 lakhs rupees or where a person has earlier been convicted of an offence u/s 132.

Offences and Penalties

An offence is a breach of a law or rule, i.e., an illegal act. Similarly, an offence under GST is a breach of the provisions of GST Act and GST Rules. There are 21 offences under GST. For easy understanding, we have grouped them as-

Fake/wrong invoices

1. A taxable person supplies any goods/services without any invoice or issues a false invoice.
2. He issues any invoice or bill without supply of goods/services in violation of the provisions of GST
3. He issues invoices using the identification number of another bonafide taxable person

Fraud

4. He submits false information while registering under GST
5. He submits fake financial records/documents or files fake returns to evade tax
6. Does not provide information/gives false information during proceedings

Tax evasion

7. He collects any GST but does not submit it to the government within 3 months
8. Even if he collects any GST in contravention of provisions, he still has to deposit it to the government within 3 months. Failure to do so will be an offence under GST.
9. He obtains refund of any CGST/SGST by fraud.
10. He takes and/or utilizes input tax credit without actual receipt of goods and/or services
11. He deliberately suppresses his sales to evade tax

Supply/transport of goods

12. He transports goods without proper documents
13. Supplies/transport goods which he knows will be confiscated
14. Destroys/tampers goods which have been seized

Others

15. He has not registered under GST although he is required to by law
16. He does not deduct TDS or deducts less amount where applicable.
17. He does not collect TCS or collects less amount where applicable.
18. Being an Input Service Distributor, he takes or distributes input tax credit in violation of the rules

19. He obstructs the proper officer during his duty (for example, he hinders the officer during the audit by tax authorities)
20. He does not maintain all the books that he required to maintain by law
21. He destroys any evidence

Penalties under GST

The word “penalty” is not specifically defined in GST and so it takes the meaning from various judicial pronouncements and principles of jurisprudence.

A penalty is a punishment imposed by law for committing an offence or failing to do something that was the duty of a party to do.

A penalty can be both corporal or pecuniary, civil or criminal. Both corporal (jail) and pecuniary (monetary) penalties are applicable under GST.

Common Offences under GST and their Penalties

Type of Offence	Amount of Penalty
Penalty for delay in filing GSTR	Late fee is 100 per day per Act. So it is 100 under CGST & 100 under SGST. Total will be 200/day. Maximum is 5,000. There is no late fee on IGST.
Penalty for not filing GSTR	Penalty 10% of tax due or 10,000 -whichever is higher
Penalty for committing a fraud	Penalty 100% of tax due or 10,000 -whichever is higher (High value fraud cases also have jail term)
Penalty for helping a person to commit fraud	Penalty extending upto 25,000
Penalty for opting for composition scheme even though he is not eligible	Demand & recovery provisions of sections 73 & 74 will apply. • Fraud case Penalty 100% of tax due or 10,000

	-whichever is higher • Non-fraud case Penalty 10% of tax due or 10,000 -whichever is higher
Penalty for wrongfully charging GST rate— charging higher rate	Penalty 100% of tax due or 10,000 -whichever is higher (if the additional GST collected is not submitted with the govt)
Penalty for not issuing invoice	Penalty 100% of tax due or 10,000 -whichever is higher
Penalty for not registering under GST	Penalty 100% of tax due or 10,000 -whichever is higher
Penalty for incorrect invoicing	Penalty of 25,000

Situations where there is no penalty (but interest may apply)

Type of offence	Action
Penalty for incorrect type of GST charged (IGST instead of CGST/SGST)	No penalty. Pay the correct GST and get refund of the wrong type of GST paid earlier
Penalty for incorrect filing of GSTR	No penalty. But interest @18% on shortfall amount
Penalty for delay in payment of invoice.	ITC will be reversed if not paid within 6 months. No penalty as such

Penalty for wrongfully charging GST rate— charging lower rate	Interest @18% applicable on the shortfall
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Penalty in cases of fraud

An offender has to pay a penalty amount of tax evaded/short deducted etc., i.e., **100%** penalty, subject to a minimum of 10,000.

For the 21 offences above, for fraud cases, penalty will be 100% (minimum 10,000). *Not only the taxable person but **any person** who does the following* will have to pay a penalty extending upto 25,000

- Helps any person to commit fraud under GST
- Acquires/receives any goods/services with full knowledge that it is in violation of GST rules
- Fails to appear before the tax authority on receiving a summons
- Fails to issue an invoice according to GST rules
- Fails to account/vouch any invoice appearing in the books

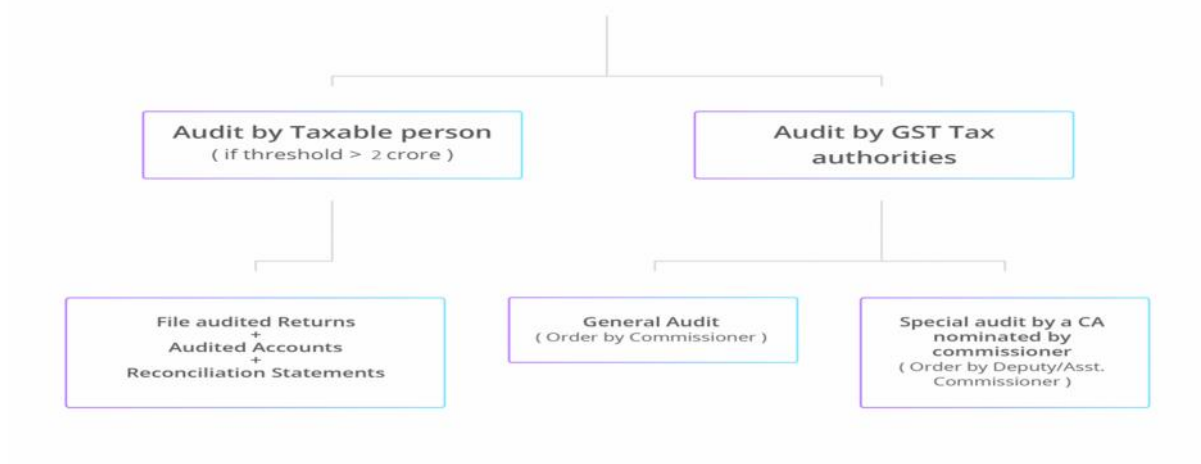
GST has corporal punishments (jail) for high value fraud cases as follows-

Tax amount involved	100-200 lakhs	200-500 lakhs	Above 500 lakhs
Jail term	Upto 1 year	Upto 3 years	Upto 5 year
Fine	In all three cases		

Audit

Audit under GST is the examination of records maintained by a registered dealer. The aim is to verify the correctness of information declared, taxes paid and to assess the compliance with GST.

Audit under GST



Audit by Registered Dealer

Every registered dealer whose turnover during a financial year exceeds the 2 crore has to get his accounts audited by a CA or a CMA.

ICAI clarifies through an announcement dated 28th September 2018 that an Internal Auditor cannot undertake GST Audit simultaneously

Audit by GST Tax Authorities

General Audit: The commissioner or on his orders an officer may conduct an audit of any registered dealer.

Special Audit: The department may conduct a special audit due to the complexity of the case and considering the interest of revenue. The CA or a CMA will be appointed to conduct the audit.

Audit by Tax Authorities

- The Commissioner of CGST/SGST (or any officer authorized by him) may conduct an audit of a taxpayer. The frequency and manner of an audit will be prescribed later.
- A notice will be sent to the auditee at least 15 days before.
- The audit will be completed within 3 months from the date of commencement of the audit.
- The Commissioner can extend the audit period for a further six months with reasons recorded in writing.

Special Audit

The Assistant Commissioner may initiate the special audit, considering the nature and complexity of the case and interest of revenue. If he is of the opinion during any stage of scrutiny/ inquiry/investigation that the value has not been correctly declared or the wrong credit has been availed then special audit can be initiated.

The Assistant Commissioner (with the prior approval of the Commissioner) can order for special audit (in writing). The special audit will be carried out by a chartered accountant or a cost accountant nominated by the Commissioner.

Time limit for special audit

The auditor will have to submit the report within 90 days. This may be further extended by the tax officer for 90 days on an application made by the taxable person or the auditor.

Cost

The expenses for examination and audit including the auditor's remuneration will be determined and paid by the Commissioner.

Findings of special audit

The taxable person will be given an opportunity of being heard in findings of the special audit.

If the audit results in detection of unpaid/short paid tax or wrong refund or input tax credit wrongly availed then demand and recovery actions will be initiated.

Power of CAG to call for information.

As government planning to roll-out GST from July 1 2017, Comptroller and Auditor General (CAG) has demanded explicit provision in the law to empower the official auditor to call for any information for audit of Goods and Service Tax (GST) receipts and utilisation of their funds.

While the Comptroller and Auditor General of India (CAG) by law audit any receipts in the Consolidated Funds of India, the GST Council is not in favour of giving powers to the official auditor under the new GST law to call for information outside of the GST tax receipt for audit.

Section 65 of the draft model GST law provides for power of CAG to call for information for audit. The section as it exists, provides that revenue officer would make available to the CAG "information, records and returns required for conduct of audit."

Reportedly, CAG is of the opinion that insertion of provisions enabling powers to departmental officers in the GST law to call for any other information to facilitate the audit is

very important, otherwise an assessee may legally challenge the calling for additional information for CAG audit.